Above & Beyond.

wapic

Ready to launch

Annual Report and Accounts 2013

Consolidated and Separate Financial Statements for the year ended 31 December 2013 Together with Directors' and Auditor's Reports

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About Us

Wapic Insurance Plc has been in operations for over half a century, offering a comprehensive range of insurance coverage. Established in 1958, the Company has built a strong franchise in the largest economies in Sub-Saharan Africa and operates two subsidiaries; Wapic Life Assurance Limited which is an indigenous subsidiary and Wapic Insurance (Ghana) Limited.

The Company has a history of delivering transparent and reliable insurance solutions to its clients; a culture reflective of the strength and leadership which underpins the Company's foundation. With its strengthened corporate identity and new business model, Wapic is set to provide excellent service in a sustainable manner thereby redefining the business of insurance within the West Africa region.

Corporate Philosophy

Our Vision

To transform and illuminate the insurance industry for the benefit of our customers and other stakeholders.

Our Mission

To lead in all that is worthy.

Our Core Values

- **Excellence**
  We pay attention to details
- **Professionalism**
  We operate to the highest standards
- **Innovation**
  We find new ways to add value
- **Sustainability**
  We touch lives positively
- **Teamwork**
  We work together to deliver
- **Leadership**
  We lead by example
- **Empathy**
  We are passionate about customers

Corporate information

Directors

Mr Aigboje Aig-Imoukhuede, CON	-	Chairman
Mr.Taukeme Koroye *****	-	Non Executive Director
Mrs. Ojini Olaghere *****	-	Non Executive Director
Mr. Victor Etuokwu *****	-	Non Executive Director
Mr. Barnabas Olise	-	Non Executive Director
Mr. Bababode Osunkoya	-	Independent Non Executive Director
Mrs. Titilayo Osuntoki *****	-	Non Executive Director
Mr. Adamu Mahmoud Atta	-	Non Executive Director
Ms. Chizoba Ufoeze ******	-	Non Executive Director
Mrs. Ifeyinwa Osime *******	-	Independent Non Executive Director
Mr. Segun Balogun ****	-	Managing Director/Chief Executive Officer
Mr Ashish Desai*	-	Managing Director/Chief Executive Officer
Mr. David Aluko ***	-	Deputy Managing Director
Mr. Richard Abiodun Adewole ***	-	Executive Director
Mr Folusho Alliyu **	-	Executive Director
Mr. Femi Obaleke ******	-	Executive Director
Mr. Bode Ojeniyi ******	-	Executive Director

* Appointed during the year effective 1 December 2013
**Appointed during the year effective 6 March 2013
*** Retired effective 29 July 2013
**** Retired effective 30 November 2013
*****Retired effective 16 January 2014
****** Appointed effective 16 January 2014
****** Appointed effective 30 April 2014

Corporate Office

WAPIC Insurance Plc.
50, Awolowo Road, Ikoyi
P.O. Box 55508, Falomo, Ikoyi, Lagos
Telephone: +234-(0)709 882 1284-5, +234-1-277 4577
Email:info@wapic.com
Website: www.wapic.com

External Auditor	KPMG Professional Services, KPMG Tower, Bishop Aboyade Cole Street, Victoria Island, Lagos. Tel: +234 1 463 0291-3 www.kpmg.com/ng
Company Secretary	Ms. Mary Agha
Bankers	Access Bank Plc Fidelity Bank Plc Guaranty Trust Bank Plc First Bank of Nigeria Diamond Bank Plc
Re-insurers	African Reinsurance Corporation Continental Reinsurance Plc Munich Reinsurance Company Limited Nigerian Reinsurance Corporation Ghana Reinsurance Company Limited Waica Reinsurance Corporation
Actuaries	HR Nigeria Limited FRC/NAS/00000000738 Alexander Forbes Consulting Actuaries Nigeria Limited FRC/2012/0000000000504
Estate Surveyor and Valuer	Jide Taiwo & Co. Limited FRC/2012/0000000000254 Tope Ojo and Tunde Olonisakin FRC/2012/0000000000421 Azuka Iheabunike and Partners FRC/2012/NIESV/00000002206 Bode Adedeji Partnership FRC/2013/0000000000279
Registrar	United Securities Limited 10 Amodu Ojikutu Street Victoria Island, Lagos Telephone: +234-01-730898 +234-01-730891

Locations

Wapic Insurance Plc

SN	Area	Offices	Addresses
1	Lagos	Corporate Office	50, Awolowo Road, Ikoyi Lagos.
		Corporate Office Annex	42, Ademola Street, Ikoyi Lagos.
		Corporate Office Annex	11, Ademola Street, Ikoyi Lagos
2	Branches	Abuja Plot 6 Jos Street	Area 3 Garki, Abuja
		Port-Harcourt	82 Aba Road, Garison, PH
		Benin	70 Mission Road, Benin City
		Enugu	Plot 7 Ebano Estate Layout, Enugu
		Ibadan	Mobil Ring Road, Ibadan
		Kano	28 Niger Street, Kano

Subsidiaries

Wapic Life Assurance Limited

SN	Area	Offices	Addresses
1	Lagos	Corporate Office	42, Ademola Street, Ikoyi Lagos.

Wapic Insurance (Ghana) Limted

1	Ghana	Head Office	35, Aviation Road, Airport Residential Area Accra, Ghana.
2	Branches	Kumasi – Amokom	Plot No IX., Premises of Hayan Hostels Kumasi
		Kumasi – Adum	Adum – Kumasi
		Tema – Branch	Tema Habour, Round About, Mansel Building Tema
		Takoradi – Branch	Liberation Road, Opposite, Bank Of Ghana Takoradi

Introducing Our New Identity

Identity is informed by an organization's history, its beliefs and philosophy, the nature of its technology, ownership, people, ethical stance, culture and strategies. At Wapic Insurance Plc, we have taken careful and deliberate steps to ask the question - Who are we and what do we stand for? The answer to these questions, formed the essence of our new corporate identity.

Ours is a purposeful company with a unique proposition – our proposition is service. We believe that every customer has actionable right and must demand service. We have developed an inimitable and distinctive visual style, which sets us apart and emotively connects us to the customer's aspiration for service. With our new visual identity, we are poised to opening up the insurance market not just for the customer but also for the benefit of all stakeholders. Our new brand mark "The Peak" represents a high vantage point; a position from which our customers can look ahead with confidence and take advantage of tomorrow's opportunities today.

We hold ourselves to the canons of international best practices and professionalism. By this, we are making it clear to all our stakeholders that we operate in a different league. Our stakeholders now know what to expect from us with every encounter, particularly as we set out to introduce a service model which promotes insurance as an enjoyable endeavor for the customer.

It is gratifying to note that our new reputation is fast becoming a key source of competitive advantage, as can be seen by the quality and number of first class international institutions that have chosen to partner with us.

We have therefore put in place specific measures to protect the integrity and value of our brand in the marketplace and ensure that we do our nation proud as its most proficient representative in the global insurance community.

Welcome to the new Wapic.

The Peak

Aigboje Aig-Imoukhuede (CON)
Chairman

Chairman's Statement

Distinguished shareholders,

I am pleased to welcome you to the 55th Annual General Meeting of your Company.

As you know, our shareholder base has expanded significantly following the scheme of arrangement for unbundling the shareholding of Access Bank in Wapic Insurance dated 30th July 2013. We have therefore grown from 29,422 to 852,170 shareholders. Permit me therefore to specially welcome our new shareholders who have joined our family pursuant to the aforementioned scheme.

In line with the dictate of my office, I will be presenting a brief overview of the major developments in the global and local economy in which your Company operated.

Global Environment

Overall global economic performance improved in 2013 with a growth rate of 2.4%. The growth derives from ongoing economic recovery in developed market including the Eurozone, Us and Japan.

These markets had taken concrete steps to drive economic growth by introducing calculated stimulus packages to force interest rates downwards and promote increased volumes of business transactions. The effect of these quantitative easing measures, boosted job creation, enhanced production volumes and various fueled economic activities.

It is noteworthy that the hitherto fast-growing emerging markets are losing pace despite the recorded growth of 7.6% which was focused more on inward consumption rather than export. Brazil, Indonesia, Turkey, South Africa and India faced market volatility as investor confidence weakened and funds were withdrawn.

Domestic Environment

Nigeria is now Africa's largest economy. The reported GDP growth rate stood at 6.8% in 2013 and was driven mainly by growth in the non-oil sectors led by wholesale, retail trade, agriculture and telecommunication.

The external reserve dipped to its lowest point during the year closing at US $43.616. Inflation remained in the single digit of 7.8%; still within the framework of the Central Bank tight monetary policy.

The IMF projects that Nigeria's real output growth would reach 7.4% in 2014 and inflation would remain within the single digit band despite pre-election spending.

Growth Opportunities

To give effect to the Company's leadership aspirations, it undertook some corporate actions in the course of the year which included a right issue. The right issue achieved 85% success which in turn increased your Company's capacity for business uptake over a wider sector of the economy.

Also your Company has developed a mid-term strategy for 2015-2019 following significant levels of research into the Nigerian and global insurance industry.

In furtherance of our repositioning initiatives and consistent with our corporate strategy, your company also launched a new brand identity.

Financial performance

2013 was a period of recalibration for the company. Regulatory policies implemented within the year constrained the company's earnings. However, the total assets of the Group grew by 76% to N22.3b from N12.7b in 2012. Similarly our investment income grew by 69% to N2.3b against a position of N1.3b in 2012. The Group recorded a loss before tax of N629million against back drop of significant impact of regulatory policies which had a huge impact on the business of our subsidiary. The shareholder's fund grew by 86% to N14.2billion from N7.6billion in 2012.

Board of Directors

During the year under review, there were some changes in the composition of the board, Segun Balogun, Richard Adewole and David Aluko retired from the board within the year. The Board and Management recognize the valuable contributions of these retired Executives to the Company during their tenure and wish them success in their future endeavours.

I am also pleased to announce the appointment of Ashish Desai, an actuary and insurance professional of international repute as the new Managing Director of your Company. Also appointed were two new Executive Directors namely, Femi Obaleke and Bode Ojeniyi. With these appointments we have further strenghtened your leadership team with a complement of proven professionals from diverse backgrounds who possess the requisite wealth of experience to support and oversee our transformation agenda.

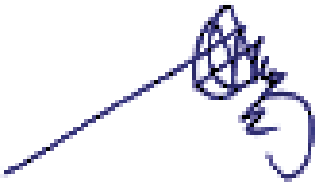
Other changes on the board was the appointment of Chizoba Ufoeze and Ifeyinwa Osime as Non-Executive Directors following the voluntary resignation of Titi Osuntoki, Ojini Olaghere, Victor Etuokwu and Taukeme Koroye. These new appointees are accomplished professionals whose appointments were well governed by a merit driven selection process.

Corporate Governance and Risk Management

In line with best practice, our Annual Report contains rich industry leading disclosures on issues of corporate governance and financial risk management. Our risk management and governance framework remains strong, robust and consistent with international best practices.

Conclusion

Our sincere appreciation goes to our shareholders, customers, employees and other stakeholders for their continued support for the company. We look forward with great excitement to successful years ahead as we work hard to enhance value for our shareholders.



Aigboje Aig-Imoukhuede (CON)
Chairman

CEO's Statement

Overview

2013 was a year driven by various reforms and changes in the policy guidelines within the Nigerian Insurance industry. Of main note is the vigorous implementation of the "No Premium No Cover" (NPNC) regulation by the National Insurance Commission (NAICOM). The main objective of this was to rid the industry of the perennial issue of receivables.

The implementation of the NPNC regulation despite its noble objectives was not without challenges and consequencies. It slowed business as corporate institutions and public sector entities refrained from full year renewal. This led to the reduction in Gross Written Premium across the industry.

Despite the challenges faced by the introduction of the new guidelines and other operational directives, your Company took strategic steps to reposition itself for the future. We embarked on various corporate actions to solidify the Company's capital base. In this regard, the Company raised additional capital through a rights issue. The rights issue was a success as it achieved 85% subscription raising over N2.9billion. By this, the Company's total assets increased by 76% from prior period while the shareholders fund increased by 86% and the solvency ratio stood at 211% distinctly superior to the level required by local and global standards.

The Company had a negative pre-tax performance which was as a result of some strategic initiatives embarked upon by Management to bring about confidence of our customer in the Company and the industry as a whole. The Company's net claims expense increased by 40% in relation to prior period, a move made to ensure that all long outstanding claims request against the Company is cleared.

Conclusion

Inspite of the difficulties in the year 2013, your Company has embarked on a number of projects to ensure that we are positioned for 2014 and beyond. Following a significant level of research with world renowned consultants, the Company developed its mid-term strategy for 2015-2019 which is intended to see us transform and illuminate the insurance industry in the West African region. To buttress this vision, the Company is launching a new identity and brand to help instill the freshness of what the insurance space is about to experience.

I would like to thank all stakeholders, particularly our customers, shareholders and employees for standing firm by the company throughout the challenges of this difficult period. I believe with handwork and commitment we shall achieve our vision for this Company Above and Beyond all expectations.

Ashish Desai
Managing Director

Our People

Our people are our most important asset. The Company is committed to employee empowerment and therefore, significantly invests in their continuous development as a business priority.

At Wapic our people come from various parts of the world, with a broad diversity of educational and professional backgrounds, they are all bound by a shared passion for leadership and a drive to impact our industry significantly.

Culture

Our people are at the heart of the quality of the service we provide to our clients. Our focus has been on recruiting the right people and supporting them to develop their skills and help their career progression in order to contribute to the achievement of the company's objectives.

Our culture is based around rewarding excellence and encouraging learning and improvement, we operate a transparent and merit drive performance management system with clearly defined career paths for all employees. The passion and enthusiasm of our staff has been essential in developing our brand and in achieving our leading position in the Industry.

At Wapic Insurance, we are committed to building a better working world with increased trust and confidence in business, sustainable growth, development of talent in all its forms, and greater collaboration. It is important to emphasize that our people are critical to our success. They provide us the ability to meet the needs of our customers, shareholders and strategic partners.

Our employees help us to gain and build competitive advantage through their energy, imagination and exceptional insights. It's essential that we reward them competitively and invest in their development to ensure that we remain responsive to a rapidly changing world. It is important to add that our staff are central to the delivery of our strategy and we involve them in the planning and direction of their own work. We create a work environment that values differences and provides channels to report concerns.

At Wapic our people make us different, their energetic support for our customers, and excellent customer service gives us a competitive advantage. We're passionate about making a measurable impact in all we do. Our unique culture and approach deliver enduring results, true to each client's specific situation. We'll always do the right thing by our clients, our people and our communities.

Diversity

At Wapic Insurance diversity is a central part of our culture; it is the platform against which we promote equal opportunities for everyone and also ensure that all our employees are treated with dignity and respect. We recognize that differences in age, race, gender, nationality, thinking style and background brings richness to our work environment and such differences help us connect better with our clients and shareholders.

We believe that attracting, developing and retaining a base of employees that reflects the diversity of our customers is essential to our success. We also believe our success hinges on relationships with diverse professional and strategic partners.

Management Team

1. **Ashish Desai,** Managing Director
2. **Folusho Alliyu,** Executive Director, Technical
3. **Olufemi Obaleke,** Executive Director, Commercial & Government Clients
4. **Bode Ojeniyi,** Executive Director, Institutional Clients
5. **Gboyega Oloyede,** Head, Enterprise Business Support
6. **Peter Ehimhen,** Chief Risk Officer
7. **Adewale Akinrinde,** Head, Institutional Clients
8. **Mary Agha,** Company Secretary / Legal Adviser
9. **Sade Abegunde,** Head, IT & Operations
10. **Sunny Ogbemudia,** Chief Internal Auditor
11. **Innocent Osagiede,** Chief Financial Officer
12. **Adedayo Arowojolu,** Head, Institutional Sales - Oil & Gas Upstream
13. **Felicia David,** Head, Claims
14. **Adeyinka Falade,** Regional Head, Commercial & Government Clients
15. **Muyiwa Oke,** Chief Compliance Officer
16. **Titilope Olubiyi,** Head, Corporate Communications & Brand Management
17. **Oluseyi Taiwo,** Head, Financial Control

Corporate Social Responsibility Report

Delivering value sustainably

Wapic is committed to building a sustainable business. We restructured our sustainability and corporate social responsibility functions to deliver shareholder value and maintain profitability while performing in a socially and environmentally responsible manner.

The Wapic approach to sustainability is predicated on best practices and expresses our commitment to creating sustainable value for our shareholders. At the same time, we seek to maintain a high level of corporate governance alongside high standards of integrity in our methods and practices of doing business. Through this, we drive positive economic performance and growth, create value for our customers, employees, host communities and other Stakeholders.

Leadership is critical to the success of our sustainability agenda and that is why it enjoys a high-level management focus. Our strategy is to mainstream sustainability into our operations for the long-term success of our business.

Finding the right balance

A key goal of our strategy is to address the challenge of sustainability – balancing economic growth, social development, and environmental protection, so that future generations are not compromised by actions taken today. We address this challenge through a focus on improving the efficiency of our current operations.

To this end, the company has a well-designed and fully integrated sustainability strategy. This ensures the economic, social and environmental imperatives of all its activities are continually integrated into corporate structures and processes. The Company also creates innovative and proactive solutions to societal and environmental challenges, and collaborates with both internal and external Stakeholders to improve performance.

A force for good

To us, sustainability is about being a responsible business that understands the issues that matter most to the Company's Stakeholders and such issues are addressed through the Company's business processes, people and activities. It is about creating a balance between economic profits and sustainable development. It is about safeguarding the long-term prospects of our business. It is about seeking to be a force for good in whatever we do.

Furthermore, it helps to ensure that we:

- Engage only in responsible underwriting, reinsurance, marketing and advertising to our customers while ensuring that our products and services are value-adding and accessible
- Are an equal opportunity employer, engaging only in fair practices and promoting diversity while ensuring rewarding career opportunities, training and attractive working conditions for employees
- Always consider the environmental and social issues that arise in our transactions or projects we underwrite and
- Positively contribute to the economic development of the countries in which we operate while also engaging in community development initiatives to make society a better place for individuals and business organizations.

The implementation of our sustainability strategy has assisted in the Company's continuous process of acting responsibly towards Shareholders, investors and customers as well as towards our employees and society as a whole, while building long-term value.

The Company is becoming more innovative, productive and competitive through the application of sustainability principles and practices. In turn, these result in enhanced employee relations; improved risk management; favourable relationships with the investment community and improved access to capital; stronger relationships with communities in general; and improved reputation and branding.

Our sustainability priorities resonate throughout our businesses, provide a platform for action, and give us a clear purpose and direction. Implementation is driven by actionable goals and performance measurement. Our goal as a responsible corporate citizen is to build a sustainable business.

Business principles, governance and ethics

The Company manages safe, reliable, and ethical operations across all its functions as well as corporate social responsibility issues through its management systems. We recognize that responsible business operations are fundamental to our long-term success.

Our ethical business engagements have assisted in engendering good workplace management and marketplace responsibility, in securing community engagement and environmental stewardship and in sustaining financial performance. We do everything possible to ensure that every aspect of the Company's business conforms to the highest standards of ethical behaviour.

The Company therefore, among other things, combats corruption and bribery in all its operations. In addition, we refrain from tax-avoidance procedures and pay our own fair share of taxes in line with the intent of relevant tax regulators.

Some of the standards we have adopted are ahead of the local legislation and we are committed to playing an active part, working with government, industry and concerned organisations to find longer-term solutions to ethical challenges. We expect our employees to integrate responsibility into their work-related activities and decision-making processes. Our management and control systems are therefore designed to support that goal.

Occupational health and safety

The Company protects the health and safety of its employees, customers, vendors and the public by implementing policies and initiatives that demonstrate our commitment to a safe, secure, and healthy work environment. We trained certified fire wardens and run fired drills on a periodic basis. In the period under review, we experienced no workplace accidents, fatalities or occupational and safety incidents.

Workplace policy and programme

We recognise that HIV/AIDS, TB and malaria together pose a serious threat to our operations and productivity. The Company seeks to minimise the social and economic consequences of these diseases to our employees, their families and the broader community. The Company therefore implements an HIV/AIDS, TB and malaria workplace policy and programme which encompass prevention, care and support, while promoting a working environment that is free of stigmatisation and discrimination.

Environmental performance

Wapic Insurance is committed to conducting business throughout the world in a manner that protects the environment.

We integrate environmental improvement into our business plans and strategies, and address key environmental issues that are specific to the processes and activities of each business. The Company is aware that the environment and the impact of business activity on it is a primary concern to a growing number of investors, consumers, activist groups, government regulators and other Stakeholders. We recognize growing global concerns about the issues of clean air and water, safe food and an intact ozone layer.

While the issues of pollution, uncontrolled population growth and depletion of natural resources are a shared responsibility for the world at large, Wapic nevertheless firmly believes it must make its own distinct contribution to achieving a greener and safer environment. We recognise we have a part to play.

To signpost, our commitment to the environment, the Company conducted a foundation stone-laying / ground breaking ceremony for its planned 6-storey Green Corporate Head Office on 119 Awolowo Road, Ikoyi which will be commissioned in about 18-months. We recognize that going green requires a whole new system of thinking, a cross-disciplinary approach, and rigorous standards which may be challenging for Companies in emerging markets such as ours but we believe there is no better time to start.

We are also cutting CO_2 emission at our branches and offices by ensuring that the generators are shut down by 8pm.

Employment standards

The Company activities in this regard span a wide variety of themes including: employee communication and representation; employability and skills development; diversity and equality; fair remuneration; work-life balance; health, safety and wellbeing; and responsible restructuring.

Our workplace policies and practices are aimed at shaping corporate culture and guiding relationships among employees, and between the Company and all members of staff. Wapic Insurance Plc is an equal opportunity employer and does not discriminate against any employee.

The Company's policy supports employment of people who are physical challenged and people with other disadvantages; they are all given equal opportunities for career growth within Wapic. The Company does not discriminate against employees who may become physically impaired in the course of discharging their duties or outside work.

We recognise our people are central to the success of the Company. Therefore, we seek to provide a safe, rewarding and challenging environment that helps our employees reach their potential. This in turn helps the Company achieve its operational goals. We are committed to creating a work environment where people can make a difference both as individuals and as part of a team.

The engaging and inclusive work environment of the Company helps attract, involve and retain talented employees while enabling them to achieve their full potential. Other policies and initiatives include market-competitive salaries and professional training programmes with every employee at the Company receiving over 40 hours of training per annum.

Ethical supplier relations

Our operating standards for purchasing services and products, and for selection of suppliers, have contributed to building a sustainable business. Wapic recognises that its dealings with suppliers often take place in cultures with different norms and values. We therefore expect our suppliers to have a natural respect for ethical standards in the context of their own particular culture.

The Company's procurement activities give due consideration to social impacts and human rights, environmental impacts and the need to combat bribery and corruption.

Our relationship with suppliers is based on the principle of fair and honest dealings at all times and in all ways. We therefore pay attention to treating suppliers fairly, selecting vendors based on value, performance and price, providing justifiable and transparent selection decisions, and combating bribery and corruption.

Investing in the community

The Company's social investment focuses on assisting progress in education, the arts, health, sports, the environment, enterprise development and social welfare.

In the period under review, we provided various types of support in the form of giving cash, or giving employee time or simply giving gifts, all of which are practices that align with acceptable global standards.

We collaborated with credible and impactful organisations to build strong and healthy communities where people can live and work, and where businesses can survive into the future. For instance, Wapic contributed to global efforts aimed at combating global health issues, especially HIV/AIDS, TB and malaria. We initiated, implemented and supported various health-related initiatives in partnership with local and international organisations such as: Friends of the Global Fund Africa (Friends Africa) and Nigeria Business Coalition Against AIDS (NIBUCAA).

Employee volunteering

At Wapic, we appreciate that volunteering provides staff with the opportunity to undertake new challenges beyond

the scope of their current employment. The Company therefore provides support to employees in this context by encouraging them to develop highly sought-after skills through voluntary activities.

Our employee volunteering policy is a demonstration of the Company's commitment both to its employees who volunteer for community development and to society as a whole. Our aim is to broaden our sustainability programme; our criterion is that such volunteering delivers a distinct and beneficial impact.

In the period under review, over 30% of the Company's employees volunteered for various community development initiatives.

Treating Customers Fairly

The company has subscribed to the principles of treating customers fairly. We aim to raise standards in the way Wapic carries on its business by introducing changes that will benefit consumers. In this way, Wapic will build and maintain sustainable, long-term relationships with our customers. An Ombudsman desk is being set up while work has been completed on a Customer's Bill of Rights (CBOR) which will be launched shortly.

Our Products

Non Life

1. All Risk Insurance
2. Aviation Insurance
3. Aviation Refueling Liability Insurance
4. Burglary Insurance
5. Business Interruption Insurance
6. Combined Public & Product Liability
7. Commercial Vehicle Insurance
8. Construction All Risk Insurance
9. Contractors All Risk Insurance
10. Directors and Officers Liability
11. Electronic Equipment Insurance
12. Energy Package Insurance
13. Erection All Risks Insurance
14. Fidelity Guarantee Insurance
15. Fire & Special Peril Insurance
16. Goods in Transit Insurance
17. Group Personal Accident Insurance
18. House Owners Insurance
19. Householders Insurance
20. Machinery Breakdown Insurance
21. Marine Cargo - Open Cover Insurance
22. Marine Cargo - Single Transit Insurance
23. Marine Hull Insurance Insurance
24. Mobile Drilling Rig Insurance
25. Money Insurance
26. Motor Cycle Insurance
27. Motor Trade Insurance
28. Personal Accident Insurance
29. Plant All Risk Insurance
30. Private Motor Insurance
31. Professional Indemnity Insurance
32. Public Liability Insurance
33. Yacht (Pleasure Boat) Insurance

Life

1. Wapic Cash Accumulator Plan
2. Wapic Credit Life Plan
3. Wapic Education Trust Plan
4. Wapic Golden Age Retirement Plan
5. Wapic Group Life Plan
6. Wapic Keyman Insurance
7. Wapic Mortgage Protection Plan
8. Wapic Term Life Assurance Plan
9. Wapic Variable Life Assurance Plan
10. Wapic Whole Life Assurance Plan

At a glance - Key Performance Indicators 2013

Wapic Group and Company

▲ Wapic Group ▲ Wapic Company

Gross premiums written (N'000)

Wapic Group -10%

Wapic Company 7%

	Wapic Group	Wapic Company
31 Dec 2013	3,760,515	2,380,024
31 Dec 2012	4,178,285	2,232,122

Net Premium income (N'000)

Wapic Group -26%

Wapic Company -17%

	Wapic Group	Wapic Company
31 Dec 2013	2,661,913	1,433,826
31 Dec 2012	3,512,920	1,724,384

Net claims expense (N'000)

Wapic Group 40%

Wapic Company 112%

	Wapic Group	Wapic Company
31 Dec 2013	2,131,798	1,043,540
31 Dec 2012	1,519,072	493,876

Underwriting Profit (N'000)

Wapic Group -107%

Wapic Company -108%

	Wapic Group	Wapic Company
31 Dec 2013	(105,710)	(71,548)
31 Dec 2012	1,435,195	874,339

Investment income (N'000)

Wapic Group 24%

Wapic Company 34%

	Wapic Group	Wapic Company
31 Dec 2013	1,522,165	1,001,599
31 Dec 2012	1,225,527	745,100

Operating expenses (N'000)

Wapic Group 23%

Wapic Company 44%

	Wapic Group	Wapic Company
31 Dec 2013	2,804,118	1,904,404
31 Dec 2012	2,231,663	1,318,229

Profit before tax (N'000)

Wapic Group -210%

Wapic Company -155%

	Wapic Group	Wapic Company
31 Dec 2013	(629,129)	(209,850)
31 Dec 2012	552,385	383,460

Earnings per Share (N'000)

Wapic Group -125%

Wapic Company -93%

	Wapic Group	Wapic Company
31 Dec 2013	(2)	0.33
31 Dec 2012	8	5

Figure 1

At a glance - Key Performance Indicators 2013

Wapic Group

Total Assets (N'000) 76%

31 Dec 2013	22,304,046
31 Dec 2012	12,678,755

Total Liabilities (N'000) 61%

31 Dec 2013	8,124,519
31 Dec 2012	5,055,278

Gross Earnings (N'000) -1%

31 Dec 2013	5,521,333
31 Dec 2012	5,601,962

Profit / (loss) before tax (N'000) -214%

31 Dec 2013	(629,129)
31 Dec 2012	552,385

Wapic Company

Total Assets (N'000) 98%

31 Dec 2013	19,679,892
31 Dec 2012	9,935,562

Total Liabilities (N'000) 98%

31 Dec 2013	5,132,280
31 Dec 2012	2,205,779

Gross Earnings (N'000) 13%

31 Dec 2013	3,554,427
31 Dec 2012	3,140,666

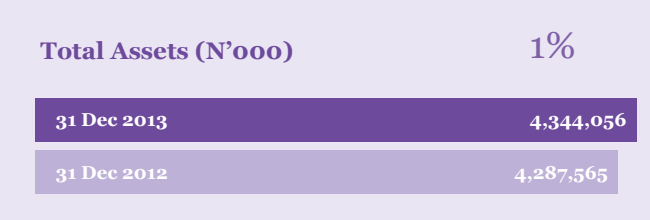
Profit / (loss) before tax (N'000) -155%

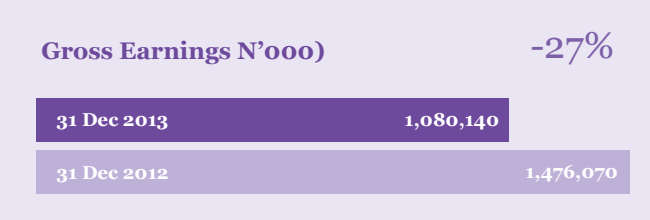
31 Dec 2013	(209,850)
31 Dec 2012	383,460

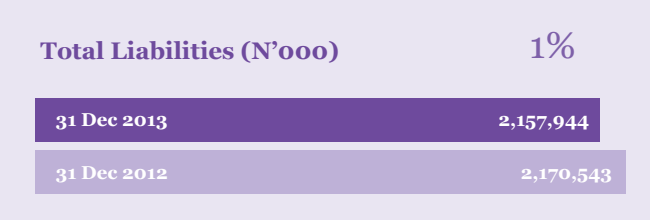
Figure 2

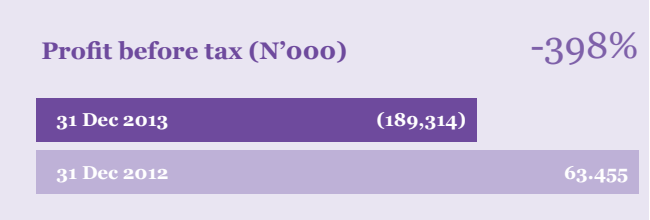
At a glance - Key Performance Indicators 2013

Wapic Life

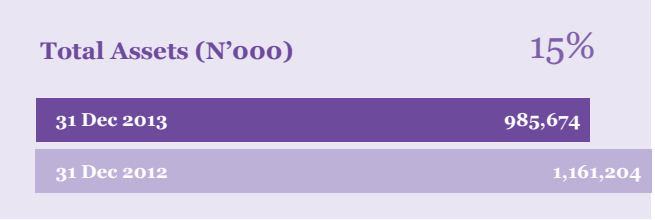


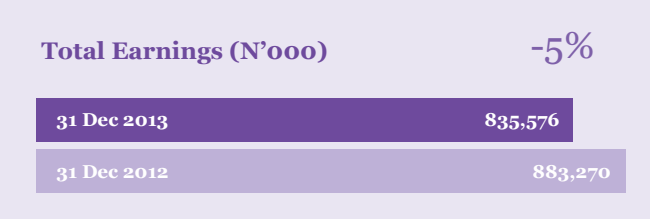


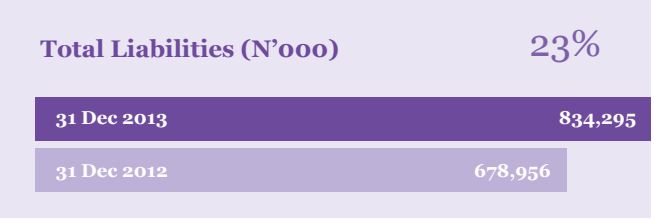




Wapic Ghana







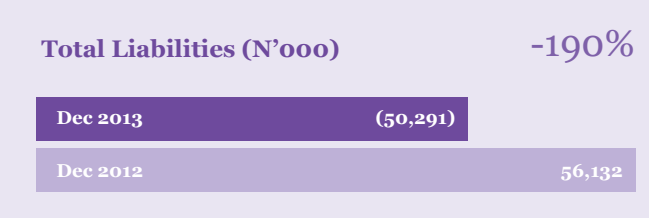


Figure 3

Technical and Enterprise Support Report

Claims Report

Improving Claims Management

In today's highly competitive and economically challenging environment, the Claims management function is critical to the customer's experience journey. Although a traditional insurance function, Claims management serves as a key market differentiator which can facilitate delivery of our goals regarding industry leadership in the area of customer experience and operational excellence.

Within the financial year, the Company made significant investments in restructuring the systems, processes and quality of human capital across the Claims function. This has not only enabled us to significantly enhance our regulatory compliance levels but also to address legacy issues regarding settlement of the backlog of pending claims on our books. We have also improved our processing time and simplified chain of activities around claims settlement for the benefit of the customer.

In 2013, Wapic settled a total of N1.967bn in claims out of which the sum of N1.152bn was paid on the Non-Life business while N815m was settled on the life business. These represent a 21% and 37% growth in the volume of claims settled on Non-Life and Life business respectively for the period. This upward trajectory in our settlement volumes is a reaffirmation of our commitment towards settling claims in a worthy manner.

Focus on best practices

In line with global best practices, we have unbundled our claims process to enhance operational efficiency. Functions such as Notice of Loss (NOL), Segmentation and Assignment, Adjudication, Loss Adjustment, Investigation and Subrogation are manned by qualified professionals who are championing our corporate quest to quickly transform Claims operations into a competitive advantage for the organization.

To strengthen Wapic's new claims process, further investments are being made in technology to complement the function with the ability to leverage real time processing on a singular repository platform for all policies. These investments are designed to engender greatly enhanced agility and response time on claims requests.

Customer Claims Experience

We have placed the customer at the heart of our Claims process as a key driver. The retooling of our Claims function is principally to ensure we deliver a uniquely enjoyable experience to the claimants. We recognize that customer experience - which drives repeat patronage - is heavily dependent on the organization's claims process. The organization will therefore continue to devise various techniques and processes which allow Claim operations to control and manage customer interactions and better align the customer's service with business objectives. We remain committed to bringing value to customers through this and other service channels.

Technology as a tool for business support

2013 witnessed a lot of transformation and realignment to reposition Information Technology towards driving the Company's business objectives. During the year, a number of strategic initiatives were undertaken to align Wapic's Information Technology with global best practice. The realignment transformed key areas of the function such as governance, operating structure, infrastructure, processes, human talent, etc. More than ever before IT is positioned and empowered to take on new challenges engendered by business imperatives and advance the competitive advantage of the Company. Overall, the goal of IT is to provide an enabling technology environment for an industry player that boasts of customer experience, operational, financial and people leadership.

To establish effective support for the business IT must take as input, key business requirements in designing an enabling architecture for the organization. To this end, IT has gone into extensive engagement with the key business stakeholders to identify focus areas and plans. With this as input, technology initiatives are being implemented the right way an organization that is the most enjoyable to do business with in the insurance space.

Our Future

We have outlined bold aspirations to transform the Company into an innovative, multi-service insurance institution and a leader in the Nigerian financial services sector by 2019. The role of Information Technology in driving this aspiration has been recognized and endorsed by the Company. Key pointers to this include budget allocation for a technologically initiative and institutionalization of a top level governance structures for IT among other things. This will ensure deployment of best of breed technology platforms that makes for unfettered customer service and business growth.

Aligning with the Company's strategic direction, IT has taken up the challenge of deploying user-friendly platforms to drive product accessibility via straight-through-processing across multiple channels. IT has also defined a road map to simplify and transform its processes in agreement with best practice standards. Automation of key processes has also been identified as a critical factor towards driving the attainment of these worthy goals with the view of positioning the Company as a leader in the insurance space. Analytic tools will also be implemented for business decision support.

Reaching the Customer

One of the most notable changes to the business environment is the level of technology awareness displayed by customers across all age categories. This is evident in the number and complexity of devices carried by customers and their appetite for electronic channels. The new age customers seek convenient, real time, on-the-move service accessibility.

To satisfy this appetite, IT has defined a road map to deploy a fully functional website, customer relationship management and mobile application support across all transactional applications. These will enable customers to access our products, quotations, make claims, purchase policies, track transaction records and access other services/ information on a self-service basis. The goal is to redefine the way business is done with focus on the customer.

IT also plans to deploy technology platforms to enable effective cost management through digitization and paperless operations. This will be achieved through integrated business process management and enterprise resource planning tools, straight through processing and online real time access to applications by customers and sales personnel for prompt decision making.

Risk Management Report

Risk Management philosophy and culture

Risk management is central to the Company's operating model. It is more than a set or process for us, it is a way of being. We are committed to limit adverse variations in earnings and capital by managing risk exposures within agreed levels of risk appetite. Our risk management approach includes minimizing undue concentrations of exposure, limiting potential losses from stress events and prudent management of liquidity.

In 2013, our risk management continued to achieve desired results despite the increase in size and scale of operations. In line with the Group's core value of excellence, the Group's risk management is continuously developing and improving, given the uncertainty that all market developments, particularly those of extreme nature, can be fully anticipated at all times. Therefore, Executive Management has remained closely involved in all important risk management initiatives, which have focused particularly on preserving appropriate level of liquidity and capital, as well as managing the risk portfolios.

Group risk oversight approach

Our oversight starts with the strategy setting and business planning process. These plans help us articulate our appetite for risk, which is then set as risk appetite limits for each business unit to work within. The Chief Risk Officer co-ordinates the processes of monitoring and reporting risk across the Company. Internal Audit has the responsibility for auditing the risk management and control function to ensure that all units charged with risk management perform their roles effectively on a continuous basis. Audit also tests the adequacy of internal control and makes appropriate recommendations where there are weaknesses.

Strategy and Business Planning

Risk management is embedded in all business strategies and planning cycles. Testament to this is the inclusion of risk management as one of our strategic priorities. By setting the business and risk strategy, we are able to determine appropriate capital allocation and target setting for the Group and each of our businesses.

All business units are required to consider the risk implications of their annual plans. These plans include analysis of the impact of objectives on risk exposure. Throughout the year, we monitored business performance regularly focusing both on financial performance and risk exposure. The aim is to continue the process of integrating risk management into the planning and management process and to facilitate informed decisions.

Through ongoing review, the links between risk appetite, risk management and strategic planning are embedded in the business so that key decisions are made in the context of the risk appetite for each business unit.

Risk Appetite

Risk appetite is an articulation and allocation of the quantum of risks Wapic is willing to accept in pursuit of its strategy, duly set and monitored by the Executive Management Committee and the Board, and integrated into our strategy, business, risk and capital plans. The Company defines its risk appetite in terms of both volatility of earnings and the maintenance of minimum regulatory capital requirements under stress scenarios. In 2013, the risk appetite metrics were tracked against approved triggers and exceptions were reported to management for prompt corrective actions. Key issues were also escalated to the Enterprise Risk Management Committee and the Board Risk Management Committee.

Risk Management Objectives

The broad risk-management objectives of the Company are:

- To identify and manage existing and new risks in a planned and coordinated manner with minimum disruption and cost;
- To protect against unforeseen losses and ensure stability of earnings;
- To maximize earnings potential and opportunities;

- To maximize share price and stakeholder protection;
- To enhance credit ratings and counterparty (analyst, investor and regulator) perception and
- To develop a risk culture that encourages all staff to identify risks and associated opportunities and to respond to them with cost-effective actions.

Risk Categorization

Wapic is exposed to a range of risks through its operations. The Company has identified and categorized its exposure to these broad risks as listed below:

- Credit and counterparty risk;
- Operational risk;
- Market and liquidity risk;
- Underwriting and claims (inclusive of reinsurance and reserves) risk;
- Legal and compliance risk;
- Strategic risk;
- Reputational risk; and
- Capital risk.

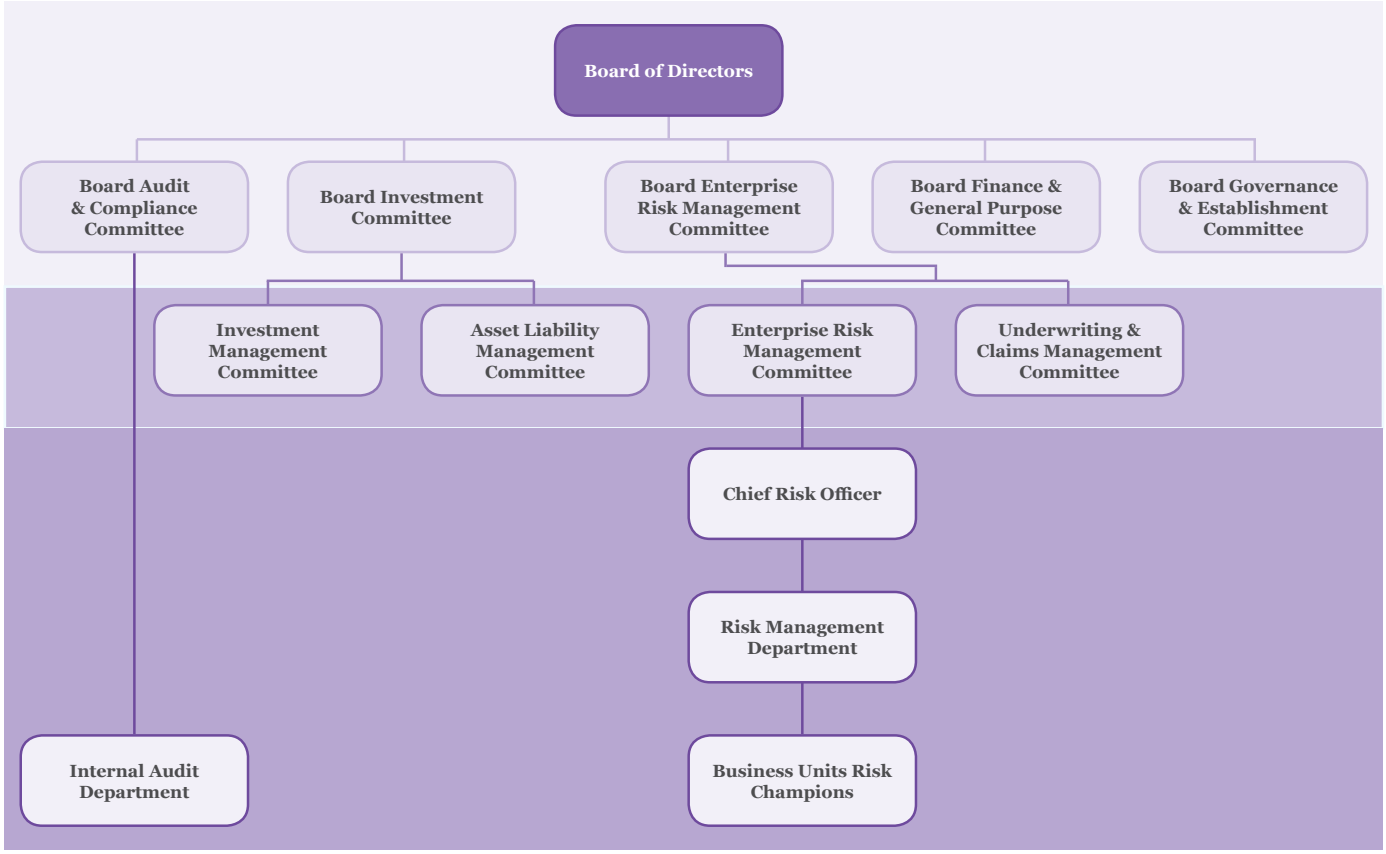
These risks and the framework for their management are detailed in the enterprise risk management framework.

Risk Management Governance Framework

The framework details Wapic's risk universe and governance structure comprising three distinct layers:

1. The enterprise-wide risk-management and corporate governance committee forums;
2. The executive management committees; and
3. Risk-management responsibilities per risk area.

Wapic's Risk Management Governance Structure



Setting the Stage for Robust Risk Management

In Wapic, risk management practice is accepted company wide and considered a critical enabler for the achievement of operational efficiency. The Company has adopted a risk govenance structure backed by the 3 lines of defence approach. Our risk management approach is designed to identify, measure, manage, report and monitor risks which affect the achievement of strategic, underwriting, operational and financial objectives. As part of the foregoing, optimizes returns by reacting to the new threats and opportunities through the adjustment of our risk profile in line with the Company's specified tolerance.

Our risk-management framework provides essential tools to enable us take timely and informed decisions to maximize opportunities and mitigate potential threats.

Our approach to risk-management

Given that risk management is an intrinsic part of our corporate strategy. The Company has established an overall risk tolerance framework to manage, protect earnings, capital and encourage a diversified business model.

The Company's risk management is designed to create a risk awareness culture and ensure personal accountability throughout the company.

In keeping with our new corporate aspiration Wapic also refocussed on reducing its exposure to higher-risk assets classes and higher-risk business activities. In order to strengthening the Company's capital and risk culture employees are encouraged to abide by the Company's risk management policies in their functions. Importantly, Company-wide risk assessments are conducted on all business units with the view to determine the risk profile of the Company, established the corporate risk register and monitored the implementation of the control measures in the Company. Risk registers were developed for specific business units with a view to update the risk registers as new risks are identified and mitigated.

Management continually supports and advocate for effective risk management practice across the Company. The Company increased its effort in implementing risk management practice company-wide and periodic reviews of risk exposure limits and risk control were conducted on monthly and quarterly basis with a view to position itself against any adverse scenarios. Equally, the Company regularly reports on its current risk issues, adherence to its risk policies and improvement actions at the company–wide level.

In line with the Company's risk management architecture, business lines have started using risk management practices to enhance their decision-making processes. It is noteworthy that in 2013, internal audit begun to independently assessed risk management practice within the Company on a quarterly basis to determine the level of acceptance, as well as to establish if the function is run within the confines of the approved policies, SOP and regulatory guidelines. The Board of Directors and Management of the Company are continually committed to constantly establishing, implementing and sustaining tested practices in risk management to match those of leading international insurance companies.

Essentially, the Enterprise Risk Management (ERM) Framework detailed as the umbrella risk policy is a structured approach to identifying opportunities, assessing the risks inherent in business opportunities and actively managing those risks in a cost-effective manner. It is a top-level integrated approach to events identification and analysis for proper assessment, monitoring, and identification of business opportunities. Managing risks in the different key risk types (such as underwriting, credit, market, operational, liquidity, strategic and reputational risk) have been heightened sequel to the instituting the specific policies.

Wapic's ERM framework is subjected to continuous review against best practices to ensure effective and cutting-edge risk management.

The Chief Risk Officer (CRO) applied both quantitative and qualitative metrics in providing robust support to Management. This has helped to enhance the quality of decision making within the organisation with a view to achieving the set goals. The CRO ensures that risk mitigants across functions measures are sufficient to bring residual risks within the acceptable risk appetite level before transactions and/or businesses are consummated. The risk management team ensures the enforcement of the Company's risk policies via the business lines and constantly monitors risks with the aim of identifying and quantifying significant risk exposures and acting upon such exposures as necessary.

Overall, we view risk not only as a threat, but also as a potential opportunity to grow and develop the business within the context of clearly articulated and driven risk appetites. Thus, Wapic approaches risk, capital and value management form a holistic perspective.

Risk and Capital Drive Value

Wapic consistently balances risks assumed against capital required. This helps to maintain the company's focus on value by through the consistent analyzes of risks to optimize the upside and minimizing the downside. This process has added value for our shareholders, provided security to our capital providers and clients, and also ensured overall sustainability in our business activities. During 2013, our capital was increased by way of a rights issue to existing shareholders which steered the Company's repositioning to adequately cover its liability exposures.

Every Wapic activity requires capital to earn a return, such capital is placed at risk. Leveraging from past year, substantial work has been done in improving our risk and capital management framework to focus on taking risks where we:

- Understand the nature of the risks and the range of outcomes under various scenarios for taking these risks;
- Understand the capital required in order to assume these risks;
- Understand the range of returns on the capital required to undertake such risks; and
- Attempt to optimize the risk-adjusted rate of return by reducing the range of outcomes and capital required arising from these risks and increasing the certainty of earning an acceptable return.

Value is added to shareholders as our process allows us to demonstrate sustainable risk-adjusted returns in excess of our cost of capital. This process provides security to our capital providers and clients by assuring them that we are not taking on incremental risks which may adversely affect the outcomes we have contracted to deliver to them.

Enterprise-wide Stress Testing

Enterprise-wide stress testing is central to our risk management practices. Periodically the Company conducts such tests to provide an understanding of the potential impacts to our risk profile, capital and liquidity. Simulation and scenario analyses are used to assess the financial and management capability of Wapic to continue operating effectively under extreme but plausible trading conditions. Such conditions may arise from economic, political, legal, environmental, and social factors.

Analyses from such stress scenarios is compiled for and reviewed through the Enterprise Risk Management Committee and serves to inform and be incorporated, along with other core business processes, into decision making by management and the Board. The Company would continue to invest in and improve stress testing capabilities as a core business process.

Roles and Responsibilities

Board of Directors

The Board of Directors' role as it relates to risk-management is divided into eight areas: general; credit; operational; market; underwriting; compliance; reputational; and strategic risks. Specific roles in these areas are further defined below:

General risk

a. Develop a formal enterprise risk-management framework;
b. Review and approve the establishment of a risk management function that would independently identify, measure, monitor and control risks inherent in all risk-taking units of the Company;
c. Ratify the appointment of qualified officers to manage the risk management function;
d. Approve and periodically review the Company's risk strategy and policies;
e. Approve the Company's risk appetite and monitor the Company's risk profile against this appetite;
f. Ensure that the management of the Company has an effective ongoing process to identify risk, measure its potential impact and proactively manage these risks;
g. Ensure that the Company maintains a sound system of risk-management and internal control with respect to:
    - Efficiency and effectiveness of operations;
    - Safeguarding of the Company's assets (including information);
    - Compliance with applicable laws, regulations and supervisory requirements;
    - Reliability of reporting; and
    - Behaving responsibly towards all stakeholders.
h. Ensure that a systematic, documented assessment of the processes and outcomes surrounding key risks is undertaken at least annually;
i. Ensure that management maintains an appropriate system of internal control and review of its effectiveness;
j. Ensure risk strategy reflects the Company's tolerance for risk;
k. Review and approve changes/amendments to the risk-management framework;
l. Review and approve risk-management procedures and control for new products and activities; and
m. Periodically receive risk reports from management highlighting key risk areas, control failures and remedial action steps taken by management.

Credit risk

a. Approve the Company's overall risk tolerance in relation to credit risk based on the recommendation of the Chief Risk and Compliance Officer;

b. Ensure that the Company's overall credit risk exposure is maintained at prudent levels and consistent with the available capital through quarterly review of various types of credit exposure;
c. Ensure that top management, as well as individuals responsible for credit risk-management, possess the requisite expertise and knowledge to accomplish the risk-management function;
d. Ensure that the Company implements a sound methodology that facilitates the identification, measurement, monitoring and control of credit risk;
e. Ensure that detailed policies and procedures for credit risk exposure creation, management and recovery are in place; and
f. Appoint credit officers and delegate approval authorities to individuals and committees.

Operational risk

a. Oversee the overall governance of the Company's operational risk-management process;
b. Set the Company's operational risk strategy and direction in line with the Company's corporate strategy;
c. Approve the Company's operational risk-management framework;
d. Periodically review the framework to ensure its relevance and effectiveness;
e. Ensure that senior management is performing their risk-management responsibilities; and
f. Ensure that the Company's operational risk-management framework is subject to effective and comprehensive internal audit by operationally independent, appropriately trained and competent staff.

Market risk

a. Define the Company's overall risk appetite in relation to market risk;
b. Ensure that the Company's overall market risk exposure is maintained at levels consistent with the available capital;
c. Ensure that top management, as well as individuals responsible for market risk-management, possess sound expertise and knowledge to accomplish the risk- management function;
d. Approve the Company's strategic direction and tolerance level for liquidity risk;
e. Ensure that the Company's senior management has the ability and required authority to manage liquidity risk;
f. Approve the Company's liquidity risk-management framework; and
g. Ensure that liquidity risk is identified, measured, monitored and controlled.

Underwriting risk

a. Approve the underwriting strategy (inclusive claims and reinsurance) of the firm;
b. Ensure that all the key risks related to underwriting exposures are identified, measured, monitored and controlled;
c. Approve the Company's underwriting risk management framework and policies;
d. Ensure that the Company's Insurance's plans meet the regulatory risk-based supervision requirements for underwriting;
e. Approve the modification of existing products and introduction of new products;
f. Approve the claims approval process and authority limits for the Company

Compliance risk

a. Approve the Company's code of conduct and ethics;
b. Monitor the Company's compliance with laws and regulations, its code of conduct and ethics and Corporate governance practices;
c. Ensure new and changed legal and regulatory requirements are identified, monitored and reflected in Company processes;
d. Approve the compliance structure, mechanisms and processes established by management to ensure compliance with current laws, regulations and supervisory requirements; and
e. Ensure the Company has a compliance culture that contributes to the overall objective of risk-management.

Reputational risk

a. Set an appropriate tone and guidelines regarding the development and implementation of effective reputation risk-management practices, including an explicit statement of a zero-tolerance policy for all unethical behaviour;
b. Approve the Company's framework for the identification, measurement, control and management of reputational risk;
c. Monitor the Company's compliance with its reputational risk-management policies and recommend sanctions for material breaches of internal policies;
d. Review all exception reports by external parties such as regulators and auditors; ensure that appropriate sanctions are applied to erring officers; demand from management appropriate explanations for all exceptional items; ensure that management puts in place effective and remedial actions and reports on progress to the Board on an ongoing basis;
e. Ensure that Board members do not compromise their fit and proper status with regulators. They shall ensure that only Board members who do not tarnish the Company's image and reputation remain as members; and
f. Ensure that only fit and proper persons are appointed to senior management positions in the Company.

Strategic risk

a. Oversee the strategic risk-management process;
b. Ensure that the Company has in place an appropriate strategic risk-management framework which suits its own circumstances and needs;
c. Ensure that the strategic goals and objectives are set in line with the Company's corporate mission and values, culture, business direction and risk tolerance;
d. Approve the strategic plan (including strategies contained therein) and any subsequent changes, and review the plan (at least annually) to ensure its appropriateness;
e. Ensure the organization's structure, culture, infrastructure, financial means, managerial resources and capabilities, as well as systems and controls, are appropriate and adequate to support the implementation of its strategies;
f. Review high-level reports periodically submitted to the Board on the overall strategic risk profile, and ensure that any material risks and strategic implications identified from those reports are properly addressed; and
g. Ensure that senior management is competent in implementing strategic decisions approved by the Board, and in supervising such performance on a continuing basis.

Board Committees

The Board carries out its oversight function through its standing committees, each of which has a charter that clearly defines its purpose, composition and structure, frequency of meetings, duties, tenure and reporting lines to the Board. In line with best practice, the Chairman of the Board does not sit on any of the Board committees. The Board's five standing committees are: the Board Risk-Management Committee, the Board Audit and Compliance Committee, the Board Establishment & Governance Committee, Board Investment Committee, and the Board Finance & General Purpose Committee.

Management Committees

The management committees are: the Executive Committee (EXCO), the Enterprise Risk-Management Committee (ERMC), Underwriting & Claims Management Committee (UCMC), Investment Management Committee (IMC), and Criticized Assets Committees (CAC), IT Steering Committee.

Risk Management Department

a. Champion the implementation of the ERM Framework across the Company and subsidiaries. Periodically receive risk reports from management highlighting key risk areas, control failures and remedial action steps taken by management;
b. Develop risk policies, principles, process and reporting standards that define the Company's risk strategy and appetite in line with the Company's overall business objectives;

c. Ensure that controls, skills and systems are in place to enable compliance with the Company's policies and standards;
d. Facilitate the identification, measurement, assessment, monitoring and control of the level of risks in the Company;
e. Collect, process, verify, monitor and distribute risk information across the Company and other material risk issues to senior management, the Board and regulators;
f. Monitor compliance with Company-wide risk policies and limits;
g. Provide senior management with practical, cost-effective recommendations for improvement of risk-management;
h. Act as a key contact for senior management who may wish to request ad hoc reviews/investigations;
i. Ensure that laws, regulations and supervisory requirements are complied with including consequence management;
j. Champion the implementation of Solvency II;
k. Promote risk awareness and provide education on risk; and
l. Provide assurance on compliance with internal and external policies with respect to risk-management.
m. Conduct regular scanning of the Company's operating environment
n. Monitor the implementation of the Company's strategic plan

Key risks and uncertainties 2013

Risk type	Definition	Features	Key development in 2013	Risk Mitigation
Market risk	The risk of losses in positions arising from movements in market risk factors	• Potential for large material loses from complicated treasury products. • Potential for losses due to volatilities and stress events.	• The MPR was stable all through the year at 12% with Average Deposit interest rate increasing to an all-time high of 9.37%. • The maximum lending rate increased by 146 basis points from 23.44% to 24.90% as at the reporting date. • The Naira depreciated in value from N154.39 to N160.38 due to depletion in foreign reserve and oil theft. • Increased in Inflow of FDI • Increased in CRR to 50%	• Market and associated risks were identified, modeled and mitigated using the company's various market risk policies, stress test policies and Board approved limits.

Risk type	Definition	Features	Key development in 2013	Risk Mitigation
Liquidity risk	The risk that a given security or asset cannot be traded quickly enough in the market to prevent a loss (or make the required profit).	• May disrupt the business model and the company's activities. • Significantly correlated with underwriting and claims activities	• The full implementation of the NAICOM's "no premium no cover policy" improved liquidity in the industry and subsequent reduction in the impairment of premium debtors. • Increased in claims payout of prior years' accounts. • Increased in level of surrendered policies. • Operating cost surpassed budgeted amount	• We remain consistently within the provision of the NPNC policy and engaged actively Brokers and Agents on reconciliation of premium debt. • A Remedial Unit was created to manage sticky debts.
Operational Risk	The risk arising from inadequate or failed internal processes, people or systems, or from external environment	• Small but accumulated losses that can become materially high. • Infrequent material losses with high impact	• Inconsistency in processes. • Data integrity still inadequate. • Certain transactions were being done manually. • Wapic commence the process to ensure business resilience by training all staff on business continuity plan. • Development and implementation of policy standards and Procedure Manuals across all business functions.	• Automation of key processes. • Development of Business Process Review. • Metrics for proper identification of risks were implemented and reports were escalated to business units' heads and executives. • Company-wide Business continuity initiatives were developed. • Crisis management Plan were established.

Risk type	Definition	Features	Key development in 2013	Risk Mitigation
Other risk (Reputational, Strategic etc.)	Reputational Risk : The risk of negative public opinion resulting from the failure of the company to meet the expectations of its stakeholders. Strategic Risk: The risk of loss resulting from an institution's inability to implement appropriate business plans, strategies, decision-making, resource allocation and its inability to adapt to changes in its business environment	• Exposure to penalties, fines and reputational damage. • Expectations of stakeholders are not met	• The legacy issues from IPL exposed the Company however there was no major reputational risk event in 2013 as the company proactively managed the process successfully. • The transformation programme continued to progress. • The company opted upward its core value of ethics and professionalism which set a high standard that exceeded the regulators requirements. • The strategic risk is high due to changing regulatory environments and implementation of eight key projects under the transformation strategic initiatives and four core projects under the BPR.	• Framework was put in place to regularly monitor all risk event drivers, adherence to the principle of zero tolerance for regulatory breaches and active engagement of all stakeholders – customers, staff, suppliers, investors, regulators, etc. • Strategic risk is managed within the context of our thoroughly defined strategic focus. • Management constantly review deviations in plans and reports are rendered to the executive management team and the board.
Underwriting and Claims risk	Risk that the actual claim outcome is worse than the expected claim outcome at the underwriting stage.	• Potential risk of underwriting volatile policies. • Retention risk – potential for retaining beyond capacity. • Potential for catastrophic claims/ losses. • Potential for pricing risk.	• Cleaned up and paid all legacy outstanding claims and reinsurance premiums. • Developed policies and standard operating procedures (SOP) for the technical teams. • Reviewed the claims approval limit in order to fast track payment of claims. • Document the process flow from end to end for Underwriting, Claims, Central Processing unit and Financial Control. • Developed underwriting and reinsurance performance measurement standard framework.	• Strengthen technical competence in underwriting and claims through training and workshops for all technical staff. • Structure and streamline claims processes

Underwriting, Claims & Reinsurance Risk Management

In 2013, the technical function which was decentralized across business divisions was transformed into a centralized function which is ready to launch viable control for the identified underwriting risks, such as fragmented underwriting processes.

Insurance risk

Insurance risk is the inherent uncertainty regarding the pricing, product design, net retention, reserving, occurrence, amount or timing of insurance liabilities. These exposures assumed in Wapic through the underwriting process by the retention of insured businesses underwritten in the company are managed and monitored consistently within acceptable limits.

Key Developments in 2013:

In 2013, the transformation program continued in the technical department, which amongst other things included initiatives as highlighted below:

- Clean-up of Life data from the legacy application were updated to build appropriately individual life policy files. This ensures appropriate and acceptable policyholders' statements and laid the foundation for the automation of the life business.
- Developed policies and standard operating procedures (SOP) for the technical functions.
- Enhanced the Claims Approval Authority Limit to provide timely payment of claims to delight the customers.
- Documented the end-to-end process flow for application of new business and claims process which cut across Underwriting, Inspection, Reinsurance, Fulfillment, Claims, Central Processing unit and Financial Control functions with the aim of eliminating redundancy processes.

Non-life insurance risk

Non-life insurance risk include the reasonable possibility of significant loss due to uncertainty in the frequency of the occurrence of the insured events as well as in the severity of the resulting claims.

The risk coverage associated with non-life insurance includes:

- **Underwriting process risk:** Encountered when underwriting standards are not adhered to. Wapic consistently reviews underwriting performance against approved limits, authorities and underwriting philosophies. Wapic's underwriting strategy is to continuously take advantage of the diversification of non-life insurance risks across sectors and geographical locations within which Wapic operates.
- **Pricing risk:** These are risks which may arise due to underestimation of the insurance premium payable on a product. The prices charged by the company for insurance contracts will ultimately be inadequate to support the future obligations arising from those contracts. The technical price is set in a manner that allows for reasonable returns on capital in line with policy. Furthermore, appropriate pricing were established centrally and the underwriting guidelines were disseminated across the Company to ensure consistent pricing.
- **Policyholder behavior risk:** Is the risk that the policyholders' behavior in discontinuing the insurance business or reducing the proportion of the insurance business at renewal or terminating the insurance business prior to the maturity of the contract is worse than expected.
- **Product design risk:** Referes to the risk encountered when dynamic changes in customer preference and the new product introduced are not aligned properly. Wapic has incorporated governance procedures in its risk management framework to review and approve new products and to evaluate that the associated risks are well understood, mitigated and/or justified by the potential rewards.
- Net retention risk is the risk of retaining businesses more than Wapic's retention capacity. Wapic consistently on a daily basis monitored underwriting function to ensure that risks accepted are within the risk appetite (retention) level.
- **Emerging risk** - Wapic regularly conducted risk assessment to closely monitor potential emerging risk exposures with cross-functional expertise to identify, assess and recommend actions for such risk. Emerging risks are those risks phenomena whose full nature and effects are not yet known with the degree of certainty in other insurance exposures.
- **Reserve risk** - Wapic faces the risk that actual losses emerging on claim provisions may be higher than anticipated. Sequel to this uncertainty, non-life insurance reserves are regularly measured, reviewed and monitored.
- **Concentration Risk** - In addition to the specific risks insured, each line of business has the potential to expose Wapic to losses that may arise from natural and man-made catastrophes. The concentrations of risks arising from such potential catastrophes are regularly reported to senior management on monthly basis and quarterly to the

Board.

Based from Table 1 below, it reveals that Wapic is exposed to concentration risk in the non-life insurance segment by geographical location and the line of business based on gross direct written premiums. The company's exposure to non-life insurance risks varies significantly by class and may change over time. Approximately 90% of the non-life businesses were consummated in Lagos, the trend follows the circumstance that key industries are concentrated in Lagos. Also, Oil & Energy line of business contributed approximately 44% of the non-life insurance business. To mitigate the potential risk the concentration could pose to Wapic's capital, effective reinsurance arrangements were effected.

	Motor	Fire	General Accident	Marine	Aviation	Engineer-ing	Oil & Energy	Total
	N'M	N'M	N'M	N'M	N'M	N'M	N'M	N'M
Abuja	43	9	9	2	1	5	0	69
Benin	9	1	9	0	0	1	0	20
Enugu	10	3	1	2	0	0	0	16
Ibadan	18	7	12	1	0	0	0	38
Kano	7	2	3	9	31	0	0	52
Lagos	306	129	368	126	91	60	1,050	2,130
Port Harcourt	9	11	3	31	0	1	0	55
Total	**402**	**162**	**405**	**171**	**123**	**67**	**1,050**	**2,380**

Table 1a: Non-life Insurance – Gross Premium by line of business and geographical location for 2013.

	Motor	Fire	General Accident	Marine	Aviation	Engi-neering	Oil & Energy	Bond	Total
	N'M	N'M	N'M	N'M	N'M	N'M	N'M	N'M	N'M
Abuja	86	17	15	6	-11	12	26	0	151
Benin	20	6	24	1	0	0	0	0	50
Enugu	35	6	3	2	0	0	0	0	47
Ibadan	32	4	11	2	1	2	0	0	53
Kano	20	4	16	-1	23	2	0	2	67
Lagos	433	136	477	144	28	53	527	12	1,810
Port Harcourt	24	5	7	12	0	2	1	0	52
Total	**651**	**179**	**553**	**165**	**41**	**72**	**555**	**14**	**2,231**

Table 1b: Non-life Insurance – Gross Premiums by line of business and geographical location for 2012.

Risks from Man-made Catastrophes

Man-made catastrophes include such risks as industrial accidents and all types of terrorism attacks. In 2013, there were quite a number of man-made events in Nigeria which include but not limited to Boko-Haram attacks, kidnapping, militants disturbances in Niger Delta, oil pipeline vandalizing etc.

Wapic's experience in monitoring potential exposures from natural catastrophes is also applicable to threats posed by man-made catastrophes, particularly terrorism. Due to the high degree of uncertainty about what events might actually occur, Wapic accumulation monitoring and analyses contain a number of assumptions about the potential characteristics of such threats depending on the frequency of such events.

Life Insurance Risk

The risks associated with life insurance include:

- Mortality risk is the risk that actual policyholder death experience on life insurance policies is higher than expected.
- Longevity risk is the risk that policyholders live longer than expected.
- Morbidity risk is the risk that policyholder health-related claims are higher than expected.
- Policyholder behavior risk is the risk that policyholders' behavior in discontinuing and reducing contributions or withdrawing benefits prior to the maturity of the contract is worse than expected. Poor persistency rates may lead to fewer policies remaining on the books which could defray future fixed expenses, thereby reducing the future positive cash flows of the business. Wapic is exposed to policyholder behavior risks. This is mitigated by improving the policyholders' experience on the products and the quality of services rendered.
- Expense risk is the risk that expenses incurred in acquiring and administering policies are higher than expected. Wapic is exposed to expense risks. The expense risk is mitigated by careful control of expenses and by regular expense analyses and allocation exercises.

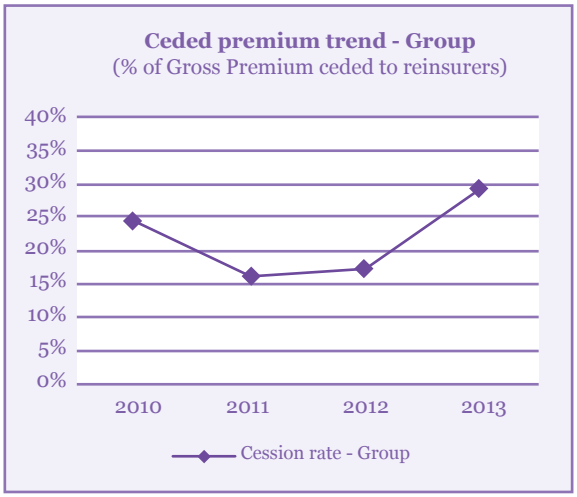
The Company regularly reviews the continued suitability and the potential risks of existing and new products that could significantly increase or change the nature of its risks. Such reviews allow Wapic to manage new risks inherent in its new business propositions.

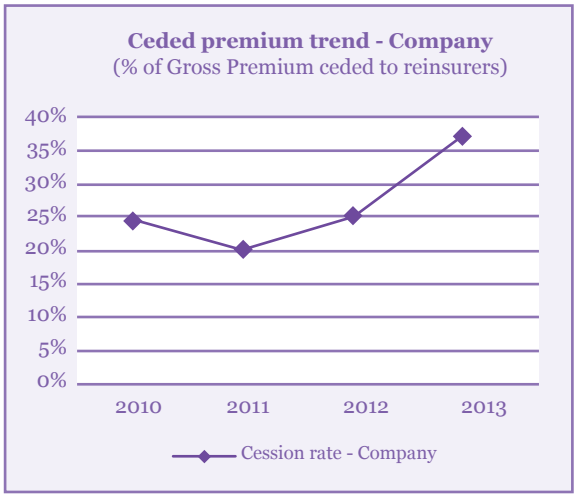
Certain life insurance contracts contain guarantees for which liabilities have been recorded for minimum guarantees. New Life products developed with financial guarantees are subject to review and approval by the product approval committee.

Reinsurance for non-life insurance and life insurance

Wapic's reinsurance unit keep abreast with risks the Company might be exposed to depending on the types of business (life / non-life) that have been underwritten in the Company. The objective of purchasing reinsurance is to provide market-leading capacity for customers while protecting the balance sheet and optimizing Wapic's capital efficiency.

The unit is guided by the treaty arrangement (both life and non-life) which was effected at the inception of the year for all line of insurance business that Wapic underwrites, except for Motor insurance which has a form of pool arrangement with the Nigerian Liability Insurance Pool (NLIP). The Company, therefore, is able to manage its risks to retain a significant and stable portion of premium, as shown in the charts below. In 2013, Wapic ceded more premiums to the reinsurers as compared to 2012, arising out of large risks written by the Company in 2013.





Reserves:

Reserving risk is the risk that the provisions held in the Wapic's financial statements for its policyholder obligations (also claim liabilities, loss reserves, or technical provisions) prove to be inadequate. In 2013, Wapic was exposed to

reserving risks and the following mitigating measures were put in place:

- Additional capital was injected into one of its subsidiary to boost the solvency ratio upward in order to compete effectively in the market.
- All outstanding claims files were internally reviewed and the provision amounts were adjusted. The outcome was further subjected to an independent actuarial valuation conducted by an external consultant.
- A reserving and monitoring framework was developed.
- Actuarial valuation to determine the Company's liabilities were conducted twice (semi-annually) in 2013 by external actuarial firms.

Claim reserves are necessary to properly recognize, at any given time, a company's future obligations. Wapic's risk management function regularly monitors the reserves position and submits their reports to senior management and board on monthly and quarterly basis, respectively.

Sensitivities analysis for Insurance risk

Table 2a and 2b show the sensitivity of net income before tax as a result of adverse development in the claims by an increase of 5pts and 10pts in claims ratio. Such an increase could arise from either higher frequency of the occurrence of the insured events or from an increase in the severity of resulting claims or from both. The sensitivities do not indicate a probability of such an event and do not consider any non-linear effects of reinsurance. Based on the assumptions applied in the presentation of the sensitivity analysis in the tables 2a and 2b below, each percentage increase in the claims ratio would lead to a linear impact on profit before tax. In addition, the Company monitors insurance risk by evaluating extreme scenarios.

5pts increase in claims ratio	Group	Company
	N'000	N'000
Effect on Profit Before Tax	(210,756)	(125,183)
Effect on Net Assets	(285,552)	(199,906)

Table 2a – Insurance Sensitivity Analysis

10pts increase in claims ratio	Group	Company
	N'000	N'000
Effect on Profit Before Tax	(421,512)	(250,366)
Effect on Net Assets	(496,308)	(325,088)

Table 2b – Insurance Sensitivity Analysis

Credit Risk Management

Credit risk arises from the loss or potential loss from counterparties failing to fulfill their financial obligations at the stipulated time or failure otherwise to perform as agreed. Wapic's exposure to credit risk is derived from the following main categories of assets:

- Cash and cash equivalents
- Debt securities
- Reinsurance assets
- Receivables

Wapic's objective in managing credit risk exposures is to maintain them within levels which that reflect the Company's

strategic objectives and risk tolerance. To assess counterparty credit risk, the Company uses the ratings assigned by external rating agencies, qualified third parties and internal ratings assessments. The Company frequently tested and analyzed credit risk scenarios and prepared possible contingency measures, which may be implemented should the credit risk environment worsen.

The Company regularly monitors and limits credit exposures by individual counterparty and related counterparty by the aggregated exposure across various types of credit risk for that counterparty. The Chief Risk Officer routinely reports the largest exposures to the ERMC and BRMC.

Credit risk related to cash and cash equivalents

The Company is significantly exposed to cash and cash equivalents. To mitigate concentration settlement and operational risks related to cash and cash equivalents, Wapic limits the maximum cash amount that can be deposited with a single counterparty. In addition, the Company maintains an approved list of cash counterparties based on current ratings and analysis of markets indicators.

Credit risk related to debt securities

The Company is exposed to credit risk from third party counterparties where the Company holds securities issued by those entities. Where the Company identifies investments expected to be downgraded to below investment grade, it implements appropriate corrective actions. The Company's exposure to financial counterparties risk is managed in line with the NAICOM's Act and the Group's policy which sets out specific rules for risk origination and management of the investment portfolio.

The Group's investment portfolio is exposed to credit risk through its fixed income and money market instruments. The contribution of the fixed Income & money market instruments to the Group's investment is as follows:

		31 December 2013			
		Group		Company	
		N'000		N'000	
	Note				
Money market instruments	8	5,504,396	38%	3,447,245	34%
Fixed income instruments	9	6,724,620	46%	4,913,310	48%
Trade receivables	10	186,223	1%	34,430	0%
Other receivables (less prepayments)	10	1,350,440	9%	1,246,567	12%
Reinsurance assets	11	727,612	5%	536,666	5%
		14,493,291	**100%**	**10,178,218**	**100%**

		31 December 2012			
		Group		Company	
		N'000		N'000	
	Note				
Money market instruments	8	3,696,603	36%	2,540,707	44%
Fixed income instruments	9	4,867,690	48%	2,241,258	39%
Trade receivables	10	667,365	7%	231,422	4%
Other receivables (less prepayments)	10	488,681	5%	507,520	9%
Reinsurance assets	11	474,394	5%	286,791	5%
		10,194,733	**100%**	**5,807,698**	**100%**

The Group's exposure to credit risk is low as Government sector (Government bonds and Treasury bills) and money market accounted for 84% of the investment as at December 31, 2013.(31 December 2012 and 84%).

The Group further manages its exposure to credit risk through established limits as approved by the Board. These limits are determined based on credit ratings of the counterparty amongst other factors. All fixed income investments are measured for performance on a quarterly basis and monitored by management on a monthly basis.

The Company's counterparty exposure as at 31 December 2013 is represented below:

Company portfolio		
Counterparty	**Investment in money market**	**%**
	N'000	
National Banks	3,186,643	92%
Discount House	257,279	7%
Others	3,323	0.0%
Total	**3,447,245**	**100%**

The Company's counterparty exposure as at 31 December 2012 is represented below:

Company portfolio		
Counterparty	**Investment in money market**	**%**
	N'000	
National Banks	1,661,320	65%
Discount House	876,314	34%
Others	3,073	0.1%
Total	**2,540,707**	**100%**

Credit risk related to reinsurance assets

Credit risk to external reinsurers appears when insurance risk exposures are transferred by us to external reinsurance companies to mitigate insurance risk. Potential losses can arise either due to non-recoverability of reinsurance receivables already present at the as-of date or default on benefits that are under reinsurance treaties in-force. Management monitors the creditworthiness of all reinsurers by reviewing their annual financial statements, rating and tiering them using internal and external rating parameters. Processes are put in place at ensuring that exposures due from reinsurers are minimized and due remittances are made based on the treaty arrangement. The table below shows our exposure due from reinsurance companies as at December 2013 and the preceding year 2012.

	2013	**2012**
	N'000	**N'000**
Reinsurance recoverable	633,121	474,394

Credit risk related to receivables

The Company is exposed to credit risk from receivables arising from third party agents, brokers and direct clients. To mitigate this risk, the Company impaired businesses that had past due dates but which the counterparties are yet to pay. In 2013, the Company continued efforts to reduce past due receivables through initiatives to improve processes and systems. In addition, the Company pursued the implementation of NAICOM's No Premium No Cover guideline, thus this has minimized Wapic's exposure to premium debts generated over prior years.

Market Risk

Wapic's ability to meet business objectives will be adversely affected by changes in the level or volatility of market rates or prices such as interest rates, foreign exchange rates, equity prices, commodity prices and credit spreads. Market risk mainly arises from trading activities and equity investments. Wapic's identification, management, control, measurement and reporting of market risk is aligned towards the sub-risk categories namely;

1. Interest rate risk
2. Foreign exchange risk
3. Equity price risk
4. Property risk

Interest rate risk

Interest rate risk is the exposure of the Group's financial condition to adverse movements in interest rates, yield curves and credit spreads. The Group is exposed to interest rate risk through the interest bearing assets and liabilities in its trading books.

The Company is moderately exposed to interest-rate risk through its conservative investment approach with high investment in Fixed Income and Money Market instruments. Interest rate risk also exists in life policies that carry investment guarantees on early surrender or at maturity, where claim values can become higher than the value of backing assets as a result of rises or falls in interest rates. During 2013, the following initiatives were taken to mitigate exposures from adverse movement in interest rate.

- The Company consistently assessed and monitored the macro factors to ensure that the declining inflation rate and interest rate from Tier 1 banks do not fall below the guaranteed interest rate given in certain life products.
- The Money Deposit Banks and other financial institutions were tiered into three groups using financial and non-financial parameters to assess financial soundness of the counterparty and limit exposures (Individual, Grade and Rollover) were set.
- The Company on a regular basis managed and monitored exposure to concentration risk to ensure it is in compliance with NAICOM's provision of not more than 20% of an insurance Company's exposure (Current account and deposit) is with a single institution.

Interest rate risk is managed principally through monitoring interest rate gaps and sensitivity analysis across all investment portfolios. The Group's interest-rate sensitive liabilities are quite small compared with the interest-rate sensitive assets, thus fluctuations in interest rates cannot significantly impact our balance sheet.

A summary of the Group's interest rate gap position on non-trading portfolios was as follows:

Market Risk						
			Re-pricing period			
	Carrying amount	No stated maturity	1 - 3 months	3 -6 months	6 - 12 months	1 - 5 years
Group - 31 December 2013						
Assets						
In thousands of Naira						
Cash and cash equivalents	5,853,022	-	5,853,022	-	-	-
Debt securities - Held to maturity	6,724,620	-	1,550,726	4,469,866	553,959	150,069
	12,577,642	**-**	**7,403,748**	**4,469,866**	**553,959**	**150,069**
Liabilities						
Liabilities on investment contracts	1,455,087	1,455,087	-	-	-	-
	1,455,087	**1,455,087**				
Total interest re-pricing gap	11,122,555	(1,455,087)	7,403,748	4,469,866	553,959	150,069

		Re-pricing period				
	Carrying amount	No stated maturity	1 - 3 months	3 -6 months	6 - 12 months	1 - 5 years
Group - 31 December 2012						
Assets						
In thousands of Naira						
Cash and cash equivalents	4,068,517	-	4,068,517	-	-	-
Debt securities - Held to maturity	4,867,690	-	3,803,413	115,893	-	948,384
	8,936,207	**-**	**7,871,930**	**115,893**	**-**	**948,384**
Liabilities						
Liabilities on investment contracts	65,591	65,591	-	-	-	-
	8,870,616	**(65,591)**	**7,871,930**	**115,893**	**-**	**948,384**
Total interest re-pricing gap	**5,956,595**	**110,087**	**5,448,714**	**115,893**	**(666,483)**	**948,384**

A summary of the Company's interest rate gap position on non-trading portfolios was as follows:

Market Risk

		Re-pricing period					
	Carrying amount	No stated maturity	1 - 3 months	3 -6 months	6 - 12 months	1 - 5 years	Above 5 years
Company - 31 December 2013							
Assets							
In thousands of Naira							
Cash and cash equivalents	3,651,476	-	3,651,476	-	-	-	-
Debt securities - Held to maturity	4,913,310	-	411,956	4,351,285	-	150,069	-
	8,564,786	**-**	**4,063,432**	**4,351,285**	**-**	**150,069**	**-**
Liabilities							
Liabilities on investment contract	-	-	-	-	-	-	-
Total interest re-pricing gap	**8,564,786**	**-**	**4,063,432**	**4,351,285**	**-**	**150,069**	**-**

		Re-pricing period					
	Carrying amount	No stated maturity	1 - 3 months	3 -6 months	6 - 12 months	1 - 5 years	Above 5 years
Company - 31 December 2012							
Assets							
In thousands of Naira							
Cash and cash equivalents	2,671,903	-	2,671,903	-	-	-	-
Debt securities - Held to maturity	2,241,258	-	1,482,895	115,893	-	642,470	-
	4,913,161	**-**	**4,154,798**	**115,893**	**-**	**642,470**	**-**
Liabilities							
Liabilities on investment contracts						-	-
Total interest re-pricing gap	**4,913,161**	**-**	**4,154,798**	**115,893**	**-**	**642,470**	**-**

Foreign Exchange risk

The Group is exposed to foreign exchange currency risk primarily through undertaking certain transactions denominated in foreign currency with investments in unquoted equity, dollar-denominated fixed deposits and bank balances in other foreign currencies.

Foreign exchange risk is quantified using the net balance of assets and liabilities in each currency, and their total sum. The assets and liabilities include current positions, forward positions, commitments, and the market value of derivatives in foreign currency.

Our net total currency balance is always within specified regulatory limits which is currently 1% of shareholders' funds.

The table below summarizes the Group's financial instruments at carrying amount, categorized by currency:

		31 December 2013					
		Total	Naira	Us Dollar	Euro	Pound	Others
	Notes						
Group							
In thousands of Naira							
Assets							
Cash and cash equivalents	8	5,853,022	4,997,702	248,328	9,061	84	-
Equity securities - Available-for-sale	9	869,721	869,721	-	-	-	-
Debt securities - Held to maturity	9	6,724,620	6,724,620	-	-	-	-
Non pledged trading assets	9	12,563	12,563	-	-	-	-
Trade receivables	10	186,223	186,223	-	-	-	-
Other receivables	10	1,350,438	1,350,438	-	-	-	-
Total assets		**14,996,587**	**14,141,267**	**248,328**	**9,061**	**84**	**597,847**
Liabilities							
Investment contract liabilities	20	1,455,087	1,455,087				
Trade and other payables	20 & 21	3,366,626	3,061,827	-	-	-	304,799
Total liabilities		**4,821,713**	**4,516,914**	**-**	**-**	**-**	**304,799**

		31 December 2012					
		Total	Naira	Us Dollar	Euro	Pound	Others
	Notes						
Group							
In thousands of Naira							
Assets							
Cash and cash equivalents	8	4,068,517	3,949,357	54,733	3,529	244	60,654
Equity securities - Available-for-sale	9	16,736	10,242	6.494	-	-	-
Debt securities - Held to maturity	9	4,867,69	4,293,729	-	-	-	573,961
Non pledged trading assets	9	158,942	158,942	-	-	-	-
Trade receivables	10	667,365	480,193	-	-	-	187,172
Other receivables and prepayments	13	642,027	616,423	-	-	-	25,604
Total assets		**10,421,277**	**9,508,886**	**61,227**	**3,529**	**244**	**847,391**
Liabilities							
Trade and other payables	20 & 21	853,219	553,039	-	-	-	300,180
Total liabilities		**853,219**	**553,039**	**-**	**-**	**-**	**300,180**

The table below summarizes the Company's financial instruments at carrying amount, categorized by currency:

		31 December 2013					
		Total	Naira	Us Dollar	Euro	Pound	Others
Company	**Notes**						
In thousands of Naira							
Assets							
Cash and cash equivalents	8	3,651,476	3,394,003	248,328	9,061	84	-
Equity securities - Available-for-sale	9	869,721	869,721	-	-	-	-
Debt securities - Held to maturity	9	4,913,310	4,913,310	-	-	-	-
Non pledged trading assets	9	11,375	11,375	-	-	-	-
Trade receivables	10	34,430	34,430	-	-	-	-
Other receivables and prepayments	13	1,246,567	1,246,567	-	-	-	
Total assets		**10,726,879**	**10,469,406**	**248,328**	**9,061**	**84**	**-**
Liabilities							
Trade and other payables	20 & 21	2,764,257	2,764,257	-	-	-	-
Total liabilities		**2,764,258**	**2,764,258**	**-**	**-**	**-**	**-**

		31 December 2012					
		Total	Naira	Us Dollar	Euro	Pound	Others
Company	**Notes**						
In thousands of Naira							
Assets							
Cash and cash equivalents	8	2,671,903	2,616,956	51,174	3,529	244	-
Equity securities - Available-for-sale	9	16,736	10,242	6,494	-	-	-
Debt securities - Held to maturity	9	2,241,258	2,241,258	-	-	-	-
Non pledged trading assets	9	126,351	126,351	-	-	-	-
Trade receivables	10	231,422	231,422	-	-	-	-
Other receivables and prepayments	13	647,172	647,172	-	-	-	
Total assets		**5,934,842**	**5,873,401**	**57,668**	**3,529**	**244**	**-**
Liabilities							
Trade and other payables	20 & 21	488,003	488,003	-	-	-	-
Total liabilities		**488,003**	**488,003**	**-**	**-**	**-**	**-**

Liquidity Risk Management

Liquidity risk is the risk that cash may not be available for the Company to pay obligations when due. The Group mitigates this risk by monitoring cash activities and expected outflows and preserves a high degree of liquidity so that it can meet its obligations to its customers at all times. The Group's current liabilities arise as claims are made and clients request for termination of their investment-linked products. The Group has no material commitments for capital expenditures and there is no need for such expenditures in the normal course of business. Claims payments are funded by current operating cash flow including investment income. The Group has zero tolerance for liquidity risk and is committed to meeting all liabilities as they fall due.

Liquidity positions are measured by calculating the Group's net liquidity gap. Below is a summary of the contractual re-pricing or maturity dates (whichever is earlier) of financial assets matched with financial liabilities.

Quantifications

Wapic has adopted both qualitative and quantitative approaches to measuring liquidity risk. Specifically, the Company adopted the following approaches:

a. Funding and Liquidity plan;

b. Gap Analysis; and

c. Ratio Analysis.

The following table shows the undiscounted cash flows on the Group's financial assets and liabilities and on the basis of their earliest possible contractual maturity. The Gross nominal inflow / (outflow) disclosed in the table is the contractual, undiscounted cash flow on the financial asset liability.

	Residual contractuaCl maturities of financial assets and liabilities					
	Carrying amount	Gross nominal inflow/ (outflow)	1 - 3 months	3 -6 months	6 - 12 months	1 - 5 years
Group - 31 December 2013						
In thousands of Naira						
Assets						
Cash and cash equivalents	5,853,022	5,853,022	5,853,022	-	-	-
Equity securities-Available for sale	869,721	869,721	-	-	-	869,721
Equity securities - Held for trading	12,563	12,563	12,563	-	-	-
Held to maturity	6,724,620	6,724,620	1,550,726	4,469,866	553,959	150,069
Trade receivables	186,223	186,223	186,223	-	-	-
Other receivables	1,350,438	1,350,438	1,350,438	-	-	-
	14,996,587	**14,996,587**	**8,952,972**	**4,469,866**	**553,959**	**1,019,790**
Liabilities						
Financial liabilities:						
– Investment contracts	1,455,087	1,455,087	1,455,087	-	-	-
Trade and other payables	3,366,626	3,366,626	3,366,626	-	-	-
	4,821,713	**4,821,713**	**4,821,713**	**-**	**-**	**-**
Gap (asset - liabilities)	10,174,874	10,174,874	4,131,259	4,469,866	553,959	1,019,790
Cumulative liquidity gap	10,174,874	10,174,874	4,131,259	8,601,125	9,155,084	10,174,874

	Residual contractual maturities of financial assets and liabilities					
	Carrying amount	Gross nominal inflow/ (outflow)	1 - 3 months	3 -6 months	6 - 12 months	1 - 5 years
Group - 31 December 2012						
In thousands of Naira						
Assets						
Cash and cash equivalents	4,068,517	4,068,517	4,068,517	-	-	-
Equity securities-Available for sale	16,736	16,736	16,736	-	-	-
Equity securities - Held for trading	158,942	158,942	158,942	-	-	-
Held to maturity	4,867,690	4,867,690	3,803,413	115,893	-	948,384
Other financial instruments held to maturity	-		-	-	-	-
Trade receivables	667,365	667,365	667,365	-	-	-
	9,779,250	**9,779,250**	**8,714,973**	**115,893**	**-**	**948,384**
Liabilities						
Financial liabilities:						
– Investment contracts	65,591	65,591	65,591	-	-	-
Trade and other payables	853,219	853,219	853,219	-	-	-
	918,810	**918,810**	**918,810**	**-**	**-**	**-**
Gap (asset - liabilities)	8,860,440	8,860,440	7,796,163	115,893	-	948,384
Cumulative liquidity gap	8,860,440	8,860,440	7,796,163	7,912.056	7,912,056	8,860,440

The following table shows the undiscounted cash flows on the Company's financial assets and liabilities and on the basis of their earliest possible contractual maturity. The Gross nominal inflow / (outflow) disclosed in the table is the contractual, undiscounted cash flow on the financial asset or liability.

	Residual contractual maturities of financial assets and liabilities					
	Carrying amount	Gross nominal inflow/ (outflow)	1 - 3 months	3 -6 months	6 - 12 months	1 - 5 years
Company - 31 December 2013						
In thousands of Naira						
Assets						
Cash and cash equivalents	3,651,476	3,651,476	3,651,476	-	-	-
Equity securities - Available for sale	869,721	869,721	-	-	-	869,721
Equity securities - Held for trading	11,375	11,375	11,375	-	-	-
Held to maturity	4,913,310	4,913,310	-	4,351,286	-	150,069
Trade receivables	34,430	34,430	34,430	-	-	-
	9,480,312	**9,480,312**	**3,697,281**	**4,351,285**	**-**	**1,019,790**
Liabilities						
Trade and other payables	2,967,864	2,967,864	2,967,864	-	-	-
	2,967,864	**2,967,864**	**2,967,864**	**-**	**-**	**-**
Gap (asset - liabilities)	6,512,448	6,512,448	729,417	4,351,285	-	1,019,790
Cumulative liquidity gap	6,512,448	6,512,448	729,417	5,080,702	5,080,702	6,100,492

	Residual contractual maturities of financial assets and liabilities					
	Carrying amount	Gross nominal inflow/ (outflow)	1 - 3 months	3 -6 months	6 - 12 months	1 - 5 years
Company - 31 December 2012						
In thousands of Naira						
Assets						
Cash and cash equivalents	2,671,903	2,671,903	2,671,903	-	-	-
Equity securities - Available for sale	16,736	16,736	16,736	-	-	-
Equity securities - Held for trading	126,351	126,351	126,351	-	-	-
Held to maturity	2,241,258	2,241,258	1,482,895	115,893	-	642,470
Other financial instruments held to maturity		-	-	-	-	
Trade receivables	231,422	231,422	231,422	-	-	-
	5,287,670	**5,287,670**	**4,529,307**	**115,893**	**-**	**642,470**
Liabilities						
Trade and other payables	488,003	488,003	488,003	-	-	-
	488,003	**488,003**	**488,003**	**-**	**-**	**-**
Gap (asset - liabilities)	4,799,667	4,799,667	4,041,304	115,893	-	642,470
Cumulative liquidity gap	4,799,667	4,799,667	4,041,304	4,157,197	4,157,197	4,799,667

The table below shows amounts expected to be recovered or settled after more than twelve months (non-current) for each asset and liability line item and the amounts expected to be recovered or settled no more than twelve months after the reporting period (current).

Group						
	31 December 2013			31 December 2012		
	Current	Non-current	Total	Current	Non-current	Total
In thousands of Naira						
Assets						
Cash and cash equivalents	5,853,022	-	5,853,022	4,068,517	-	4,068,517
Financial assets	6,587,114	1,019,790	7,606,904	4,094,984	948,384	5,043,368
Trade receivables	186,223	-	186,223	667,365	-	667,365
Reinsurance assets	727,612		727,612	474,394	-	474,394
Deferred acquisition cost	194,916		194,916	175,788	-	175,788
Other receivables and prepayments	1,423,543		1,423,543	642,027	-	642,027
Investment in subsidiaries			-	-	-	-
Investment property	-	4,358,495	4,358,495	-	264,334	264,334
Deferred tax asset	-	330,580	330,580	-	100,116	100,116
Intangible assets		70,212	70,212	-	65,695	65,695
Property, plant and equipment	1,036,305	1,036,305		659,532	659,532	
Statutory deposit	516,234	516,234	520,309	-	517,619	517,619
Total Assets	**14,972,430**	**7,331,616**	**22,304,046**	**10,123,075**	**2,555,680**	**12,678,755**
Liabilities						
Insurance contract liabilities	2,951,635	-	2,951,635	3,545,872	-	3,545,872
Investment contract liabilities	1,455,087	-	1,455,087	65,591	-	65,591
Trade payables	462,248	-	462,248	492,509	-	492,509
Provisions and other payables	2,904,378	-	2,904,378	360,710	-	360,710
Deferred income tax liabilities	-	-		175,787	175,787	
Current income tax liabilities	351,171	-	351,171	309,763	105,046	414,809
Total Liabilities	**8,124,519**	**-**	**8,124,519**	**4,774,445**	**280,833**	**5,055,278**
GAP	**6,847,911**	**7,331,616**	**14,179,527**	**5,348,630**	**2,274,847**	**7,623,477**

The table below shows amounts expected to be recovered or settled after more than twelve months (non-current) for each asset and liability line item and the amounts expected to be recovered or settled no more than twelve months after the reporting period (current)

Group						
	31 December 2013			31 December 2012		
	Current	Non-current	Total	Current	Non-current	Total
In thousands of Naira						
Assets						
Cash and cash equivalents	3,651,476	-	3,651,476	2,671,903	-	2,671,903
Financial assets	4,362,660	150,069	4,512,729	1,741,875	642,470	2,384,345
Trade receivables	34,430	-	34,430	231,422	-	231,422
Reinsurance assets	536,666		536,666	286,791	-	286,791
Deferred acquisition cost	148,165		148,165	110,639	-	110,639
Other receivables and prepayments	1,319,670		1,319,670	647,172	-	647,172
Investment in subsidiaries		2,705,576	2,705,576	-	2,705,576	2,705,576
Investment property	-	4,308,161	4,308,161	-	182,667	182,667
Deferred tax asset	-	133,073	133,073	-	-	-
Intangible assets		60,127	60,127	-	53,316	53,316
Property, plant and equipment	688,142	1,036,305		361,731	361,731	
Statutory deposit		300,000	300,000	-	300,000	300,000
Total Assets	**10,053,067**	**8,345,148**	**18,398,215**	**5,689,802**	**4,245,760**	**9,935,562**
Liabilities						
Insurance contract liabilities	-	-	-	-	1,373,644	1,373,644
Investment contract liabilities	-	-	-	-	-	-
Trade payables	203,607	-	203,607	231,036	-	231,036
Provisions and other payables	2,764,257	-	2,764,257	256,967	-	256,967
Deferred income tax liabilities	-	-	-	124,175	124,175	
Current income tax liabilities	240,603	-	240,603	114,911	105,046	219,957
Total Liabilities	**3,208,467**	**-**	**3,208,467**	**602,914**	**1,602,865**	**2,205,779**
GAP	**6,844,599**	**8,345,148**	**15,189,748**	**5,086,888**	**2,642,895**	**7,729,783**

Risk from equity securities and real estate

The Group is exposed to various risks resulting from price fluctuations on equity securities and real estate. Risks arising from equity securities and real estate could affect the Group's liquidity, reported income and surplus. The exposure to equity risk includes common stocks, including equity holding in unquoted stocks. The exposure to real estate risk includes direct holdings in real estate and work-in-progress site construction. As at December 31, 2013, the Group had only one work-in-progress site construction located at Abuja (Victoria Garden Estate, Abuja).

The Group's exposure to real estate increased from N0.26b in 2012 to N3.71b in 2013 due to the takeover of Intercontinental Property Ltd (IPL). This changed the risk profile of the Group in 2013. However, the Group managed its risks from equity securities and real estate as part of the overall investment risk management process, and applies limits as expressed in policies and guidelines. Specifically, Wapic has limits for holdings in equities, real estate and alternative investments.

The table below shows the Group's exposure to equities and real estate property

Item	2013 (N'000)	2012 (N'000)
Real Estate (Property)	1,783,777	264,334
Real Estate (under construction)	1,980,000	-
Quoted Equities	12,563	158,942
Unquoted Equities	1,874,943	16,736

Analysis of economic sensitivity for equity risk

The table below shows the estimated impacts from a 10%, 20% and 30% decline in stock market All Share Index as at December 31, 2013.

Equity price sensitivity in millions of Naira

	Group			Company		
	10% decline	20% decline	30% decline	10% decline	20% decline	30% decline
Decline in stock market ASI						
	N'm	N'm	N'm	N'm	N'm	N'm
Investment	-189	-377	-566	-189	-377	-566
Liabilities	-	-	-	-	-	-
Net impact before tax	-189	-377	-566	-189	-377	-566
Tax impact	57	113	170	57	113	170
Net impact after tax	-132	-264	-396	-132	-264	-396

Analysis of sensitivities for investment property

The table below shows the estimated impacts from a 10%, 20% and 30% decline in property price as at December 31, 2013.

Investment Property sensitivity in millions of Naira

	Group			Company		
	10% decline	20% decline	30% decline	10% decline	20% decline	30% decline
Decline in stock market ASI						
	N'm	N'm	N'm	N'm	N'm	N'm
Investment Property	-178	-357	-535	-178	-357	-535
Liabilities	-	-	-	-	-	-
Net impact before tax	-178	-357	-535	-178	-357	-535
Tax impact	53	107	161	53	107	161
Net impact after tax	-125	-250	-374	-125	-250	-374

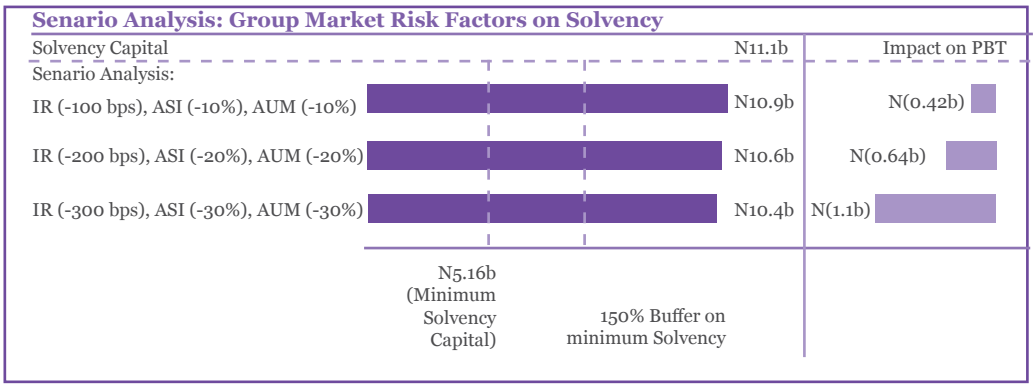
	Group 2013			Group 2012		
	10% decline	20% decline	30% decline	10% decline	20% decline	30% decline
Decline in stock market ASI						
	N'm	N'm	N'm	N'm	N'm	N'm
Investment Property	-178	-357	-535	-22	-38	-54
Liabilities	-	-	-	-	-	-
Net impact before tax	-178	-357	-535	-22	-38	-54
Tax impact	53	107	161	7	11	16
Net impact after tax	-125	-250	-374	-15	-26	-37

The sensitivity analysis worsened the Group' profit before tax as the position was a loss of N(0.42b).

Limitations of the analysis:

- The sensitivity analysis does not take into account actions that might be taken to mitigate loses, as an active strategy to manage this risks. This strategy may involve changing the asset allocation, for example through selling and buying assets;
- The sensitivities show the effects of a change of certain risk factors, while other assumptions remain unchanged;
- The equity market scenarios assume a concurrent movement of all stock markets; and
- The sensitivities do not indicate a probability of such events occurring in the future. In addition, management uses stress scenarios to assess the impact of more severe market movements on the Company's financial condition.

Market Risk Stress test on Capital Adequacy



The scenario analysis on market risk stress test shows a base case Group solvency capital of N11.1b with a solvency ratio of 216.12%. The worst case scenario of a decrease of 300 bps in interest rate on fixed income securities, 30% decrease in All Share Index (ASI) and 30% decrease in Asset under Management (AUM) reduced the solvency capital and ratio to N10.4b and 201.55% respectively. The Group's solvency capital is 115% over the minimum solvency capital and absorbed the worst case scenario of movements in the market risk factors.

Operational Risk Framework

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people, or systems, or from external events. Our definition of operational risk excludes regulatory risks, strategic risks and potential losses related solely to judgments with regard to taking credit, market, interest rate, liquidity, or insurance risks.

It also includes the reputation and franchise risk associated with business practices or market conduct in which the Company is involved. Operational risk is inherent in Wapic's global business activities and, as with other risk types, is managed through an overall framework designed to balance strong corporate oversight with well-defined independent risk management. This framework includes:

- recognized ownership of the risk by the businesses;

- oversight by independent risk management; and
- Independent review by Corporate Audit.

We minimized exposure to operational risk, subject to cost trade-offs. Operational risk exposures are managed through a consistent set of management processes that drive risk identification, assessment, control and monitoring. The implementation of a robust ORM Framework for effective management of Operational Risks (OR) in the Company is progressing gradually to basic stage. The importance of strong OR culture in the effective management of risks is paramount and embraced company-wide.

The implementation of OR framework is in compliance with regulatory demand. The OR framework of Wapic recognizes the need to align its framework with Wapic's dynamic risk profile as well as best practices. The framework identifies the necessity to accept OR losses that would not cause significant loss to the institution albeit such losses are provided for in the budget. However, OR losses that are assessed high with resultant significant losses are addressed by the framework.

Management and Control Responsibilities

In Wapic, we adopted a three-line approach to managing OR risks. This is shown in the diagram below.

From the diagram, the business units form the first level in the management of OR Risks. OR unit worked with the various business units to ensure that day to day activities were well run and any deviation from standards that may result in either financial loss or otherwise were immediately noted, flagged and managed. The periodic reports generated by OR unit were disseminated to management to aid their decision making and to seek approval for corrective action implementation. The Management being the second line of OR management ensured that OR policy and procedures are in place and well enforced. The Board ensured that the policy and procedure manuals are approved and reviewed periodically to reflect changes in business environments.

Measurement and Management

Wapic recognizes the importance of Operational risk and is committed to enhancing the measurement and management thereof. Within the Company's operational risk framework, qualitative and quantitative methodologies and tools are applied (Company-wide) to identify and assess operational risks and to provide management information for determining appropriate mitigating measures risks. For example, in 2013, a business flow-chart highlighting the end-to-end processes were designed linking the activities of various units together, eliminate bottlenecks and automate where necessary, identify operational risks and effectively manage time.

Risk Event Data Collection and Reporting

To properly keep log of risk exposures for both actual losses and potential losses, we have continued to carry out timely OR intervention by initiating and establishing company-wide loss data collection. The data gathered reside in a database on our shared-drive platform for future references and analysis of internal model of capital computation. General awareness on loss reporting and several other initiatives have been deployed to increase the commitment level of staff to freely report any losses and/or errors.

Risk and Control Self-Assessment (RCSA)

In order to pro-actively identify and actively mitigate risks, the operational risk framework utilizes RCSAs. RCSA is used at a granular level to identify relevant material risks and key controls mitigating these risks. We initiated an

extensive RCSA programme geared towards assessing the risks inherent in the processes of all business units. The risks and controls were assessed on a quarterly basis and relevant action plans were put in place to treat, tolerate, terminate or transfer the risks, taking into account the relevant business risk appetites.

Key Risk Indicators (KRIs)

This is another OR management metric deployed towards the Management of OR exposures in Wapic. A comprehensive set of KRIs are in place across Wapic, with relevant and agreed thresholds set by the business. KRIs are monitored on a Group and business unit level, based on significance. Threshold breaches were managed in accordance with agreed process across the Group.

Reporting

Timely and effective reporting of risk exposures to the management is germane to the overall effectiveness and success of any risk management framework. To that effect, reports generated from the implementation of techniques like KRI, RCSA etc. were regularly submitted to the management and Enterprise Risk Management Committee for information and effective decision making.

Allocating Capital to Business Units

An allocation methodology is applied for allocating capital to business units. For each business unit, the allocation takes into consideration not only the size of the business unit, but also measures of the business unit's control environment. This translates to a risk-sensitive allocation with the opportunity afforded to business to identify actions to positively impact on their respective allocated operational risk capital.

Expected loss (EL) budgeting mitigation

The developed database for loss event collation, Loss Event Register allows staff to report actual and near-miss (an unplanned event that did not result in injury, illness, or damage – but had the potential to do so) loss events. Summary statistics from the loss event database are used to show trends of total losses and mean average loss, with analysis by type of loss and business line.

Accomplishments in 2013

Operational Risk Management was able to accomplish the following:

- Standard of Operating Procedure (SOP) were developed by various units which has enables proper documentation of processes and using the documented processes as reference points.
- Monthly back-up & restoration of data testing to ensure that all data backed up by IT were done properly and effectively.
- The level of fraud has reduced drastically as highly secured controls are in place.

Reputational Risk Management

Reputation risk is the risk of indirect losses arising from a decline in an insurer's reputation amongst one or multiple stakeholders. The risk can expose the Insurer to litigation, financial loss or damage to its reputation. Reputation can primarily be damaged by an insurer's failure to manage the risks that it faces (such as Liquidity risk, Underwriting risk, Market risk, Operational risk or other material risks) as well as some external factors that are beyond its control (e.g. market rumours). Such damage may lead to serious consequences with immediate or long term implications.

At Wapic, we have created a structure within the Risk Management Group that effectively carries out the function of managing our reputation risk. Issues that could impact our reputation are been considered in our products, our services and other areas of engagements with all our stakeholders in a proactive manner. Reports are equally being generated and presented to Management and the Enterprise Risk Management Committee on monthly basis.

Strategic Risk Management

Strategic risk corresponds to the unintended risk that can result as a by-product of planning or executing the strategy. Strategic risks can arise from:

- Inadequate assessment of strategic plans
- Improper implementation of strategic plans
- Unexpected changes to assumptions underlying strategic plans

Wapic works on reducing the unintended risks of strategic business decisions through its risk assessment processes and tools. Wapic's Executive Committee regularly assesses key strategic risk scenarios for Wapic as a whole, including scenarios for emerging risks and their strategic implications.

Compliance Risk Management

Compliance risk is the risk of damage to the company's integrity as a result of failure (or perceived failure) to comply with relevant laws, regulations, internal policies and procedures or ethical standards. In addition to reputational damage, failure to effectively manage compliance risk can expose financial institutions to fines, civil and criminal penalties and payment of damages, court orders and suspension or revocation of licenses. A failure (or perceived failure) can adversely impact customers, staffs and shareholders of Wapic.

In ensuring compliance with laws and regulations, the company has put in place a robust compliance risk management policy which set out guidelines to manage the Group's compliance risk made indispensible by the expansion of Wapic activities in various jurisdictions, the evolving nature of the Global financial service industry, the introduction of new legislation, and the update of existing legislation, as well as the increasing complexities of the company's activities.

Ongoing changes in the insurance industry and continuous introduction of new legislations, guidelines as well as enforcement of existing regulations which had hitherto not been complied with by the operators in the industry by NAICOM have placed greater emphasis on the formal structured monitoring of compliance with legal, regulatory, supervisory and internal requirements. One of such is the "No Premium No Cover" Guideline which strict enforcement became effective in January 1st, 2013. In order to ensure full compliance with the guideline, the company designed and documented "No premium No Cover" process and staffs were trained to ensure proper understanding of the requirement of the guideline by every officers of the company. Similar approach is adopted to deal with either renewed enforcement of existing regulations or changes in regulations.

The Company mitigates compliance risk through a broad-based approach to process management and improvement. The lines of business are responsible for all the risk within the business line, including compliance risk. Compliance Risk Officers, have developed key tools to address and measure compliance risks and to ensure compliance with laws and regulations in each line of business.

In line with the company's philosophy of full compliance with all the laws and regulations that affect our business, during the financial year 2013, the company put in place the following:

- Process for ensuring that we do not transact business with sanctioned individuals and entities.
- Documented AML/CFT policy to guide all officers of the company
- Regular training of staff on AML/CFT
- Embarked on proactive compliance monitoring of regulatory requirements

As part of the new drive and commitment by the company to ensure absolute compliance with regulations as well as ethical practices, the Company paid penalty in respect of infractions perpetrated in the prior years. However, to prevent reoccurrence of such issues which were majorly failure to file or late submission of returns to regulatory authorities, a comprehensive schedule of all the necessary returns and their due dates have been compiled to enable proper tracking and monitoring.

Corporate Governance

Thursday 3rd April 2014

The Chairman
Wapic Insurance Plc.
50 Awolowo Road,
Ikoyi,
Lagos

Dear Sir,

Summary Report on Corporate Governance

We have reviewed the Board practices of Wapic Insurance Plc. with regards to the Securities and Exchange Commission's Code of Corporate Governance for Public Companies in Nigeria and the National Insurance Commission (NAICOM) Code of Corporate Governance and find the Company materially compliant with the requirements of the Codes.

Basis of Review

The Company's Memorandum and Articles of Association, Board Terms of Reference, Board papers, minutes of Board meetings, Risk Management Framework, Communication Policy and Code of Ethics were reviewed for compliance. In addition, key principal officers of the Company were interviewed in respect of the board practices.

The Company's audit structures were examined as well as the directors' understanding of their fiduciary duties and roles in providing financial oversight and enhancing shareholder value.

The review was conducted in March 2014.

Summary of Findings

Our conclusion from our review of available documentation and discussions with principal officers is that the Company is materially compliant with the requirements of the NAICOM and SEC Codes on Corporate Governance.

Feedback from executive directors as well as non-executive directors, indicate that directors understand their fiduciary duties and role in providing financial oversight and enhancing shareholder value.

The details of our findings and recommendation in respect of identified gaps are contained in the report herewith attached

Yours sincerely,

ACCENTURE

Toluleke Adenmosun
Managing Director, Financial Services

Corporate Governance Report

Introduction

Our corporate governance report affords us the opportunity to explain to our stakeholders how our company has been governed during the year. It reports on how the Board has functioned and the workings of our systems and structures of governance.

Wapic Insurance Plc. ("Wapic" or "the Company") remains committed to implementing the best practice standards of corporate governance. The Company and its subsidiaries ('the Group') function under a governance framework that enables the Board to discharge its role of providing oversight and strategic direction in balance with its responsibility to ensure the Company's compliance with regulatory requirements and acceptable risk.

The Company is mindful of its obligations under the relevant codes of corporate governance such as the Securities and Exchange Commission's Code of Corporate Governance ('the SEC Code'), the National Insurance Commission (NAICOM) Code of Corporate Governance for the Insurance Industry in Nigeria and the Post Listing Requirements of the Nigerian Stock Exchange (NSE). These, in addition to its Board Charter collectively provide the basis for promoting sound corporate governance in the Company. Our core values of empathy, professionalism, innovation, sustainability, teamwork, leadership and excellence are the bedrock upon which we continue to build our corporate behavior.

Performance Evaluation

The Company's performance on Corporate Governance is continuously being monitored. Regular reviews are carried out on the Company's compliance status with the SEC Code of Corporate Governance, the NAICOM Code of Corporate Governance for the Insurance Industry in Nigeria and the NSE Post Listing Requirements, and quarterly reports are furnished to the Board through the Board Audit and Compliance Committee as well as the Board Establishment and Governance Committee.

As part of its commitment to uphold sound Corporate Governance practices and in compliance with the requirement of the NAICOM Code of Corporate Governance, the Board has established a system of independent annual evaluation carried out annually by an independent consulting firm engaged to carry out an assessment of its own performance, that of its Committees and individual Directors. At its Annual General Meeting (AGM), held on August 22, 2013, the shareholders of the Company approved the appointment of Accenture Limited to facilitate the Board performance evaluation. The Board is comfortable that Accenture Limited provides value-adding and objective evaluation notwithstanding its provision of strategy consulting assistance to the Wapic Group.

The result of the Board performance evaluation is presented to the Board and the individual director's assessment is communicated and discussed with the Chairman. The cumulative results of the performance of the Board and individual directors are considered by the Governance and Remuneration Committee as a guide in deciding eligibility for re-election.

Appointment, Retirement and Re-election of Directors

The Board of Directors of Wapic Insurance Plc., pursuant to the powers vested on it by the Company's Articles of Association appointed the following as Non-Executive Directors:

1. Ms. Chizoba Ufoeze was appointed a Non-Executive Director. She is a graduate of the University of Nigeria Nsukka and has an MSc in Investment Management from the City University Business School London, and an MBA from the Middlesex University Business School, London. Ms. Ufoeze is an Investment Analyst with over 22 years' experience in the financial services industry. She began her career as a Research Assistant with African Development Consulting Group and an Investment Officer with African Development Bank. She also worked with BGL Limited as an Investment Analyst and then as the Head of Investments of the Wealth Management Group. She is currently the CEO of United Alliance Company of Nigeria Limited. Ms. Ufoeze brings on board significant investment and wealth management experience. Her appointment which has been approved by NAICOM is effective January 16, 2014.

2. Mrs. Ifeyinwa Osime was appointed an Independent Non-Executive Director. Mrs. Osime holds a Law Degree (LL.B) and a Masters of Laws (LL.M) in Commercial & Corporate Law from the University of Benin and the London School of Economics respectively. She is a Barrister at Law (BL) of the Supreme Court of Nigeria and an Alumnus of the Executive Business Programs of the Harvard Business School as well as the Insead Graduate Business School. She is a partner at McPherson Legal Practitioners, a firm of Barristers and Solicitors in Nigeria. Called to the Nigerian Bar in 1987, Mrs. Osime brings on board significant professional experience in the practice of Law and Insurance. She has at various times sat on the Boards of Bank PHB Plc. (now Keystone Bank Limited), Insurance PHB Limited (now KBL Insurance Ltd) and PHB Healthcare Limited (now KBL Healthcare Ltd) where she chaired the Board. She was also the Company Secretary of African Development Insurance Company Limited from 1989 to 1997 where in addition to Company Secretarial duties, she had oversight for claims settlement. Her appointment is effective April 30, 2014.

Their appointments which were made with a view to strengthening the Board and ensuring compliance with the SEC and NAICOM Codes of Corporate Governance, also improve the gender diversity on the Board.

The appointments will be tabled before the Shareholders at this Annual General Meeting (AGM) for approval as required by the Company's Articles of Association.

The Board also appointed the following Executive Directors:

1. Mr. Folusho Alliyu was appointed Executive Director. Mr. Alliyu holds a Bachelor of Science degree in Insurance from the University of Lagos. He is an Associate member of the Chartered Insurance Institute of U.K and has over 20years experience in Insurance Underwriting/Claims both in Nigeria and internationally. Prior to joining Wapic Insurance Plc., Mr. Alliyu was the Chief Underwriting Officer/General Manager at Custodian & Allied Insurance Plc. His appointment which has been approved by NAICOM is effective March 6, 2013.

2. Mr. Ashish Desai was appointed Executive Director effective April 29, 2013. Following receipt of notice of resignation of Mr. Segun Balogun as Managing Director with effect from November 30, 2013, Mr. Ashish Desai was subsequently appointed Managing Director of Wapic Insurance Plc with effect from December 1, 2013. Mr. Desai is a Fellow of the Institute of Actuaries (UK) as well as the Actuarial Society of South Africa and Institute of Actuaries India. He holds a First Class Degree in Economics and Econometrics from Manchester University and is an alumnus of the Wharton School, University of Pennsylvania. Prior to joining Wapic Insurance Plc., Mr. Desai was an Executive and Managing Director of Hollard Life & Investments, a subsidiary of Hollard Insurance Group which is South Africa's largest privately owned Insurance Group.

3. Mr. Bode Ojeniyi was appointed Executive Director. Mr. Ojeniyi holds a B.Sc and M.Sc in Agric Economics from the University of Ibadan. He also has an MBA in Strategic Management as well as in Finance from Ogun State University and Edinburgh Business School, Heriot-Watt University U.K. respectively. He has over 22years experience in the banking industry. Prior to joining Wapic Insurance Plc, Mr. Ojeniyi was the Head, Business Banking South West Region at Access Bank Plc. His appointment which has been approved by NAICOM is effective January 16, 2014.

4. Mr. Femi Obaleke was appointed Executive Director. Mr. Obaleke holds a B.Ed from the University of Ibadan and an MBA from Abubakar Tafawa Balewa University. He has over 22 years work experience in the banking industry. Prior to joining Wapic Insurance Plc, Mr. Obaleke was the Group Head, Business Banking at Access Bank Plc. His appointment which has been approved by NAICOM is effective January 16, 2014.

   Following the divestment by Access Bank of Wapic Insurance, the following Access Bank Executive Directors who hitherto represented the interest of Access Bank as Non-Executive Directors on the Board of Wapic Insurance tendered their resignation from the Board:

   i. Mr. Taukeme Koroye
   ii. Mrs. Ojini Olaghere
   iii. Mr. Victor Etuokwu

The Board also accepted the resignation of Mrs. Titilayo Osuntoki who had been a Non-Executive Independent Director on the Board of Wapic following her appointment as an Executive Director of Access Bank.

The resignations were accepted with effect from January 16, 2014:

In accordance with the provisions of Articles 90 – 92 of the Company's Memorandum and Articles of Association as well as Section 259 of the Companies and Allied Matters Act Cap C20, Laws of the Federation of Nigeria 1990, one third of all non-executive directors (rounded down) are offered for re-election every year (depending on their tenure on the Board) together with Directors appointed by the Board since the last AGM. In keeping with this requirement, Mr. Barnabas Olise will retire and being eligible, will be standing for re-election at this Annual General Meeting.

Mr. Barnabas Olise is the Managing Partner/CEO Of Enterprise Value Matrix Consult (EVMC) Limited, a multidisciplinary consultancy firm established in 2010. Mr. Olise's rich pool of work experience spans nearly two decades and covers Auditing, Consulting and Banking. Mr. Olise began his career in Deloitte, an international firm of Chartered Accountants as an audit trainee. He spent nearly a decade with the firm and gained cognate experience in auditing companies operating in virtually every sector of the Nigerian economy. Following his stint at Deloitte, he joined former Intercontinental Bank (Now Access Bank Plc.) and facilitated the expansion of the Ghanaian subsidiary's branch expansion to 28 outlets. He served as the Bank's Group Head, Project Management and later Group Executive, Management Services and Franchise Expansion before resigning from the Bank to set up a consultancy.

Mr. Olise holds a BSc. in Mathematics from the University of Ibadan and is an Associate member of the Charted Institute of Accountants of Nigeria (ICAN).

Shareholders' Meeting

Shareholders meetings are duly convened and held in line with the Company's Articles of Association and existing statutory and regulatory regimes in an open manner, for the purpose of deliberating on issues affecting the Company's strategic direction. This occurs through a fair and transparent process and also serves as a medium for promoting interaction between the Board, Management and Shareholders. Attendance at the Annual General Meeting is open to shareholders or their proxies, while proceedings at such meetings are usually monitored by members of the press, representatives of the Nigerian Stock Exchange, National Insurance Commission and the Securities and Exchange Commission. The Board ensures that shareholders are provided with adequate notice of meetings. An Extraordinary General Meeting may also be convened at the request of the Board or Shareholders holding not less than 10% of the Company's paid-up capital.

Access to Information and Resources

There is ongoing engagement between Executive Management and the Board, and the heads of relevant strategic business units who attend Board meeting to make presentations. The Company's external auditors attend the Board, the Board Audit and Compliance Committee and the Shareholders Audit Committee Meetings. The Directors have unrestricted access to the Group Management and Company information in addition to the resources to carry out their roles and responsibilities. This includes access to external professional advice at the Company's expense.

Shareholders Rights Protection

The Company's reports and other communication to shareholders and other stakeholders are in plain, readable and understandable format while its website www.wapic.com is also regularly updated with both financial and non-financial information. The Board ensures that shareholders' statutory and general rights are protected at all times particularly their right to vote at general meetings. The Board also ensures that all shareholders are treated equally regardless of the size of their shareholding and social conditions.

The Board:

The primary obligation of the Board of Directors is to advance the prosperity of the Company by collectively directing the Company's affairs, whilst meeting the appropriate interests of shareholders and stakeholders. The Board is the Company's highest decision making body responsible for governance. It operates on the understanding that sound governance practices are fundamental to earning the trust of stakeholders which is critical to sustainable growth.

Composition and Role

The Company has a unitary Board structure. As at December 31, 2013, the Board was comprised of ten (10) members

made up of seven (8) Non-Executive Directors and two (2) Executive directors, the full details of which are set out below:

S/N	Name	Designation
1	Mr. Aigboje Aig-Imoukhuede	Chairman
2	Mr. Adamu Mahmoud Atta	Non-Executive Director
3	Mr. Bababode Osunkoya	Non-Executive Director
4	Mrs. Titilayo Osuntoki	Non-Executive Director
5	Mrs. Ojini Olaghere	Non-Executive Director
6	Mr. Barnabas Olise	Non-Executive Director
7	Mr. Taukeme Koroye	Non-Executive Director
8	Mr. Victor Etuokwu	Non-Executive Director
9	Mr. Ashish Desai	Managing Director
10	Mr. Folusho Alliyu	Executive Director

In line with best practice, there is separation of powers between the Chairman and the Managing Director. The Board is able to reach impartial decisions as its Non-Executive Directors are a blend of independent and non-independent directors with no shadow or alternate Directors, which ensures that independent thought, is brought to bear on decisions of the Board. The effectiveness of the Board derives from the diverse range of skills and competences of the executive and non-executive directors who have exceptional degrees of insurance, financial and broader entrepreneurial experiences.

Duties of the Board

The Board is responsible for ensuring the creation and delivery of sustainable value to the Company's stakeholders through its management of the Company's business. The Board is accountable to the shareholders and is responsible for the management of the Company's relationship with its various stakeholders. The Board ensures that the activities of the Company are at all times executed within the relevant regulatory framework. The Board Charter is comprised of a set of principles that have been adopted by the Board as a definitive statement of Corporate Governance .A sample of matters reserved for the Board include but are not limited to:

- Defining the Company's business strategy and objectives,
- Formulating risk policies
- Approval of quarterly, half yearly and full year financial statements
- Approval of significant changes in accounting policies and practices
- Appointment or removal of Directors and Company Secretary
- Approval of major acquisitions, divestments of operating companies, disposal of capital assets or capital expenditure
- Approval of Terms of reference and membership of Board Committee
- Setting of annual board objectives and goals
- Approval of allotment of shares
- Approval of remuneration of Auditors and recommendation for appointment or removal of Auditors
- Succession planning for key positions
- Approval of the corporate strategy, medium term and short term plans
- Monitoring delivery of the strategy and performance against plan
- Approval of the framework for determining the policy and specific remuneration of Executive Directors
- Review and monitoring of the performance of the Managing Director and the Executive Team
- Ensuring the maintenance of ethical standards and compliance with relevant laws.
- Performance appraisal and compensation of Board members and Senior Executives
- Ensuring effective communication with shareholders
- Ensuring the integrity of financial reports

Appointment Process and Induction of Board Members

The Board Establishment and Governance Committee is responsible for recommending new appointments to the Board of both Executive and Non-Executive Directors. When making Board appointment recommendations, the Committee takes cognizance of the existing range of skills, experience, background and diversity on the Board in the context of the Company's strategic direction before articulating the specification for the candidate sought. We are comfortable that our Board is sufficiently diversified to optimize its performance.

We believe that a robust induction will improve Director's performance. Consequently, there is a personalized induction program for new Directors which include one-on-one meetings with each of the Executive Directors and Senior Executives responsible for each of the Company's key business areas. Such sessions focus on the challenges, opportunities and risks facing the business areas. The induction programme covers an overview and review of the strategic business units as well as Board processes and policies. A new Director receives an induction pack comprising of charters, significant reports, important legislations as well as policies.

Delegation of Authority

The ultimate responsibility for the Company's operations rests with the Board. The Board retains effective control through a well-developed Committee governance structure that provides in-depth focus on Board responsibilities. The Board delegates authority to the Managing Director and the Executive Management to manage the affairs of the Company within the parameters established by the Board from time to time.

The Board meets quarterly and emergency meetings are convened as may be required.. The Annual Calendar of Board and Board Committee meetings are approved in advance at the beginning of each financial year and all Directors are expected to attend each meeting. Material decisions may be taken between meetings through written resolutions as provided for by the Company's Articles of Association. The Annual Calendar of Board activities include a Board Retreat at an offsite location, to consider strategic matters and review the opportunities and challenges facing the institution. All Directors are provided with Notices, Agenda and meeting papers in advance of each meeting and where a Director is unable to attend a meeting he/she is still provided with the relevant papers for the meeting. Such Director reserves the right to discuss with the Chairman any matter he/she may wish to raise at the meeting. The Directors are also provided with regular updates on developments in the regulatory and business environment. The Board met 9 times in the 2013 financial year.

Board Committees

The Board carries out its oversight function through its standing committees each of which has a charter that clearly defines its purpose, composition and structure, frequency of meetings, duties, tenure and reporting lines to the Board. In line with best practice, the Chairman of the Board does not sit on any of the committees. The Board's five standing Committees namely Board Enterprise Risk Management Committee, the Board Audit and Compliance Committee, the Board Establishment and Governance Committee, the Board Investment Committee and the Board Finance and General Purpose Committee are aligned with the provisions of the NAICOM Code of Corporate Governance for the Insurance Industry in Nigeria. The composition and responsibilities of the Committees are set out below:

S/N	DIRECTOR	BACC	BERMC	BIC	BEGC	BFGC
1	Mr. Aigboje Aig-Imoukhuede 1	-	-	-	-	-
2	Mr. Adamu Mahmoud Atta 1	-	M	M	C	M
3	Mr. Bababode Osunkoya 1	C	M	-	-	M
4	Mrs. Titilayo Osuntoki 1	-	C	M	M	M
5	Mrs. Ojini Olaghere 1	M	-	M	-	C
6	Mr. Barnabas Olise 1	M	M	M	-	M
7	Mr. Taukeme Koroye 1	M	M	C	M	M
8	Mr. Victor Etukowu 1	-	M	M	-	M
10	Mr. Ashish Desai 2	-	M	M	M	M
11	Mr. Folusho Alliyu 2	-	M	M	M	M

***Key**

C	Chairman
M	Member
-	Not a member
1	Non-Executive
2	Executive
BACC	Board Audit and Compliance Committee
BERMC	Board Enterprise Risk Management Committee
BIC	Board Investment Committee
BEGC	Board Establishment and Governance Committee
BFGC	Board Finance and General Purpose Committee

Board Audit and Compliance Committee

The Committee assists the Board in fulfilling its oversight responsibility relating to the integrity of the Company's financial statements and the financial reporting process; the independence and performance of the Company's internal and external auditors; and the Company's system of internal control and mechanism for receiving complaints regarding the Company's accounting and operating procedures. The Committee also monitors the status of the Company's internal and regulatory compliance. The Company's Chief Internal Auditor and Chief Compliance Officer have access to the Committee and make quarterly presentations to the Committee.

The Committee is chaired by Mr. Bababode Osunkoya. Mr. Osunkoya is an accounting graduate from the University of Lagos. He is a Fellow of the Institute of Chartered Accountants of Nigeria and the Chartered Institute of Taxation of Nigeria. He is also an associate member of the Institute of Directors. Mr. Osunkoya is a Certified Forensic Accountant of the Institute of Chartered Accountants of Nigeria. He is also a member of Public Practice Monitoring Committee of the Institute of Chartered Accountants of Nigeria.

Key issues considered by the Committee during the period included approval of the Committee Charter, consideration of the internal audit report on the Company's activities as well as consideration of other external/regulatory audit reports, approval of audited financial statements and approval of the Company's audit and internal control plans as well the Company's status of compliance with internal policies and regulatory requirements. The Committee met six (6) times in the 2013 financial year.

Board Enterprise Risk Management Committee

The Committee assists the Board in fulfilling its oversight responsibility relating to establishment of policies, standards and guidelines for risk management, and compliance with legal and regulatory requirements. In addition, it oversees the establishment of a formal written policy on the overall risk management system. The Committee also ensures compliance with established policies through periodic reviews of reports provided by management and ensures the appointment of qualified officers to manage the risk function. The Committee evaluates the Company's risk policies on a periodic basis to accommodate major changes in the internal or external environment.

Mrs. Titilayo Osuntoki chaired the Committee. Mrs. Osuntoki holds a B.Sc in Civil Engineering and an MBA from the University of Lagos. She also has several years' professional experience across various fields in the financial services industry.

The key issues considered by the Committee during the period included approval of the Committee Charter, implementation of relevant internal policies such as the policies on whistle blowing, anti-money laundering, market risk and AML governance structure, the Committee also monitored the status of the Company's compliance with relevant regulatory policies, review of the impact of audit findings on the risk profile of the Company, evaluation of the nature and effectiveness of action plans implemented to address identified compliance weaknesses. The Committee met four (4) times in the 2013 financial year.

Board Establishment and Governance Committee

The Committee advises the Board on its oversight responsibilities in relation to compensation, benefits and all other human resource matters affecting the Company. Specifically, the Committee is responsible for determining and executing the processes for board appointments, recommending appropriate remuneration for Directors (both Executive and Non-Executive) and approving remuneration for all other members of staff. The Committee is responsible for reviewing and recommending the Company's organizational structure to the Board for approval. The Committee is also responsible for reviewing the performance and effectiveness of the Board of the Company's subsidiaries on an annual basis. The Committee ensures that the Company's human resources are maximized to support the long term success of the enterprise and to protect the welfare of all employees.

The Committee is chaired by Mr. Adamu Atta. Mr. Atta holds a B.A in International Relations and Economics and an MA in Development Economics from the United States International University and the University of California respectively. He also has a Masters in Political Economics from Ahmadu Bello University, Zaria. Mr. Atta has over two decades experience in financial management and consulting.

The key decision and initiatives of the Committee in 2013 include approval of the Committee Charter and succession planning policy, recommendation to the Board for approval of the Senior Management appointments including the appointment of two Executive Directors, providing strategic oversight over the human resources transformation plan for the Company, review of the Board assessment report for the Company and its subsidiaries as we; as we; as recommendation to the Board for approval of reviewed staff remuneration. The Committee met four (4) during the period.

Board Investment Committee

The Committee advises the Board on its oversight responsibilities in relation to the Company's general investments and provides strategic guidance for the development and achievement of the Company's investment objectives. The Committee therefore works with Management to review the quality of the Company's investment portfolio and the trends affecting the portfolio, overseeing the effectiveness and administration of investment related policies including compliance with legal investment limits and the Company's in-house investment restrictions, reviewing the process for determining provision for investment losses and the adequacy of the provisions made as well as providing oversight and guidance to the Company regarding all aspects of implementing the NAICOM Guidelines and compliance with other regulatory Risk based supervision framework.

Mr. Taukeme Koroye chaired the Committee. Mr. Koroye is a graduate of Business Administration from the University of Lagos and a Fellow of the Institute of Chartered Accountants of Nigeria (ICAN) as well as an alumnus of the Harvard Business School. He has over 20 years working experience in the Nigerian banking industry. He was an Executive

Director in Access Bank, in charge of the Group's subsidiaries and represented the Bank on the Board of Wapic Insurance Plc.

Key issues considered by the Committee included approval of the investment portfolio and risk appetite, oversight of the Company's investment portfolio and related risk management processes, continued monitoring of the Company's compliance with relevant regulatory and internal investment policies with respect to the Company's investment portfolio, approve investment limits as well as investment exceptions where necessary. The Committee met four (4) times in the 2013 financial year.

Board Finance and General Purpose Committee

The Committee assists the Board in fulfilling its oversight responsibility relating to Management of the Company's exposure to financial risk; the Company's business plan, cash plan, balance sheet and capital structure; the Company's capital allocation strategy including the cost of capital. The Committee also reviews and makes recommendations on the long-term financial plan for the Company; capital adequacy and requirements of the Company and makes recommendations on the methodology, sources and uses of capital as well as expected returns on capital deployed. Other responsibilities of the Committee include review of the Company's capital appropriation matters (within limits established by the Board) including recommending approval of those programs requiring Board approval and providing periodic oversight of Board approved programs

Mrs. Ojini Olaghere chaired the Committee. Mrs. Olaghere is a Fellow of the Institute of Chartered Accountants of Nigeria. She holds a B.A. in French from the University of Nigeria, Nsukka. She has several years of professional experience both as an auditor and in the banking industry.

Key issues considered by the Committee included approval of the capital raising in the sum of N3,500,000,000.00 by way of Rights Issue for recommendation to the Board, approval of the annual budget as well as the capital and operating expenses of the company, quarterly review of budget utilization against the actual plan, monitoring of corrective actions to bring the organization into compliance with the budget and other financial targets. The Committee met six (6) times during the 2013 financial year.

Attendance at Board and Board Committees meetings

Directors' attendances at meetings are as shown below:

	NAMES OF DIRECTORS	MEETING					
		BoD	BACC	BERMC	BIC	BEGC	BFGC
Number of Meetings Held		9	6	4	4	4	6
Attendance:							
1	Mr. Aigboje Aig-Imoukhuede	9	N/A	N/A	N/A	N/A	N/A
2	Mr. Adamu Mahmoud Atta	6	N/A	4	4	4	5
3	Mr. Bababode Osunkoya	9	6	4	N/A	N/A	6
4	Mrs. Titilayo Osuntoki	9	N/A	4	4	4	6
5	Mrs. Ojini Olaghere	6	4	N/A	3	N/A	5
6	Mr. Barnabas Olise	9	6	4	4	N/A	6
7	Mr. Taukeme Koroye	3	3	3	2	2	2
8	Mr. Victor Etukowu	3	N/A	2	2	N/A	2
9	Mr. Ashish Desai*	3	N/A	2	2	2	2
10	Mr. Folusho Alliyu*	4	N/A	2	2	N/A	2

*Folusho Alliyu – appointed March 6, 2013

*Ashish Desai – appointed April 27, 2013

Keys

BoD	Board of Directors
BACC	Board Audit and Compliance Committee
BERMC	Board Enterprise Risk Management Committee
BIC	Board Investment Committee
BEGC	Board Establishment and Governance Committee
BFGC	Board Finance and General Purpose Committee

Executive Committee

The Executive Committee (EXCO) is made up of the Managing Director as Chairman, and all the Executive Directors as members. It is primarily responsible for the implementation of strategies approved by the Board and ensuring the efficient deployment of the Company's resources.

Management Committees

These are standing committees made up of senior management staff of the Company. The Committees are also risk driven and are set up to identify, analyze and make recommendations on risks pertaining to the Company's day to day activities. They ensure that risk limits set by the Board and the regulatory bodies are complied with and also provide input to the various Board Committees in addition to ensuring the effective implementation of risk polices. These Committees meet as frequently as risk issues occur and take actions and decisions within the confines of their respective powers.

The management committees include: Management Investment Committee, Underwriting and Claims Committee, Enterprise Risk Management Committee, Criticised Assets Committee and IT Steering Committee.

Statutory Audit committee

In compliance with Section 359 of the Companies and Allied Matters Act 1990, Wapic constituted a standing Shareholders Audit Committee made up of three non-executive directors and three shareholders. The composition of the Committee is as set out below:

1.	Mr. Chinwendu Achara	(Shareholder)	Chairman
2.	Mrs. Mary Joke Shofolahan	(Shareholder)	Member
3.	Mr. Adeniyi Adebisi	(Shareholder)	Member
4.	Mr. Bababode Osunkoya	(Director)	Member
5.	Mr. Taukeme Koroye	(Director)	Member
6.	Mr. Victor Etuokwu	(Director)	Member

The Committee met 3 times during the 2013 financial year.

Succession planning

Wapic Insurance has a Succession Planning Policy which was approved by the Board at its 91st meeting held on April 29, 2013. Succession planning is aligned to the Company's performance management process. The policy identifies key positions, for all Wapic Insurance operating entities in respect of which there will be formal succession planning. The Company's policy provides that potential candidates for the other positions shall be identified at the beginning of each financial year by the Human Resources Head, based on performance and competencies.

Code of Ethics

Wapic Insurance has in place, a Code of Conduct which specifies expected behaviour of its employees and Directors. The code is designed to empower employees and Directors and enable effective decision making at all levels of the business according to defined ethical principles. The Code requires that each Company employee shall read the Code and sign a confirmation that he has understood the content. In addition, there is an annual re-affirmation exercise. The Company also has a Compliance Manual which provides guidelines for addressing violations/breaches and ensuring enforcement of discipline with respect to staff conduct. The Company also has a Disciplinary Guide which provides

sample offences/violations and prescribes disciplinary measures to be adopted in various cases. The Head of Human Resources is responsible for the design and implementation of the "Code of Conduct" while the Chief Compliance Officer is responsible for monitoring and ensuring compliance.

The Chief Compliance Officer issues at the commencement of each financial year, an Ethics & Compliance message to all staff within the Group. The Ethics & Compliance message reiterates the Company's policy of total compliance with all applicable laws, regulations, corporate ethical standards and policies in the conduct of the Company's business. The message admonishes employees to safeguard the franchise and advance its growth in a sustainable manner while ensuring compliance with relevant policies, laws and regulations.

Dealing in Company Securities

The Group implements a Non-Dealing Period Policy that prohibits Directors, members of the Audit Committee, employees and all other insiders from abusing, or placing themselves under the suspicion of abusing price sensitive information in relation to the Company's securities. In line with the policy affected persons are prohibited from trading on the company's security during closed period. The Company has put in place a mechanism for monitoring on-going compliance with the policy.

Remuneration Statement

The Report on Directors' remuneration is as set out in the Audited Financial Statements. The Group has established clear policy guideline for the determination and administration of compensation. In line with the policy guidelines, the Company seeks to attract and retain the best talent in countries in which it operates. To achieve this, the Company seeks to position itself amongst the best performing and best employee rewarding companies in its industry. This principle will act as a general guide for the determination of compensation. The objective of the policy is to ensure that salary structure including short and long term incentives motivate sustained high performance and are linked to corporate performance. It is also designed to ensure that stakeholders are able to make reasonable assessment of the Company's reward practices. It is the Company's policy to comply in full with all local tax policies while seeking to take opportunities of legal tax avoidance.

Operating within the guidelines set by the principles above; compensation for staff will be determined annually at the end of each financial year and approved by the Board of Directors through the Board Establishment and Governance Committee.

Total compensation provided to employees will typically include guaranteed and variable portions. The guaranteed pay will include base pay and other guaranteed portions while variable pay may be both performance based and discretionary.

The Company has put in place a performance bonus scheme which seeks to attract and retain high performing employees. Awards to individuals are based on the job level, business unit performance and individual performance. Other determinants of the size of individual award amount include pay level for each skill sets which may be influenced by relative dearth of skill in a particular area.

Whistle Blowing Procedure

Wapic Insurance has a whistle-blowing policy which provides the procedure for reporting suspected breaches of the Company's internal policies, laws and regulations. There is a special e-mail address and telephone hotline dedicated for whistle blowing.

The Company's Chief Compliance Officer (CCO) is responsible for monitoring and reporting on whistle blowing.

The Company Secretary

The Company Secretary has the primary duty of assisting the Board and Management in developing and implementing good corporate governance standards. She ensures that there is timely and appropriate information dissemination within and to the Board. She is responsible for designing and implementing the induction programme for new directors.

Statement of Compliance

The Company is a public limited liability company and therefore subject to the relevant provisions of the SEC as well as the NAICOM Codes of Corporate Governance. In the event of any conflict between the provisions of the two codes regarding any matter, the Company will defer to the provisions of the NAICOM Code as its primary regulator.

Regarding the minimum number of independent directors, the Company had two (2) Independent Directors in compliance with the SEC and NAICOM Codes that require a minimum of one independent director and at least two (2) Independent Directors respectively.

Board of Directors

Our Board comprises accomplished financial services experts with a combined wealth of experience spanning over two centuries. The Board includes Executive and Non-Executive Directors, some of whom are Independent.

Aigboje Aig-Imoukhuede (CON)
Chairman

Aigboje Aig-Imoukhuede's banking career spanned over two decades. He spent over 10 years at Guaranty Trust Bank Plc (GT Bank) and resigned in 2001 to lead a dynamic team of accomplished bankers as the Managing Director/Chief Executive Officer of Access Bank Plc. with the mandate to transform the bank into a world-class financial services provider.

Mr. Aig-Imoukhuede's visionary leadership inspired Access Bank's rapid and unprecedented growth over the past decade and has seen the Bank develop to rank amongst the top four banks in Nigeria.

He was awarded with the prestigious African Banker of the Year Award by IC Publications, publisher of the African Banker Magazine in 2013. In 2012, he emerged the winner of the "2011 Ernst & Young West Africa Entrepreneur of The Year" award. Aigboje has served the nation in different capacities where his contributions and insights have facilitated the achievement of set goals. This includes his current membership in the National Economic Management Team.

He was awarded the prestigious National Honour, Commander of the Order of the Niger, in recognition of his contributions to the development of the Nigerian economy. Aigboje is an alumnus of Harvard Business School Executive Management Programme.

He holds LLB and BL degrees from the University of Benin and the Nigeria Law School respectively. He is an honorary fellow of the Chartered Institute of Bankers of Nigeria.

Adamu Atta
Non-Executive Director

Adamu Atta is the Chief Executive, Matad Group Nigeria Ltd, an investment company with operations across Africa. He also sits on the Board of a number of first class companies.

An astute business man with over two decades experience in financial management and consulting, he has developed an enviable portfolio of clients. His consultancy provides services for worldclass companies such as Shell, Nigerian National Petroleum Corporation (NNPC), Nigerian Liquefied Natural Gas Company (NLNG), First Bank of Nigeria Plc. and Lafarge Plc. amongst others.

His involvements also extend into projects for the World Bank, UNICEF, DFID and HYSON mainly in the areas of infrastructure, financial services, capacity building, hospitality and tourism, housing, transportation and logistics. His other interests include textile and garments, cement, food and beverage production. He has also served on various Committees in Oil and Gas and Textile sectors and was a pioneer member of the Nigerian Business Forum.

He holds a B.A. in International Relations and Economics and an MA in Development Economics from the United States International University and University of California, and a Masters in Political Economics from Ahmadu Bello University, Zaria.

Bababode Osunkoya
Independent Non-Executive Director

Bode Osunkoya is a Chartered Accountant with over two decades of cognate post-qualification experience in Banking, Audit, Accountancy, Taxation, Business and Financial Advisory. Bababode commenced his training with the firm of Z. O. Ososanya & Co (Chartered Accountants) where he qualified as a Chartered Accountant in 1986.

He moved to Abacus Merchant Bank Limited and thereafter Konsuma Credit Limited, where he honed his financial skills. In 1994, he founded Bababode Osunkoya & Co. (Chartered Accountants), a firm he nurtured until 2008 when he became a partner in Abax-OOSA Professionals, a firm of Chartered Accountants, formed by a merger with three other firms. Bababode served two consecutive tenures as Managing Partner, before reverting to Senior Partner in 2012.

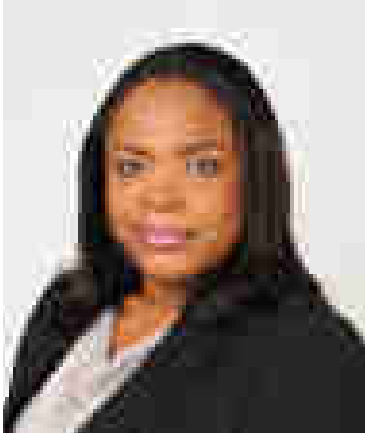
Mr. Osunkoya is a 1984 graduate of the Department of Accounting, University of Lagos. He is a Fellow of the Institute of Chartered Accountants of Nigeria (ICAN), a Fellow of the Chartered Institute of Taxation of Nigeria (CITN), and an Associate Member of the Institute of Directors (IoD). In March, 2010, he became one of the first batches of Certified Forensic Accountants of the Institute of Chartered Accountants of Nigeria. Bode is a member of the Public Practice Monitoring Committee of the Institute of Chartered Accountants of Nigeria.

Barnabas Olise
Non-Executive Director

Barnabas Olise is the Managing Partner/ CEO Of Enterprise Value Matrix Consult (EVMC) Limited, a multidisciplinary consultancy firm established in 2010. Olise's rich pool of work experience spans nearly two decades and covers Auditing, Consulting and Banking.

Mr. Olise began his career in Deloitte, an international firm of Chartered Accountants as an audit trainee. He spent nearly a decade with the firm and gained cognate experience in auditing companies operating in virtually every sector of the Nigerian economy. Following his stint at Deloitte, he joined former Intercontinental Bank (Now Access Bank Plc.) and facilitated the expansion of the Ghanaian subsidiary's branch expansion to 28 outlets. He served as the Bank's Group Head, Project Management and later Group Executive, Management Services and Franchise Expansion before resigning from the Bank to set up a consultancy.

Mr. Olise holds a BSc. in Mathematics from the University of Ibadan and is an Associate member of the Charted Institute of Accountants of Nigeria (ICAN).



Chizoba Ufoeze
Non-Executive Director

Ms. Chizoba Ufoeze is an Investment Analyst with over two decades of experience in the financial services industry. She began her career as a Research Assistant with African Development Consulting Group and an Investment Officer with African Development Bank. She also worked with BGL Limited as an Investment Analyst and then as the Head of Investments of the Wealth Management Group. She is currently the CEO of United Alliance Company of Nigeria Limited.

Ms. Ufoeze is a graduate of the University of Nigeria Nsukka and has an MSc in Investment Management from the City University Business School London, and an MBA from the Middlesex University Business School, London. Ms. Ufoeze brings on board significant investment and wealth management experience.

Ifeyinwa Osime
Independent Non-Executive Director

Mrs. Ifeyinwa Osime is a partner at McPherson Legal Practitioners, a firm of Barristers and Solicitors in Nigeria. Called to the Nigerian Bar in 1987, she has several years of professional experience in the practice of Law and Insurance.

She possesses substantial Board-level experience and had at different times served on the Boards of Bank PHB Plc. (now Keystone Bank Limited), Insurance PHB Limited (now KBL Insurance Ltd) and PHB Healthcare Limited (now KBL Healthcare Ltd) of which she was the Chairperson. She was the Company Secretary of African Development Insurance Company Limited from 1989 to 1997 where in addition to Company Secretarial duties, she had oversight for claims settlement.

Married with two children, she is passionate about children and people with special needs. This passion has led to the establishment of a special needs program which offers support, therapy and counselling to people with special needs (developmental delays) and their families.

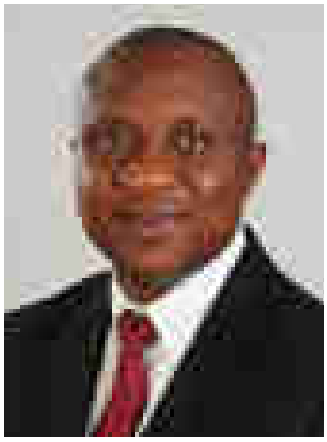
Mrs. Osime holds a Law Degree (LL.B) and a Masters of Laws (LL.M) in Commercial & Corporate Law from the University of Benin and the London School of Economics respectively. She is a Barrister at Law (BL) of the Supreme Court of Nigeria and an Alumnus of the Executive Business Programs of the Harvard Business School and the Insead Graduate Business School.

Executive Management

Ashish Desai
Managing Director

Ashish Desai is a qualified actuary with over two decades experience in the insurance industry in the United Kingdom, India and South Africa.

He is a Fellow of the Institute of Actuaries (UK) as well as the Actuarial Society of South Africa and Institute of Actuaries India. He holds a First Class Degree in Economics and Social Studies from Manchester University and is an alumnus of the Wharton School, University of Pennsylvania. Prior to joining Wapic Insurance Plc., Mr. Desai was an Executive and Managing Director of Hollard Life & Investments, a subsidiary of Hollard Insurance Group which is South Africa's largest privately owned Insurance Group.



Folusho Alliyu
Executive Director, Technical

Folusho Alliyu is a Chartered Insurer with over two decades of post qualification experience in Banking and Insurance. Folusho's expertise covers an array of specialized fields including Underwriting, Claims Management and other critical aspects of the technical function in Insurance.

Prior to his appointment at Wapic, Folusho joined Custodian from AON Group, a US Based Insurance Company, where he had gained valuable experience on an international stage.

Folusho holds a B.Sc from the prestigious University of Lagos. Aside from being a Chartered Insurer having earned the ACII qualification from the Chartered Institute of Insurance UK, he has also attended many professional as well as Executive Management development programs at the National and International levels.

Olufemi Obaleke
Executive Director, Commercial and Government Clients

Olufemi Obaleke is Executive Director, Commercial and Government Clients. He brings on board over two decades of experience from a number of leading Banks in Nigeria including Access Bank Plc where he was General Manager Business Banking until he joined Wapic Insurance Plc. His wealth of experience covers Sales, Business Development, International Operations and Branch Expansion.

In his new role, Femi will deepen and develop the Company's relationship in the commercial and government segments within the Nigerian insurance landscape drawing on his wide industry experience.

Femi is a Honourary member of the Chartered Institute of Bankers (HCIB). He holds a B. Ed. in Management Economics from the University of Ibadan and an MBA from Abubakar Tafawa Balewa Univeristy. He has attended many professional and Executive Management development programs in leading Business Schools locally and internationally.

Oyebode Ojeniyi
Executive Director, Institutional Clients

Oyebode Ojeniyi is Executive Director, Institutional Clients. He is a consummate professional with over two decades of experience in financial services and principally in Banking.

Prior to his appointment at Wapic Insurance, Bode was the Deputy General Manager and Regional Head for Business Banking at the South West region of Access Bank Plc. He had also worked at Eco Bank Nigeria Plc for over a decade and half during which period he held various key management positions. He represented Ecobank on the Bankers Sub-Committee on SMEEIS as well as on the Presidential Advisory Committee on SMEEIS and Microfinance. Bode brings a wealth of deep technical and business development experience to the Board.

He holds a Bachelor of Science (BSc) degree and Masters of Science (MSc) degree of the University of Ibadan in Agricultural Economics and an MBA in Strategic Management from the Institute of Strategic Management, Ogun State University (now Olabisi Onabanjo University). He is an Honorary member of the Chartered Institute of Bankers (HCIB) and a Fellow of the Strategic Management Institute (FSM). He has attended many professional and Executive Management development programs in leading Business Schools locally and internationally. In his role at Wapic, he will oversee the Company's penetration strategies in the Corporate Insurance market.

Directors' Report

For the year ended 31 December 2013

The Directors are pleased to submit their report together with the audited financial statements of Wapic Insurance Plc ("the Company") and its subsidiaries (together "the Group") for the year ended 31 December 2013.

Legal form and principal activity

The Company was incorporated on 14 March 1958 as a private limited liability Company under the name of West African Provincial Insurance Company Limited. It became a public limited liability company in September 1990 when the Company's shares were listed on floor of the the Nigerian Stock Exchange. The Company secured a life assurance business licence from National Insurance Commission (NAICOM) in 2000 and became a composite insurance business. The Company seperated the life business and transferred the related assets and liabilities to its subsidiary, Wapic Life Assurance Limited, on 1 March 2007 through which it continues to provide life assurance services. The Company operates from its corporate office in Lagos and branches in major cities of the Federation. It also operates a second wholly owned subsidiary which is based in Ghana; Wapic Insurance (Ghana) Limited.

The Group is principally engaged in the provision of various classes of insurance such as general accident, fire, motor, engineering, marine insurances and life assurance businesses. The Group also transacts insurance business for aviation, oil & gas and other special risks.

Operating results

The following is a summary of the Group's and Company's operating results for the year ended 31 December 2013:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
(Loss)/profit before minimum and income tax	(629,129)	552,385	(209,850)	383,460
Minimum tax	(90,738)	(12,200)	(77,197)	-
Income tax credit / (charge)	511,740	(157,153)	318,523	(142,627)
(Loss)/profit after taxation	(208,127)	383,032	31,476	240,833
Transfer to contingency reserve	(99,699)	(113,138)	(71,401)	(76,692)
Transfer to retained earnings	(307,826)	269,894	(39,926)	164,141
(Loss)/earnings per share - Basic and diluted (Kobo)	(2)	8	0.33	5

Directors and their interests

The Directors' interests in the issued share capital of the Company as recorded in the register of members and as advised by the Company's registrars for the purposes of section 275 of the Companies and Allied Matters Act and the listing requirements of the Nigerian Stock Exchange are as follows:

	31 December 2013		
Name of Director	Direct	Indirect	Total
Mr. Aigboje Aig-Imoukhuede (Chairman)	25,443,136	1,336,730,093	1,362,173,229
Mr. Taukeme Koroye (Director)	62,249,272	-	62,249,272
Mrs. Ojini Olaghere (Director)	11,163,273	-	11,163,273
Mr. Barnabas Olise (Director)	8,002,061	-	8,002,061
Mr. Victor Etuokwu	8,066,088		8,066,088
Mr. Ashish Desai	90,188,933	-	90,188,933

	31 December 2012		
Name of Director	Direct	Indirect	Total
Mr. Aigboje Aig-Imoukhuede (Chairman)	-	292,765,166	292,765,166
Mr. Taukeme Koroye (Director)	-	-	
Alhaji Isyaku Umar (Director)	8,571,415	-	8,571,415
Mr. Iheanacho C. Ugochukwu (Director)	4,015,050	-	4,015,050
Mr Obinna Nwosu (Director)	-	-	-
Mr Victor Etuokwu (Director)	-	-	-
Mrs. Ojini Olaghere (Director)	5,000,000	-	5,000,000
Mr. Barnabas Olise (Director)	-	-	-
Mr. Segun Balogun (MD/CEO)	23,647,735	-	23,647,735
Mr. David Oludare Aluko (Deputy Managing Director)	-	-	
Mr. Richard Abiodun Adewole (Executive Director)	5,475,138	-	5,475,138

Directors' interest in contracts

In accordance with section 277 of the Companies and Allied Matters Act, none of the Directors have notified the Company of any declarable interests in contracts or proposed contracts with the Company.

Appointment of Directors

The Company appointed the following Directors during the year:

Mr. Bababode Osunkoya - Non Executive Director (with effect from 1 January 2013)
Mrs. Titilayo Osuntoki - Non Executive Director (with effect from 1 January 2013)
Mr. Adamu Mahmoud Atta - Non Executive Director (with effect from 1 January 2013)
Mr Ashish Desai - Managing Director (with effect from 1 December 2013)

Retirement of Directors

The following Directors retired from the Board of the Company during the year:

Mr. Segun Balogun - Managing Director (with effect from 30 November 2013)
Mr. David Aluko - Deputy Managing Director (with effect from 29 July 2013)
Mr. Richard Abiodun Adewole - Executive Director (with effect from 29 July 2013)

Directors' remuneration

Types of packages - fixed	Description	Timing
Basic salary and allowances	This represents part of the gross salary package for Executive Directors. It is competitive and reflects the extent to which the Company's objectives have been met for the financial year.	Earned monthly during the financial year
13th month salary	This represents part of the gross salary for Executive Directors.	Paid last month of the financial year
Directors fees	Allowances paid to Non- Executive Directors.	Paid during the financial year
Sitting allowance	Allowances paid to Non-Executive Directors only for sitting at the Board meetings and other business meetings.	Paid during the financial year

Change in ownership structure

Merger with Intercontinental Properties Limited

The Company held a Court Ordered Meeting on 20 December 2012, where the holders of ordinary shares of the Company voted in favour of special resolutions to merge the business of the Company with that of Intercontinental Properties Limited. The Company obtained the approvals of the Securities and Exchange Commission (SEC) on January 22, 2013, the Federal High Court's sanction of the merger on January 30, 2013; and the approval of the National Insurance Commission (NAICOM) on March 21, 2013 which transfers all assets, liabilities and undertakings of Intercontinental Properties Limited, including real property rights, to Wapic Insurance Plc without Intercontinental Properties Limited being wound up. In consideration for the transfer, Wapic Insurance Plc issued to the shareholders of Intercontinental Properties Limited, 2 shares in Wapic Insurance Plc for every 1 ordinary share held in Intercontinental Properties Limited.

Rights issue

During the year, the Company offered 6,350,518,383 ordinary shares of N0.50 each at N0.55 per share to its existing shareholders on the basis of 8 new ordinary shares for every 10 ordinary shares held. At the conclusion of the rights offer, 5,444,590,269 shares were allotted to the existing shareholders of the Company.

Divestment of Access Bank Plc's investment in Wapic Insurance Plc

During the year, Access Bank Plc (formerly the parent company of Wapic Insurance Plc) executed a scheme of arrangement with Wapic Insurance Plc. This resulted in the unbundling of Access Bank Plc's shares in Wapic Insurance Plc to eligible shareholders. Upon implementation of the scheme, Wapic Insurance Plc was owned directly by eligible shareholders of Access Bank Plc and Wapic Insurance Plc ceased to be a subsidiary of Access Bank Plc.

The called-up and fully paid-up shares of the Company as at 31 December 2013 were beneficially held as follows:

	Number of shares	Percentage
	2013	2013
Stanbic Nominees Nigeria Limited	2,313,142,646	17
Blakeney GPIII Limited	797,396,869	6
Other Nigerian entities, citizens and associations	10,272,198,733	77
Total	**13,382,738,248**	**100**

	31 Dec	Percentage
	2012	2012
Access Bank Plc	2,937,945,494	58
Other Nigerian entities, citizens and associations	2,123,858,505	42
Total	**5,061,803,999**	**100**

Analysis of shareholders

	31 December 2013			
Range	Number of Shareholders	No. of shares held	% of number of shareholders	% of number of shares held
1 - 1,000	668,413	131,916,944	78	1
1,001 - 5,000	131,272	282,111,995	15	2
5,001 - 10,000	23,455	170,571,060	3	1
10,001 - 50,000	22,618	468,446,437	3	3
50,001 - 100,000	3,019	207,205,151	1	2
100,001 - 500,000	2,454	495,504,899	0	4
500,001 - 1,000,000	340	239,434,588	0	2
1,000,001 - 5,000,000	436	820,939,691	0	6
5,000,001 - 10,000,000	68	471,308,136	0	4
10,000,001 - 2,000,000,000	95	10,095,299,347	0	75
	852,170	**13,382,738,248**	**100**	**100**

	31 December 2012			
Range	Number of Shareholders	No. of shares held	% of number of shareholders	% of number of shares held
1 - 1,000	1,931	1,034,845	7	-
1,001 - 5,000	12,988	30,952,337	43	1
5,001 - 10,000	4,763	32,886,897	16	1
10,001 - 50,000	6,689	139,268,255	23	3
50,001 - 100,000	1,260	87,672,736	4	2
10,001 - 500,000	1,344	253,731,657	5	5
500,0001 - 1,000,000	163	115,620,398	1	2
1,000,001 - 5,000,000	237	403,028,070	1	8
5,000,001 - 10,000,000	14	109,966,719	-	2
10,000,001 - 2,000,000,000	33	3,887,642,085	-	76
	29,422	**5,061,803,999**	**100**	**100**

According to the register of members as at 31 December 2013, no individual shareholder held more than 5% of the issued capital of the Company except the following;

	Number of shares	Percentage
Stanbic Nominees Nigeria Limited	2,313,142,646	17
Blakeney GPIII Limited	797,396,869	6

Donations to charity

The Company made N1m donation to charity through Friends Africa during the year.

Employment of disabled persons

The Company operates a non-discriminatory policy on recruitment. Applications by physically challenged persons are always fully considered, bearing in mind the respective aptitudes and abilities of the applicants concerned. In the event of members of staff becoming physically challenged, every effort is made to ensure that their employment with the Company continues and that appropriate training is arranged. It is the policy of the Company that the training,

career development and promotion of physically challenged persons should, as far as possible, be identical with those of other employees. During the year under review, there was a member of staff that became physically challenged and for which the Company committed significant resources towards his rehabilitation.

Employee involvement and training

The Company ensures that employees are informed of matters concerning them through formal and informal fora with an appropriate two-way feedback mechanism. In accordance with the Company's policy of continuous development, in-house training is provided on various aspects of the organisation. In addition, employees are nominated to attend both local and international courses and workshops which are complemented by on-the-job trainings.

Health, safety at work and welfare of employees

Health and safety regulations are in force within the Company's premises and employees are aware of existing regulations. The Company provides subsidies to all levels of employees for medical, transportation, housing and lunch expenses.

Gender analysis

The number and percentage of women employed during the financial year vis-à-vis total workforce was as follows;

	31 December 2013			
	Male	Female	Male	Female
	Number	Number	Percentage	Percentage
Employees	89	65	58%	42%
Detailed analysis of the Top Management is as follows;				
	Male	Female	Male	Female
	Number	Number	Percentage	Percentage
Assistant Manager	3	4	43%	57%
Deputy Manager	5	1	83%	17%
Manager	4	3	57%	43%
Senior Manager	4	1	80%	20%
Controller *	1	-	100%	-
Assistant General Manager **	5	2	71%	29%
Deputy General Manager	2	-	-	-
General Manager	1	-	100%	-
Executive Director ***	1	-	100%	-
Managing Director	1	-	100%	-

* The only office at Controller level was promoted Assistant General Manager at the end of the financial year 2013.
** One of our Assistant General Manager after this report was approved.
*** Two (2) Executive Directors were appointed in 2014.

	31 December 2012			
	Male	Female	Male	Female
	Number	Number	Percentage	Percentage
Employees	141	60	70%	30%
Detailed analysis of the Board and top management is as follows;				
Assistant Manager	10	1	91%	9%
Deputy Manager	13	1	93%	7%
Manager	6	5	55%	45%
Senior Manager	2	-	100%	-
Controller	3	-	100%	-
Assistant General Manager	-	1	-	100%
Deputy General Manager	-	-	-	-
General Manager	1	-	100%	-
Executive Director	1	-	100%	-
Managing Director	1	-	100%	-

Acquisition of own shares

The Company did not purchase any of its own shares during the year.

Events after the end of the reporting period

Subsequent to year end, the Company obtained NAICOM's approval and invested $2 million in Wapic Insurance (Ghana) Limited, its wholly owned subsidiary. This was necessary to meet the required minimum capital requirement for Insurance companies operating in Ghana.

There were no other events after the end of the reporting period which could have a material effect on the financial statements of the Group and the Company which have not been recognised and/or disclosed.

Auditors

Messrs KPMG Professional Services have indicated their willingness to continue in office in accordance with section 357(2) of the Companies and Allied Matters Act of Nigeria.

By order of the Board

Mary Agha
FRC/2013/NBA/00000002817
Company Secretary
24 March 2014

Wapic Management's Commentary and Analysis
for the year ended 31 December 2013

In order to foster a deeper understanding of our strategy, operating risk and performance and also in compliance with regulatory requirements, we have outlined a Management's Commentary and Analysis ("MC&A") report as contained hereunder.

Reference in this MC&A to the "Company" or to "Group" is with respect to, as the context may require, Wapic Insurance Plc and all or some of its subsidiaries. Unless otherwise indicated, all financial information presented in this MC&A, including tabular amounts, is in Nigerian Naira and is prepared in accordance with International Financial Reporting Standards ("IFRS").

To facilitate wholesome understanding of the Company's position, it is advised that the content in this MC&A be read in conjunction with the full audited annual consolidated financial statements as well as the accompanying notes.

Nature of business

Wapic Insurance Group operates three Companies namely: Wapic Insurance Plc (the parent company), Wapic Life Assurance Limited and Wapic Insurance (Ghana) Limited. Wapic Insurance Plc's major business activity is insurance. However, the Company is developing capacity for expansion into the asset management and property business.

Business objective and strategy

Wapic Insurance Plc is registered, incorporated and listed in Nigeria. The Company is principally engaged in providing insurance and investment services to cater for the needs of corporate and retail sectors of the Nigerian economy.

The Company aims to evolve into a leading full serviced West African Insurance Company. By this, the Company's objective is to emerge as one of the top twenty financial services institutions in Nigeria by 2019.

To ensure this goal is achieved, Wapic Group's strategy is to broaden and align its service delivery channels along customer segments taking cognizance of the difference between policy administration, product support and customer care to adequately cater for peculiar needs for each segment.

Wapic is set to provide excellent service in a sustainable manner and thereby redefine the business of insurance within the West Africa region.

Performance indicators

Operating results and financial condition

	Group			Company		
	31 Dec 2013	31 Dec 2012	Change	31 Dec 2013	31 Dec 2012	Change
	N'000	N'000	%	N'000	N'000	%
Gross written premium	3,760,515	4,178,285	(10)	2,380,024	2,232,122	7
Net premium income	2,661,913	3,512,920	(24)	1,433,826	1,724,384	(17)
Net claims expense	2,131,798	1,519,072	40	1,043,540	492,876	112
Underwriting (loss)/ profit	(105,710)	1,435,195	(107)	(71,548)	874,339	(108)
Investment and other income	2,280,699	1,348,853	69	1,766,104	827,350	113
Operating expenses	(2,804,118)	(2,231,663)	26	(1,904,404)	(1,318,229)	44
(Loss)/profit before tax	(629,129)	552,385	(214)	(209,850)	383,460	(155)
(Loss)/earnings per share (kobo)	(2)	8	(125)	0.33	5	(93)

The business experienced some challenges resulting from the on-going business model restructuring and transformation of the service channels. These contributed to a (10)% (Company:7% increase) decrease in the gross written premium when compared to prior year's result.

The alterations in the business model also impacted on the net premium income of N2.66 billion which represents a decrease of N851 million over December 2012 results.

The Group reported net insurance claims expenses of N2.13 billion in 2013, an increase of N613 million over December 2012. The Company also recorded an increase of N551 million in net claim expenses between 2012 and 2013. The underwriting loss at the end of the year amounted to N106 million (Company: Loss of N71.5 million) compared to an underwriting profit of N1.44 billion (Company: N874.34 million) reported during the year ended 31 December 2012.

Investment and other income grew by 69% (Company: 113%) which reflects the Group's strategic direction to leverage investment income as a key revenue source. The growth from N1.35 billion (Company: N827.35 million) in 2012 to N2.28 billion (Company: N1.8 billion) in 2013 is a positive reflection of the Company's continiung efforts at growing investment portfolio with maximum yields given the challenging investment environment.

Operating expenses for the year totaled N2.80 billion (Company: N1.32 billion), a 26% increase (Company 44%) compared to prior year.

As at 31st December 2013, the Group had N5.85 billion in the cash and cash equivalents (Company: N3.65 billion) including money market placements of N5.5 billion (Company: N3.5 billion) with maturity of not more than three months.

Liquidity, capital resources and risk factors

The cash investment is in accordance with its investments policy which is compliant with regulatory requirements. The Group's investment strategy is underpinned by a focus on highly liquid financial instruments such as term deposit, equity and debt instruments. At the end of December 2013, the Group had approximately N6.72 billion invested in fixed income, N12.56 million in equity instruments and N5.5billion on money market placements.

Forward looking statements

Some aspects of the statement above relate to the Company's future outlook. Reference to the Company's or Management's budget, estimates, expectations, forecasts, predictions or projections constitute aspect of the "forward-looking statements". Such statements may also be deduced from the use of conditional or forward-looking terminologies including but not limited to words such as "anticipates", "believes", "estimates", "expects", "may", "plans", "projects", "should", "will", or the adverse variants of such which appear within the body of this document.

Many factors and assumptions may affect the manifestation of the Company's projections, including, but not limited to, production rate, claims rate, employee turnover, relationships with brokers, agents and suppliers, economic and political conditions, non-compliance with laws or regulations by the Company's employees, brokers, agents, suppliers, and/or partners, and other factors that are beyond its control.

Without prejudice to the Company, such forward looking statements reflect Management's current belief and are based on available information which are subject to risks and uncertainties as identified. Therefore, the eventual action and/or outcome could differ materially from those expressed or implied in such forward-looking statements, or could affect the extent to which a particular projection materializes.

The forward-looking statements in this document reflect the Company's expectations at the time the Company's Board of Directors approved this document, and are subject to change after this date. The Company does not undertake any obligation to update publicly or to revise any such forward-looking statements, unless required by applicable legislation or regulation.

Statement of Directors' Responsibilities in Relation to the Financial Statements

for the year ended 31 December 2013

The directors accept responsibility for the preparation of the annual financial statements set out on pages 23 to 164 that give a true and fair view in accordance with International Financial Reporting Standards (IFRS) and in the manner required by the Companies and Allied Matters Act of Nigeria, the Financial Reporting Council of Nigeria Act, 2011, the Insurance Act of Nigeria and National Insurance Commission (NAICOM) circulars.

The directors further accept responsibility for maintaining adequate accounting records as required by the Companies and Allied Matters Act of Nigeria and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement whether due to fraud or error.

The directors have made assessment of the Company's ability to continue as a going concern and have no reason to believe that the Company will not remain a going concern in the year ahead.

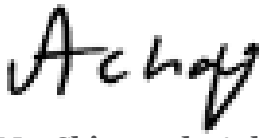
Aigboje Aig-Imoukhuede, CON
FRC/2013/CIBN/00000001999
Chairman
24 March 2014

Ashish Desai
FRC/2014/CIIN/00000006709
Managing Director
24 March 2014

Report of the Audit Committee
For the year ended 31 December 2013

In accordance with the provisions of Section 359 (6) of the Companies and Allied Matters Act of Nigeria, the members of the Audit Committee of Wapic Insurance Plc hereby, report on the financial statements for the year ended 31 December 2013 as follows:

- We have exercised our statutory functions under Section 359 (6) of the Companies and Allied Matters Act of Nigeria and acknowledge the co-operation of management and staff in the conduct of these responsibilities.
- We are of the opinion that the accounting and reporting policies of the Group and Company are in accordance with legal requirements and agreed ethical practices and that the scope and planning of both the external and internal audits for the year ended 31 December 2013 were satisfactory and reinforce the Group's internal control systems.
- We have deliberated with the External Auditors, who have confirmed that necessary cooperation was received from management in the course of their statutory audit and we are satisfied with management's responses to the External Auditor's recommendations on accounting and internal control matters and the effectiveness of the Company's system of accounting and internal control.



Mr. Chinwendu Achara
FRC/2013/IODN/00000002851
Chairman, Audit Committee
24 March 2014

Members of the committee as at December 31, 2013:

Mr. Chinwendu Achara	-	Shareholder (Chairman)
Mrs. Mary Joke Shofolahan	-	Shareholder (member)
Mr. Adeniyi Adebisi	-	Shareholder (member)
Mr. Bode Osunkoya	-	Non - Executive Director (member)
Mr. Taukeme Koroye	-	Non - Executive Director (member)
Mr. Victor Etuokwu	-	Non - Executive Director (member)

Financial Statements

Independent Auditor's Report

To the Members of Wapic Insurance Plc

Report on the Financial Statements

We have audited the accompanying consolidated and separate financial statements of Wapic Insurance Plc ("the Company) and its subsidiary companies (together " the Group"), which comprise the statement of financial position as at December 31, 2013, and the statement of profit or loss and other comprehensive income, statement of changes in equity, and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information, as set out on pages 23 to 164.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation of the Consolidated and Separate financial statements that give a true and fair view in accordance with International Financial Reporting Standards and in the manner required by the Companies and Allied Matters Act of Nigeria, the Financial Reporting Council of Nigeria Act, 2011, the Insurance Act of Nigeria, 2003, relevant National Insurance Commission of Nigeria ("NAICOM") circulars and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these consolidated and separate financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated and separate financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated and separate financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the consolidated and separate financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, these consolidated and separate financial statements give a true and fair view of the financial position of Wapic Insurance Plc ("the Company) and its subsidiaries (together "the Group") as at December 31, 2013, and of the Group's and Company's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and in the manner required by the Companies and Allied Matters Act of Nigeria, the Financial Reporting Council of Nigeria Act, 2011, the Insurance Act of Nigeria, 2003 and relevant National Insurance Commission (NAICOM) guidelines and circulars.

Report on Other Legal and Regulatory Requirements

Compliance with the requirements of Schedule 6 of the Companies and Allied Matters Act of Nigeria

In our opinion, proper books of account have been kept by the Company, so far as appears from our examination of those books and the statement of financial position and the statement of profit or loss and other comprehensive income are in agreement with the books of account.

Compliance with the requirements of National Insurance Commission of Nigeria Guidelines

The Company incurred penalties in respect of contraventions of the requirement of certain sections of the National Insurance Commission's Operational Guidelines 2011 during the financial year. The details of these contraventions and penalties are disclosed in note 45 of the financial statements.

Signed:

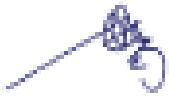
Kabir O. Okunlola, FCA
Partner, Audit Services
FRC/2012/ICAN/00000000428
For: KPMG Professional Services
Chartered Accountants
10 April 2014
Lagos, Nigeria

Consolidated Statements of Financial Position

	Notes	Group 2013 31-Dec N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
ASSETS					
Cash and cash equivalents	8	5,853,022	4,068,517	3,651,476	2,671,903
Financial assets	9	7,606,904	5,043,368	5,794,406	2,384,345
Trade receivables	10	186,223	667,365	34,430	231,422
Reinsurance assets	11	727,612	474,394	536,666	286,791
Deferred acquisition cost	12	194,916	175,788	148,165	110,639
Other receivables and prepayments	13	1,423,543	642,027	1,319,670	647,172
Investment in subsidiaries	14	-	-	2,705,576	2,705,576
Investment property	15	4,358,495	264,334	4,308,161	182,667
Intangible assets	16	70,212	65,695	60,127	53,316
Property, plant and equipment	17	1,036,305	659,532	688,142	361,731
Deferred tax asset	23	330,580	100,116	133,073	-
Statutory deposit	18	516,234	517,619	300,000	300,000
TOTAL ASSETS		**22,304,046**	**12,678,755**	**19,679,892**	**9,935,562**
LIABILITIES					
Insurance contract liabilities	19	2,951,635	3,545,872	1,923,813	1,373,644
Investment contract liabilities	20	1,455,087	65,591	-	-
Trade payables	21	462,248	492,509	203,607	231,036
Other payables	22	2,904,378	360,710	2,764,257	256,967
Deferred income tax liabilities	23	-	175,787	-	124,175
Current income tax liabilities	24	351,171	414,809	240,603	219,957
TOTAL LIABILITIES		**8,124,519**	**5,055,278**	**5,132,280**	**2,205,779**
EQUITY and LIABILITIES					
Equity attributable to owners					
Share capital	25	6,691,369	2,530,902	6,691,369	2,530,902
Share premium	26	6,194,983	5,240,627	6,194,983	5,240,627
Contingency reserves	27	1,289,685	1,189,986	1,112,313	1,040,912
Other reserves	28	577,169	85,127	611,926	97,315
Retained earnings	29	(573,679)	(1,423,165)	(62,979)	(1,179,973)
TOTAL EQUITY		**14,179,527**	**7,623,477**	**14,547,612**	**7,729,783**
TOTAL LIABILITIES AND EQUITY		**22,304,046**	**12,678,755**	**19,679,892**	**9,935,562**

These financial statements were approved by the board of directors (BOD) on 24 March 2014 and signed on behalf of the board of directors by the directors listed below:

Additionally certified by:



Aigboje Aig-Imoukhuede, CON
FRC/2013/CIBN/00000001999
Chairman

Ashish Desai
FRC/2014/CIIN/00000006709
Managing Director

Innocent Osagiede
FRC/2013/MULTI/00000002501
Chief Finance Officer

The statement of significant accounting policies and the accompanying notes form an integral part of these financial statements.

Consolidated Statements of Profit or Loss and Other Comprehensive Income

		Group	Group	Company	Company
		2013	2012	2013	2012
		31-Dec	31-Dec	31-Dec	31-Dec
		N'000	N'000	N'000	N'000
	Notes				
Gross premium written	30	3,760,515	4,178,285	2,380,024	2,232,122
Gross premium income	30	3,736,345	4,246,325	2,354,625	2,326,428
Reinsurance expenses	30	(1,074,432)	(733,405)	(920,799)	(602,044)
Net premium income	**30**	**2,661,913**	**3,512,920**	**1,433,826**	**1,724,384**
Fee and commission income	31	181,110	127,200	132,776	121,062
Net underwriting income		**2,843,023**	**3,640,120**	**1,566,602**	**1,845,446**
Claims expenses	32	2,988,822	1,985,449	1,719,038	884,731
Claims expenses recoverable	32	(857,024)	(466,377)	(675,498)	(391,855)
Net claims expenses		2,131,798	1,519,072	1,043,540	492,876
Underwriting expenses	33	816,935	685,853	594,610	478,231
Total underwriting expenses		**2,948,733**	**2,204,925**	**1,638,150**	**971,107**
Total underwriting (loss)/profit		**(105,710)**	**1,435,195**	**(71,548)**	**874,339**
Investment income	34	1,522,165	1,225,527	1,001,599	745,100
Net realised (loss)/gain on financial assets	35	(1,186)	59,545	308	41,535
Net fair value gain/(loss) on assets at fair value through profit or loss	36	702,177	(7,169)	724,169	(1,667)
Other operating income	37	57,543	70,950	40,028	42,382
		2,280,699	**1,348,853**	**1,766,104**	**827,350**
Net income		**2,174,989**	**2,784,048**	**1,694,554**	**1,701,689**
Impairment /(reversal of impairment) on trade receivables		110,958	612,195	(35,300)	201,626
Impairment/(recoveries) on other loans and receivables		1,324	111,991	(8,921)	111,991
Impairment on reinsurance assets	11	22,735	-	22,735	-
Employee benefit expense	38	865,847	560,490	603,797	396,160
Other operating expenses	39	1,803,254	946,987	1,322,093	608,452
Expenses		2,804,118	2,231,663	1,904,404	1,318,229
(Loss) / profit before minimum tax and income tax		(629,129)	552,385	(209,850)	383,460
Minimum tax	24	(90,738)	(12,200)	(77,197)	-
Income tax credit/(expense)	24	511,740	(157,153)	318,523	(142,627)
(Loss)/profit after tax for the year		(208,127)	383,032	31,476	240,833

		Group	Group	Company	Company
		2013	2012	2013	2012
		31-Dec	31-Dec	31-Dec	31-Dec
		N'000	N'000	N'000	N'000
Other comprehensive income, net of tax					
Items that are or may be reclassified to profit or loss:					
Foreign currency translation difference of foreign operations		(30,579)	(54,048)	-	-
Net changes in fair value of AFS financial instruments		325,143	-	325,143	-
Items that will not be reclassified to profit or loss:					
Revaluation gain on property and equipment		255,903	164,570	243,898	125,340
Deferred tax on revaluation gain on property and equipment and investment property		(36,836)	(49,371)	(33,235)	(37,602)
Other comprehensive income for the year, net of tax		513,631	61,151	535,806	87,738
Total comprehensive income for the year		305,504	444,183	567,283	328,571
Profit attributable to the owners of the Company		(208,127)	383,032	31,476	240,833
Total comprehensive income attributtable to the owners of the Company		305,504	444,183	567,283	328,571
– Basic and diluted earnings per share (kobo)	40	(2)	8	0.33	5

The statement of significant accounting policies and the accompanying notes form an integral part of these financial statements.

Consolidated Statements of Changes in Equity -Group

For the period ended 31 December 2013

(All amounts in Naira thousands unless otherwise stated)

	Share capital	Share premium	Contingency reserves	Other reserves	Retained earnings	Total equity
Balance at 1 January 2013	**2,530,902**	**5,240,627**	**1,189,986**	**85,127**	**(1,423,165)**	**7,623,477**
Total comprehensive income for the year						
Profit for the year	-	-	-	-	(208,127)	(208,127)
Transfer to contingency reserves	-	-	99,699	-	(99,699)	-
	-	**-**	**99,699**	**-**	**(307,827)**	**(208,127)**
Other comprehensive income						
Net changes in fair value of AFS financial instruments	-	-	-	325,143	-	325,143
Foreign currency translation difference	-	-	-	(30,579)	-	(30,579)
Revaluation gain on property and equipment, net of tax	-	-	-	255,903	-	255,903
Reclassification - Excess depreciation transfer	-	-	-	(2,222)	2,222	-
Deferred tax on revaluation gain on property and equipment	-	-	-	(36,836)	-	(36,836)
Total other comprehensive income for the year	**-**	**-**	**-**	**511,409**	**2,222**	**513,631**
Total comprehensive income for year	**-**	**-**	**99,699**	**511,409**	**(305,605)**	**305,504**
Transactions with equity holders, recorded directly in equity:						
Shares issued during the year - Rights issue	2,722,295	272,230	-	-	-	2,994,525
Share issue costs	-	(610,740)	-	-	-	(610,740)
Shares issued for business integration	1,438,172	1,292,866	-	-	1,155,091	3,886,129
Merger reserves	-	-	-	(19,367)	-	(19,367)
Total transactions with owners	**4,160,467**	**954,356**	**-**	**(19,367)**	**1,155,091**	**6,250,547**
Balance at 31 December 2013	**6,691,369**	**6,194,983**	**1,289,685**	**577,169**	**(573,679)**	**14,179,527**

Statement of Changes in Equity -Company

For the period ended 31 December 2013

(All amounts in Naira thousands unless otherwise stated)

	Share Capital	Share premium	Contingen-cy reserves	Other reserves	Retained earnings	Total equity
Balance at 1 January 2013	**2,530,902**	**5,240,627**	**1,040,912**	**97,315**	**(1,179,973)**	**7,729,783**
Total comprehensive income for the year						
Profit for the year	-	-	-	-	31,476	31,476
Transfer to contingency reserves	-	-	71,401	-	(71,401)	-
	-	**-**	**71,401**	**-**	**(39,925)**	**31,476**
Other comprehensive income						
Net changes in fair value of AFS financial instruments	-	-	-	325,143	-	325,143
Revaluation gain on property and equipment, net of tax	-	-	-	243,898	-	243,898
Revaluation gain on investment property initially held as PPE	-	-	-	-	-	-
Reclassification - Excess depreciation transfer				(1,828)	1,828	-
Deferred tax on revaluation gain on property and equipment	-	-	-	(33,235)	-	(33,235)
Total other comprehensive income for the year	**-**	**-**	**-**	**533,978**	**1,828**	**535,806**
Total comprehensive income for year	**-**	**-**	**71,401**	**533,978**	**(38,097)**	**567,281**
Transactions with equity holders, recorded directly in equity:						
Shares issued during the year - Rights issue	2,722,295	272,230	-	-	-	2,994,525
Share issue costs	-	(610,740)	-	-	-	(610,740)
Shares issued for business integration	1,438,172	1,292,866	-	-	1,155,091	3,886,129
Merger reserves	-	-	-	(19,367)	-	(19,367)
Total transactions with owners	**4,160,467**	**954,356**	**-**	**(19,367)**	**1,155,091**	**6,250,547**
Balance at 31 December 2013	**6,691,369**	**6,194,983**	**1,112,313**	**611,926**	**(62,979)**	**14,547,612**

Consolidated Statement of Changes in Equity - Group

For the year ended 31 December 2012

(All amounts in Naira thousands unless otherwise stated)

	Share capital	Share premium	Contingency reserves	Other reserves	Retained earnings	Total equity
Balance at 1 January 2012	2,530,902	5,240,627	1,076,848	120,805	(1,693,059)	7,276,123
Total comprehensive income for the year						
Profit for the year	-	-	-	-	383,032	383,032
Transfer to contingency reserves	-	-	113,138	-	(113,138)	-
	-	-	113,138	-	269,894	383,032
Other comprehensive income						
Foreign currency translation difference	-	-	-	(54,048)	-	(54,048)
Revaluation gain on property and equipment, net of tax	-	-	-	115,199	-	115,199
Reversal of revaluation gain on demolished property and equipment	-	-	-	(96,829)	-	(96,829)
Total other comprehensive income for the year	-	-	-	(35,678)	-	(35,678)
Total comprehensive income for year	-	-	113,138	(35,678)	269,894	347,354
Total transactions with owners	-	-	-	-	-	-
Balance at 31 December 2012	2,530,902	5,240,627	1,189,986	85,127	(1,423,165)	7,623,477

Statement of Changes in Equity - Company

For the year ended 31 December 2012

(All amounts in Naira thousands unless otherwise stated)

	Share Capital	Share premium	Contingency reserves	Other reserves	Retained earnings	Total equity
Balance at 1 January 2012	2,530,902	5,240,627	964,220	106,406	(1,344,114)	7,498,041
Total comprehensive income for the year						
Profit for the year	-	-	-	-	240,833	240,833
Transfer to contingency reserves	-	-	76,692	-	(76,692)	-
	-	-	76,692	-	164,141	240,833
Other comprehensive income						
Revaluation gain on property and equipment, net of tax	-	-	-	87,738	-	87,738
Reversal of revaluation gain on demolished property and equipment	-	-	-	(96,829)	-	(96,829)
Total other comprehensive income for the year	-	-	-	(9,091)	-	(9,091)
Total comprehensive income for year	-	-	76,692	(9,091)	164,141	231,742
Total transactions with owners	-	-	-	-	-	-
Balance at 31 December 2012	2,530,902	5,240,627	1,040,912	97,315	(1,179,973)	7,729,783

Consolidated Statement of Cash Flows

	Notes	Group 2013 31-Dec N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
Cash flows from operating activities					
Net cash flow from operating activities before changes in operating assets:	42	(1,029,181)	1,394,019	(850,445)	818,586
Changes in working capital:					
Trade receivables		370,184	(649,560)	232,292	(156,324)
Reinsurance assets		(275,953)	(331,677)	(272,610)	(213,474)
Deferred acquisition cost		(19,128)	16,451	(37,526)	19,616
Other receivables and prepayments		(639,576)	5,082	(498,396)	(120,675)
Statutory deposit		1,385	87,588	-	19,616
Insurance contract liabilities		511,132	201,486	550,169	(94,204)
Investment contract liabilities		284,127	2,159	-	-
Trade payables		(30,261)	328,495	(27,429)	113,266
Other payables		868,951	(141,846)	832,573	(5,303)
		41,680	**912,197**	**(71,372)**	**381,104**
Income tax paid		(292,391)	(166,188)	(221,466)	(130,582)
Net cash (used in) / from operating activities		**(250,711)**	**746,009**	**(292,838)**	**250,522**
Cash flows from investing activities					
Purchases of property, plant and equipment		(465,930)	(196,993)	(375,836)	(152,459)
Purchases of intangible assets		(33,543)	(29,684)	(29,118)	(29,684)
Proceeds from sale of property, plant and equipment		14,068	-	9,784	-
(Purchase)/redemption of investment securities		(2,584,341)	(1,219,996)	(3,405,380)	413,962
Acquisition of investment property		(850,675)	-	(850,675)	-
Rental income from investment property		14,750	55,747	14,750	5,507
Proceeds from disposal of investment property		127,342	817,771	95,342	245,666
Net cash (used in) / from investing activities		**(3,778,328)**	**(573,155)**	**(4,541,133)**	**482,992**
Cash flows from financing activities					
Proceeds from shares issued during the year		2,667,218	-	2,667,218	-
Net cash from financing activities		**2,667,218**	**-**	**2,667,218**	**-**
Changes in cash and cash equivalents		(1,361,821)	172,854	(2,166,753)	733,514
Cash and cash equivalent at beginning of year		4,068,517	3,895,663	2,671,903	1,938,389
Net cash acquired on business integration	44	3,146,326	-	3,146,326	-
Net increase/(decrease) in cash and cash equivalent		(1,361,821)	172,854	(2,166,753)	733,514
Cash and cash equivalent at end of year	43	5,853,022	4,068,517	3,651,476	2,671,903

The statement of significant accounting policies and the accompanying notes form an integral part of these financial statements.

Notes to the financial statements

Statement of significant accounting policies

1. Reporting entity

Wapic Insurance Plc ("Wapic" or "the Company") together with its subsidiaries (collectively "the Group") is a public liability company domiciled in Nigeria with operations in Nigeria and Ghana. Wapic Insurance Plc was incorporated on 14 March 1958 as a private limited liability Company under the name of West African Provincial Insurance Company Limited. It became a public limited liability company in 1990 when the company's shares were listed on the Nigerian Stock Exchange. The Company secured a life insurance business licence from National Insurance Commission (NAICOM) in 2000, and became a composite insurance business. The Company seperated the life business and transferred the related assets and liabilities to its subsidiary, Intercontinental Life Assurance Limited (now Wapic Life Assurance Limited), on 1 March 2007 through which it continues to provide life assurance services. Wapic Insurance Ghana Limited, a wholly owned subsidiary of Wapic Insurance Plc, was incorporated on 21 January 2008 to carry on general insurance business in Ghana from 19 February 2008. The address of the Company's corporate office is 50, Awolowo Road, Ikoyi. The Company is principally engaged in the business of providing risk underwriting and related financial services to its customers. Such services include provision of non-life insurance services, claims management and settlement for both corporate and individual customers and investment of funds.

2. Basis of preparation

(a) Statement of compliance with International Financial Reporting Standards

The financial statements have been prepared in accordance with, and comply with, International Financial Reporting Standards (IFRS) and in the manner required by Companies and Allied Matters Act of Nigeria, the Insurance Act of Nigeria and the Financial Reporting Council of Nigeria Act. These financial statements were authorised for issue by the Company's Board of Directors on 19 March 2014.

(b) Functional and presentation currency

The financial statements are presented in Nigerian currency (Naira) which is the Company's functional currency. Except otherwise indicated, financial information presented in Naira have been rounded to the nearest thousand.

(c) Basis of measurement

The consolidated financial statements have been prepared on a historical cost basis except for the following:

- financial instruments at fair value through profit or loss are measured at fair value;
- available-for-sale financial assets are measured at fair value;
- investment properties are measured at fair value;
- land and building are carried at revalued amount.

(d) Use of estimates and judgments

The preparation of financial statements in conformity with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates under different assumptions and conditions.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the consolidated financial statements is included in note 4 to the financial statements.

Regulation

The Company is regulated by the National Insurance Commission of Nigeria under the National Insurance Act of Nigeria. The Act specifies certain provisions which have impact on financial reporting as follows:

i) section 20 (1a) provides that provisions for unexpired risks shall be calculated on a time apportionment basis of the risks accepted in the year;

ii) section 20 (1b) requires provision for outstanding claims to be credited with an amount equal to the total estimated amount of all outstanding claims with a further amount representing 10 per cent of the estimated figure for outstanding claims in respect of claims incurred but not reported at the end of the year under review. Under IFRS the IBNR included in the Reserves is as determined by the Actuary.

iii) sections 21 (1a) and 22 (1b) require maintenance of contingency reserves for general and life businesses respectively at specified rates as set out under note 3.3 to cover fluctuations in securities and variation in statistical estimates;

iv) section 22 (1a) requires that the maintenance of a general reserve fund shall be credited with an amount equal to the net liabilities on policies in force at the time of the actuarial valuation and an additional 25 percent of net premium for every year between valuation date;

v) section 24 requires the maintainance of a margin of solvency to be calculated in accordance with the Act.

The Financial Reporting Council Act, 2011 (FRC Act) provides that in the matters of financial reporting if there is any inconsistency between the FRC Act and of other Act or law, the FRC Act shall supercede the other Act or law. The FRC Act provides that IFRS shall be the national financial reporting framework in Nigeria. Consequently, the following provision of the National Insurance Act, 2003 which conflicts with the provisions of IFRS have not been adopted:

i) the requirement to provide 10 per cent for outstanding claims in respect of claims incurred but not reported at the end of the year under review under section 20 (1b);

ii) the requirement for additional provision of 25 per cent of net premium to general reserve fund under section 22 (1a).

Changes in accounting policies

Except for the changes below, the Company has consistently applied the accounting policies as set out in Note 3 to all periods presented in these financial statements.

The Company has adopted the following new standards and amendments to standards, including any consequential amendments to other standards, with a date of initial application of 1 January 2013.

a. IFRS 10 Consolidated Financial Statements (2011)

b. IFRS 12 Disclosure of Interests in Other Entities

c. IFRS 13 Fair Value Measurement

d. Presentation of Items of Other Comprehensive Income (Amendments to IAS 1)

a. Subsidiaries

As a result of IFRS 10 (2011), the Company has changed its accounting policy for determining whether it has control over and consequently whether it consolidates other entities. IFRS 10 (2011) introduces a new control model that focuses on whether the Group has power over an investee, exposure or rights to variable returns from its involvement with the investee and the ability to use its power to affect those returns.

In accordance with the transitional provisions of IFRS 10 (2011), the Company reassessed its control conclusions as of 1 January 2013 and this did not result in any change from the conclusion reached in prior years. The change in accounting policy did not have a material impact on the Group's financial statements.

b. Interests in other entities

As a result of IFRS 12, the Group has expanded disclosures about its interests in subsidiaries.

c. Fair value measurement

In accordance with the transitional provisions of IFRS 13, the Group has applied the new definition of fair value as set out in Note 3.4 (d), prospectively. The change had no significant impact on the measurements of the Group's assets and liabilities, but the group has included new disclosures in the financial statements, which are required under IFRS 13.

d. Presentation of items of other comprehensive income

As a result of the amendment to IAS 1, the Group has modified the presentation of items of other comprehensive income in its statement of profit or loss and other comprehensive income, to present items that would be reclassified to profit or loss in the future separately from those that would never be. Comparative information has been re-presented on the same basis.

The change did not have a material impact on the Company's financial statements.

3 Significant accounting policies

Significant accounting policies are defined as those that are reflective of significant judgements and uncertainties and potentially give rise to different results under different assumptions and conditions.

Except for the changes explained above, the accounting policies set out below have been consistently applied to all periods presented in these financial statements.

Certain comparative amounts in the statement of profit or loss and other comprehensive income have been re-presented as a result of a change in the accounting policy regarding the presentation of items of other comprehensive income.

3.1 Cash and cash equivalents

Cash and cash equivalents include cash in hand and at bank, call deposits and short term highly liquid financial assets with original maturities of three months or less from the acquisition date, which are subject to insignificant risk of changes in their fair value and are used by the Company in the management of its short-term commitments. Cash and cash equivalents are carried at amortised cost in the statement of financial position.

3.2 Financial instruments

(a) Classification

The Company's financial assets include cash and short term deposits, trade and other receivables, commercial loans, quoted and unquoted equity instruments, bonds and debt notes.

The classification of financial assets depends on the purpose for which the investments were acquired or originated.

The Company classifies its financial assets into the following categories:

- financial assets at fair value through profit or loss;
- held-to-maturity investments;
- loans and receivables, and
- available-for-sale financial assets

The Company's financial liabilities are classified as other financial liabilities. They include: investment contract liabilities, trade and other payables.

(b) Initial recognition

All financial instruments are initially recognized at fair value, which includes directly attributable transaction costs for financial instruments not classified as at fair value through profit and loss. Financial instruments are derecognized when the rights to receive cash flows from the financial instruments have expired or where the Company has transferred substantially all risks and rewards of ownership.

(c). Subsequent measurement

Subsequent to intial recognition, financial assets are measured either at fair value or amortised cost, depending on their categorization:

Financial assets held at fair value through profit or loss

Financial assets at fair value through profit or loss include financial assets held for trading. Financial assets classified as trading are acquired principally for the purpose of selling in the short term for profit purposes. Subsequent to initial recognition, these investments are re-measured at fair value, with gains and losses arising from changes in this value recognized in the income statement in the period in which they arise. The fair values of quoted instruments in active markets are based on current bid prices. Interest earned and dividends received while holding trading assets at fair value through profit or loss are recognised in the income statements.

Held-to-maturity

Held-to-maturity investments are non-derivative financial assets with fixed determinable payments and fixed maturities that management has both the positive intention and ability to hold to maturity other than:

- those that the Company designates as available for sale;
- those that meet the definition of loans and receivables.

Such instruments include fixed deposits, placements and government bonds, trade and other receivables are carried at amortised cost using the effective interest method, less impairment allowance, if any.

Available-for-sale

Available for sale financial investments include equity and debt securities. The Company classifies as available-for-sale those financial assets that are generally not designated as another category of financial assets and strategic capital investments held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices.

Available-for-sale financial assets are carried at fair value. Fair values for quoted instruments are determined in the same manner as those of instruments at fair value through profit or loss. The fair values of unquoted equities and other instruments for which there is no active market, are established using valuation techniques corroborated by independent third parties. These inputs may include reference to the current fair value of other instruments that are substantially similar in terms of underlying cash flows and risk characteristics.

Available for sale equity instruments for which fair value cannot be reliably determined are carried at cost less impairment allowance, if any.

Unrealised gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income while the investment is held and are subsequently transferred to the income statement upon sale or de-recognition of the instrument.When available for sale instruments are impaired, the result of loss is recognised immediately in the statement of profit or loss.

Dividends received on available-for-sale debt instruments are recognised in income statement when the Company's right to receive payment has been established.

Dividends received on available-for-sale instruments are recognised in the income statement when the Company's right to receive payment has been established.

Interest income on available for sale debt instruments are recognised in the statement of profit or loss.

Loans and receivables

Loans and receivables include non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than those classified by the Company as at fair value through profit or loss or available-for-sale.

Loans and receivables consist primarily of staff loans, premium debtors, due from reinsurers, other debtors. These are managed in accordance with a documented policy.

Loans and receivables are measured at amortised cost using the effective interest method, less any impairment losses. Loans granted at below market rates are fair valued by reference to expected future cash flows and current market interest rates for instruments in a comparable or similar risk class and the difference between the historical cost and fair value is accounted for as employee benefits under staff costs.

Financial liabilities

Subsequent to initial recognition, financial liabilities designated at fair value through profit or loss are measured at fair value while other financial liabilities are measured at amortised cost.

(d) Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non performance risk.

When available, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Group carries the instrument at cost or uses valuation techniques that maximize the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price, i.e. the fair value of the consideration paid or received. If the Group determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique that uses only data from observable markets, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognised in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is wholly suppported by observable market data or the transaction is closed out. If an asset or a liability measured at fair value has a bid price and an ask price, then the Group measures assets and long positions at a bid price and liabilities and short positions at an ask price.

The fair value of a demand deposit is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid. The Group recognises transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

e) Impairment of financial assets

The carrying amounts of these assets are reviewed at each reporting date to determine whether there is any objective evidence of impairment. A financial asset is considered to be impaired if objective evidence indicates that one or more events that have occurred since the initial recognition of the asset have had a negative effect on the estimated future cash flows of that asset and can be reliably estimated.

Observable data or evidence that the group uses to determine if an impairment allowance is required on a financial asset include:

- significant financial difficulty of a counter party;
- a breach of contract such as default of contractual terms or deliquency in interest or principal payment;
- it is probable that the counterparty will enter bankruptcy or other financial reorganisation;
- observable data which indicates that there is a measurable decrease in the estimated future cashflow from a group of assets since the initial recognition of those assets although the decrease cannot yet be

identified with the individual financial assets.

In addition, for an available-for-sale financial asset, a significant or prolonged decline in the fair value of below its cost is also considered objective evidence of impairment. While the determination of what is significant or prolonged is a matter of judgement. In respect of equity securities that are quoted, the group is guided by the following:

- a decline in excess of 20% is generally regarded as significant and
- a decline in quoted price that persists for nine months is considered to be prolonged

Loans and recievables and held-to-maturity financial instruments

For financial assets measured at amortised cost, the Company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant and individually or collectively for financial assets that are not individually significant. Individually significant financial assets are tested for impairment on an individual basis. The remaining financial assets are assessed collectively in groups that share similar credit risk characteristics. An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying value and the present value of the estimated future cash flows discounted at the original effective interest rate.

Available-for-sale financial assets are impaired if there is objective evidence of impairment, resulting from one or more loss events that occurred after initial recognition but before the balance sheet date, that have an impact on the future cash flows of the asset.

All impairment losses are recognized through profit or loss. If any loss on the financial asset was previously recognized directly in equity as a reduction in fair value, the cumulative net loss that had been recognized in equity is transferred to the income statement and is recognized as part of the impairment loss. The amount of the loss recognized in the income statement is the difference between the acquisition cost and in the case of equity instruments or amortised cost in the case of debt instruments the current fair value, less any previously recognized impairment loss in the profit or loss.

When an available-for-sale financial instrument is carried at cost because fair value is not reliably measured, an impairment loss is measured as the difference between the carrying amount and the present value of estimated future cashflows discounted at current market rate of return for similar instruments.

f) Offsetting financial instruments

Financial assets and liabilities are set off and the net amount presented in the statement of financial position when, and only when, the group has a legally enforceable right to set off the recognized amounts and intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

(g) De-recognition of financial instruments

A financial asset is derecognized when the contractual rights of the Company to the cash flows from the asset expire, or its rights to receive the contractual cash flows on the financial asset in a transaction that transfers substantially all the risks and rewards of ownership of the financial asset are transferred, or when it assumes an obligation to pay those cash flows to one or more recipients, subject to certain criteria.

Any interest in transferred financial assets that is created or retained by the Company is recognized as a separate asset or liability.

The Company derecognises a financial liability when its contractual obligations are discharged, cancelled or expire.

3.3 Trade recievables

Trade receivables arising from insurance contracts represent premium debtors with determinable payments that are not quoted in an active market and the Company has no intention to sell. Trade receivables on insurance contracts are initially recognised at fair value and subsequently measured at amortised cost less impairment. Trade receivables are recognised for insurance cover for which payments have been received indirectly through

duly licensed insurance brokers or lead insurers in co-insurance arrangements. Premium collected on behalf of the Company are expected to be received within 30 days from insurance brokers and lead insurers. Trade receivables that are individually identified as impaired are assessed for specific impairment. All other trade receivables are assessed for collective impairment.

3.4 Reinsurance assets

Reinsurance assets represent balances due from reinsurance contracts. Reinsurance liabilities are primarily premiums payable for reinsurance contracts and are recognised as an expense when due.

Reinsurance recoverables are estimated in a manner consistent with the outstanding claims provision and claims incurred associated with the reinsurer's polices and are in accordance with the related insurance contract. They are measured at their carrying amount less impairment charges. Amounts recoverable under reinsurance contracts are assessed for impairment at each reporting date. If there is objective evidence of impairment, the Company reduces the carrying amount of its re-insurance assets to its recoverable amount and recognizes the impairment loss in the income statement. An objective evidence exists if an event has occurred by which the Company may determine that it may not recover all amounts due and that the event has a reliably measurable impact on the amounts that the Company will receive from the reinsurer.

3.5 Deferred acquisition costs

Acquisition costs comprise insurance commissions, brokerage and other related expenses arising from the generation and conclusion of insurance contracts. The proportion of acquisition costs that correspond to the unearned premiums are deferred as an asset and recognized in the subsequent period. They are recognised on a basis consistent with the related provisions for unearned premiums.

3.6. Other receivables and prepayments

Other receivables are stated after deductions of amount considered bad or doubtful of recovery. When a debt is deemed not collectible, it is written-off against the related provision or directly to the profit and loss account to the extent not previously provided for. Any subsequent recovery of written-off debts is credited to the profit and loss account. Prepayments are carried at cost less amortisation.

3.7. Investment in subsidiaries

Investment in subsidiaries are carried in the Company's separate financial statements at cost less allowance for impairment.

3.8 Basis of consolidation

(a) Subsidiaries

Subsidiaries are entities controlled by the Company. The Company controls an entity if it is exposed to, or has rights to, variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The consolidated financial statements include the assets, liabilities and results of the Company and subsidiary undertakings. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date that control ceases. The financial statements have been prepared using uniform accounting policies for like transactions and other events in similar circumstances. Investments in subsidiary companies are carried at cost less impairment in the Company's financial statements. Investment in subsidiary carried at cost in the Company's separate financial statements are reveiwed for impairment annually. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount.

The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. The results and financial position of all the Group entities (none of which has the currency of a hyper-inflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- assets and liabilities for statement of financial position presented are translated at the closing rate at the reporting date;

- income and expenses for each statement of comprehensive income are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the rate on the dates of the transactions); and
- all resulting exchange differences are recognised in other comprehensive income.

On the disposal of a foreign operation, the Group recognises in profit or loss the cumulative amount of exchange differences relating to that foreign operation. When a subsidiary that includes a foreign operation is partially disposed of or sold, the Group re-attributes the proportionate share of the cumulative amount of the exchange differences recognised in other comprehensive income to the non controling interests in that foreign operation. In the case of any other partial disposal of a foreign operation, the Group reclassifies to profit or loss only the proportionate share of the cumulative amount of exchange differences recognised in other comprehenive income.

(b) Transactions eliminated on consolidation

Intra-Company balances and transactions and any unrealized gains or losses arising from intra-Company transactions are eliminated in preparing the consolidated financial statements. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.9 Investment property

Investment property comprises investment in land or buildings held primarily to earn rentals or capital appreciation or both.

Investment property is initially recognized at cost including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes cost of day to day servicing of an investment property. An investment property is subsequently measured at fair value with any change therein recognised in profit or loss. Fair values are determined individually, on a basis appropriate to the purpose for which the property is intended and with regard to recent market transactions for similar properties in the same location.

Fair values are reviewed annually by an independent valuer, registered with the Financial Reporting Council of Nigeria and holding a recognized and relevant professional qualification and with relevant experience in the location and category of investment property being valued.

Subsequent expenditure on investment property is capitalized only if future economic benefit will flow to the Group; otherwise they are expensed as incurred.

Investment properties are disclosed separate from the property and equipment used for the purposes of the business.

The Company separately accounts for a dual purpose property as investment property if it occupies only an insignificant portion. Otherwise, the portion occupied by the Group is treated as property and equipment.

3.10 Intangible assets

Software

Recognition of software acquired is only allowed if it is probable that future economic benefits to this intangible asset are attributable and will flow to the Company.

Software acquired is initially measured at cost. The cost of acquired software comprises its purchase price, including any import duties and non-refundable purchase taxes and any directly attributable expenditure on preparing the asset for its intended use. After initial recognition, software acquired is carried at its cost less any accumulated amortisation and any accumulated impairment losses. Maintenance costs should not be included.

Internally developed software is capitalized when the Company has the intention and demonstrates the ability to complete the development and use of the software in a manner that will generate future economic benefits, and can reliably measure the costs to complete the development. The capitalised costs include all costs directly

attributable to the development of the software. Internally developed software is stated at capitalised cost less accumulated amortisation and impairment.

Subsequent expenditure on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditures are expensed as incurred. Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use. The estimated useful life of software is five years subject to annual reassessment.

3.11 Property and equipment

Recognition and measurement

All items of property and equipment except land and buildings are initially recognised at cost and subsequently measured at cost less accumulated depreciation and impairment losses .Cost includes expenditures that are directly attributable to the acquisition of the asset.

Land and buildings are initially recognised at cost and subsequently carried at revalued amounts, being fair value at the date of revaluation less subsequent accumulated depreciation and impairment losses, if any.

When parts of an item of property or equipment have different useful lives, they are accounted for as separate items (major components) of property and equipment.

The gain or loss on disposal of an item of property and equipment is determined by comparing the proceeds from disposal with the carrying amount of property and equipment and are recognised net within other income in profit or loss.

Subsequent Costs

Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the group and the cost of the item can be measured reliably. All other repairs and maintenance costs are charged to the profit and loss account during the financial period in which they are incurred.

Subsequent costs on replacement parts on an item of property are recognized in the carrying amount of the asset and the carrying amount of the replaced or renewed component is derecognized.

Depreciation

Depreciation is calculated on property, plant and equipment on the straight line basis to write down the cost of each asset to its residual value over its estimated useful life. Depreciation methods, useful lives and residual values are reassessed at each reporting date. No depreciation is charged on property and equipment until they are brought into use.

Depreciation reduces an asset's carrying value to its residual value at the end of its useful life and is allocated on a straight line basis over the estimated useful lives, as follows:

Land	-	Over the lease period
Buildings	-	2%
Office equipment	-	20%
Computer hardware	-	33.33%
Furniture and fittings	-	20%
Motor vehicles	-	25%

Revaluation of land and building

Land and building is valued on an open market basis by qualified property valuers at each reporting date.

When an individual property is revalued, any increase in its carrying amount (as a result of revaluation) is transferred to a revaluation reserve, except to the extent that it reverses a revaluation decrease of the same property previously recognised as an expense in the statement of profit or loss.

When the value of an individual property is decreased as a result of a revaluation, the decrease is charged against any related credit balance in the revaluation reserve in respect of that property. However, to the extent that it exceeds any surplus, it is recognised as an expense in the statement of profit and loss.

3.12 Leases

Operating leases

Leases where the lessor retains the risks and rewards of ownership of the underlying asset are classified as operating leases. Payments made under operating leases are charged against income on a straight-line basis over the period of the lease.

Finance leases

Leases of equipment where the group has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalised at the inception of the lease at the lower of the fair value of the leased asset or the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant interest rate on the outstanding balance of the liability.

The corresponding lease obligations, net of finance charges, are included in liabilities. The finance cost is charged to the income statement over the lease period according to the effective interest method. The equipment acquired under the finance lease is depreciated over the shorter of the useful life of the asset and the lease term, if ownership does not pass at the end of the lease term. Leased assets under finance leases are treated in the same manner as property and equipment.

3.13 Impairment of non-financial assets

The carrying amounts of the Group's non-financial assets are considered to be impaired when there exists any indication that the asset's recoverable amount is less than the carrying amount or at a minimum assessed for impairment annually. The recovery amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which they are separately identifiable cashflows (cash generating units).Impairment losses are recognised in income statement.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are recognised in statement of profit or loss.

3.14 Deferred income tax

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated financial statements. However, if the deferred income tax arises from initial recognition of the asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss, it is not accounted for. Deferred income tax is determined using the tax rates (and laws) that have been enacted or substantively enacted by the end of the reporting period and are expected to apply when the related deferred income tax is realisable or the deferred income tax liability is payable.

Deferred income tax assets are recognised to the extent that it is possible that future profit will be available against which the temporary differences can be utilised.

Deferred income tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the Company controls the timing of the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred income tax assets and liabilities are offset when there is legally enforceable right to offset current tax assets against current tax liabilities and when deferred income tax assets and liabilities relate to income taxes

levied by the same taxation authority on either the taxable entity or different entities where there is an intention to settle the balances on a net basis.

The tax effects of carry-forwards of unused losses or unused tax credits are recognised as an asset when it is probable that future taxable profits will be available against which these losses can be utilised.

Deferred tax related to fair value re-measurement of available-for-sale investments, which are charged or credited directly in other comprehensive income, is also credited or charged to other comprehensive income and subsequently recognised in the consolidated income statement together with the deferred gain or loss.

3.15 Insurance contract liabilities

Insurance contract liabilities are determined in line with the provisions of Section 20, 21 and 22 of the Insurance Act 2003 of Nigeria to the extent that they do not conflict with the requirements of IFRS as follows:

(a) General insurance contracts

(i). Reserve for unearned premium and unexpired risk

The reserve for unearned premium is calculated on a time apportionment basis in respect of risk accepted during the year. A provision for additional unexpired risk reserve is recognised for an underwriting year where it is envisaged that the estimated cost of claims and expenses would exceed the unearned premium reserve.

(ii). Reserve for outstanding claims

The reserve for outstanding cliams is maintained at the total amount of outstanding claims incurred and reported plus claims incurred but not reported (IBNR) at the reporting date.

Reserving methodology and assumptions

Data segmentation

The data used for reserving is segmented into the 8 classes as per the Insurance Act 2003 of Nigeria:

- Motor vehicle insurance business
- Fire insurance business
- General accident insurance business
- Marine, aviation and transport insurance business
- Oil and gas insurance business
- Engineering
- Bonds, credit and suretyship
- Miscellaneous

Valuation methods and assumptions

The following valuation methods are used as appropriate in calculating the reserves:

(i) The basic chain ladder method

This model assumes that past experience is indicative of future experience, i.e that claims reported to date will continue to develop in a similar manner in the future. A further assumption is that it assumes consistent claim processing, a stable mix of types of claims, stable inflation and stable policy limits.

This method is used for cases where there are extremely large losses that have been reported but not paid, and therefore will not influence the development patterns. The IBNR was calculated as follows;The reserving was determined as ultimate claim amount (extremely large losses) minus claims paid to date (extremely large losses) minus claims outstanding (extremely large losses). This method was used for the following classes of business motor vehicle, fire, general accident, engineering and miscellaneous.

(ii) Loss ratio method

This model assumes that the average delay in the payment of claims will continue into the future. Additionally, an estimate of the average ultimate loss ratio was assumed. The estimated average loss ratio was based on

claims experience at the reporting date for accident years 2010, 2011 and 2012. The Loss ratio method was used for 4 classes namely oil and gas, marine, bonds and aviation which had very limited data, therefore, the basic chain ladder method was inappropriate. The IBNR was calculated as follows; The reserving was calculated as the expected average ultimate loss ratio for the assumed average delay period multiplied by earned premium for the assumed delay period minus current experience to the reporting date relating to the accident months that the delay affects. This method was used for the following classes of business Oil and Gas, Marine, Bond and Aviation.

Discounting

No allowance has been made for discounting as these reserves are for short term contracts, the effect of discounting is not expected to have a significant impact on the reserves.

Sensitivity analysis

Sensitivity analyses are performed to test the variability around the reserves that are calculated at the best estimate level. The sensitivity analysis is done to determine how the IBNR reserve amount would change if a 75th percentile is considered as opposed to the best estimate figures included in reserve reviews as at 31 December 2013. The 75th percentile is a generally accepted level of prudency.

(b) Life insurance contracts

(i). Life fund

This is made up of net liabiilities on policies in force as determined by qualified actuaries at the reporting date. Surplus or deficit arising from the periodic valuation of the life insurance contracts are recognised in the income statement.

This is made up of liabiilities on policies in force as determined by qualified actuaries at the reporting date. Surplus or deficit arising from the periodic valuation of the life insurance contracts are recognised in the statement of profit and loss.

The reserves include Incurred But Not Reported (IBNR) and Unearned Premium Reserve (UPR).

Data segmentation

The data used for reserving is segmented into the 2 classes as follows:

- Individual business
- Group business

Methodologies and assumptions

The basic chain ladder method was used for both the individual business and group business

- the valuation age is taken as Age Last Birthday at the valuation date;
- the period to maturity is taken as the full term of the policy less the expired term.
- full credit is given to premiums due between valuation date and the end of the premium paying term.

An unexpired premium reserve is included for Group Life business, after allowing for acquisition expenses at a ratio of 12% premium. The UPR is tested against an Additional Unexpired Risk Reserve (AURR), using pooled industry claims data for the underlying assumptions. The resulting AURR was zero, giving comfort that the UPR is sufficient.

General insurance

Recognition and measurement of insurance contract liabilities

The recognition and measurement of the insurance contracts in the group's general business are set out as follows:

(i) Premiums

Gross premium relates to premium written in a year to cover assumed insurance risk. Gross premiums comprise the premiums on insurance contracts entered into during the year, irrespective of whether they relate in whole or in part to a later accounting period.

Premiums on reinsurance inward are included in gross written premiums and accounted for as if the reinsurance was direct business, taking into account the product classification of the reinsured business.

Outward reinsurance premiums are accounted for in the same accounting period as the premiums for the related direct insurance or reinsurance business assumed.

The earned portion of premiums written is recognized as revenue. Premiums are earned from the date of attachment of risk, over the indemnity period, based on the pattern of risk underwritten. Outward reinsurance premiums are recognized as an expense in accordance with the pattern of the indemnity.

(ii) Unearned premiums

Unearned premiums are those proportions of premiums written in the year that relate to periods of risks after the reporting date. It is computed separately for each insurance contract using a time proportionate basis, or another suitable basis for uneven risk contracts.

(iii) Reinsurance

The Company cedes insurance risks in the normal course of business for the purpose of limiting its net loss potential on policies written. Premium ceded comprise written premiums ceded to reinsurers, adjusted for the reinsurers' share of the movement in the provision for the unearned premiums. Reinsurance arrangements do not relieve the Company from its direct obligations to its policyholders. Subsequently, premium ceded, claims reimbursed and commission recovered are presented in the income statement and statement of financial position separately from the gross amounts. Reinsurance recoverables are recognized when the Company records the liability for the claims and are not netted off claims expense but are presented separately in the income statement.

Reinsurance assets represent balances due from reinsurance contracts. Reinsurance liabilities are primarily premiums payable for reinsurance contracts and are recognised as an expense when due.

Reinsurance recoverables are estimated in a manner consistent with the outstanding claims provision and claims incurred associated with the reinsurer's polices and are in accordance with the related insurance contract. They are measured at their carrying amount less impairment charges. Amounts recoverable under reinsurance contracts are assessed for impairment at each reporting date. If there is objective evidence of impairment, the Company reduces the carrying amount of its re-insurance assets to its recoverable amount and recognizes the impairment loss in the income statement. An objective evidence exists if an event has occurred by which the Company may determine that it may not recover all amounts due and that the event has a reliably measurable impact on the amounts that the Company will receive from the reinsurer.

(iv) Fees and commission income

Commissions are recognized on ceding business to the reassurer, and are credited to the profit and loss account over the period the service is provided.

(iv) Claims incurred

Claims incurred consist of claims and claims handling expenses paid during the financial year together with the movement in the provision for outstanding claims. The provision for outstanding claims represent the Company's estimate of the ultimate cost of settling all claims incurred but unpaid at the reporting date whether reported or not. The provision includes an allowance for claims management and handling expenses.

The provision for outstanding claims is estimated based on current information and the ultimate liability may vary as a result of subsequent information and events and may result in significant adjustments to the amounts provided. Adjustments to the amounts of claims provision for prior years are reflected in the income statement in the financial period in which adjustments are made, and disclosed separately if material.

3.16 Liabilities and related assets under liability adequacy test

The liability for insurance contracts is tested for adequacy by discounting current estimates of all future contractual cash flows and comparing this amount to the carrying value of the liability net of deferred acquisition costs. Where a shortfall is identified, an additional provision is made and the Company recognizes the deficiency in the income statement. Insurance contract liabilities are subject to liability adequacy testing on an annual basis. The method of valuation and assumptions used, the cashflows considered and the discounting and aggregation practices adopted have been set out as part of note 3.15.

3.17 Investment contract liabilities

Contracts under which the transfer of insurance risk to the Company from the policy holder is not significant are classified as investment contracts. Such contracts include savings and /or investment contracts sold with insignificant or without life assurance protection.

The Company does not have contacts with discretionary participating features. Investment contract liabilities are recorded at amortised cost.

(ii) Premiums on life assurance

Premiums and annuity considerations written and/or receivable under insurance contracts are stated gross of commission and recognised when due. Outward reinsurance premiums are recognised when due for payment. Premium written relates to risks assumed during the period.

Amounts received under investment contracts are recognised directly as investment contract liabilities.

(iii) Claims on life assurance

Claims recognised include maturities, surrenders, death and disability payments. Claims arising on maturities are recorded as they fall due for payments. Death, disability and surrenders are accounted for on notification. Reinsurance recoveries are accounted for when the Company records the liability for the claims.

(iv) Insurance contract provisions

Insurance contract provisions are determined using valuation basis adopted in accordance with the generally accepted actuarial practices and methodologies as set out in note 3.15 (b)

The gross insurance contract provisions and related reinsurance recoveries are estimated on the basis of the information currently available to the Company. The ultimate liability may vary as a result of subsequent information and events and may result in significant adjustments to the amount provided.

3.18 Trade and other payables

Trade and other payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. The fair value of a non-interest bearing liability is its discounted repayment amount. If the due date is less than one year, discounting is omitted as the impact is not expected to be significant.

3.19. Provisions

A provision is recognized if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a rate that reflects current market assessments of the time value of money and the risks specific to the obligation.

3.20. Income tax

Income tax comprises current and deferred tax. Income tax expense is recognised in the income statement except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

3.21.Dividends

Dividend distribution to the Company's shareholders is recognized as a liability in the financial statements in

the period in which the dividends are approved by the Company's shareholders. Dividends that are proposed but not yet declared are disclosed in the notes to the financial statements. Dividends on the Company's ordinary shares are recognised in equity in the period in which they are paid or, if earlier, approved by the Company's shareholders.

3.22. Share capital

The Company classifies ordinary shares and share premium as equity when there is no obligation to transfer cash or other assets.

Incremental costs directly attributable to issue of shares are recognized as deductions from equity net of any tax effects.

3.23 Share premium

Shares are classified as equity when there is no obligation to transfer cash or other assets. Incremental costs directly attributable to the issue of equity instruments are shown in equity as a deduction from the proceeds, net of tax.

3.24 Contingency reserve

The Company maintains contingency reserves in accordance with the provisions of the Insurance Act 2003 to cover fluctuations in securities and variations in statistical estimates. For general business, the reserve is calculated at the rate equal to the higher of 3% of total premium or 20% of net profit until the reserve reaches the greater of minimum paid up capital or 50% of net premium for general business. Contingency reserve for life business is credited with the higher of 1% of gross premiums and 10% of net profit.

3.25 Other reserve

Other reserves are made up of the following:

Revaluation reserve

Revaluation reserve represents the fair value differences on the revaluation of items of property, plant and equipment as at the balance sheet date. If an asset's carrying amount is increased as a result of a revaluation, the increase is recognised in other comprehensive income and accumulated in revaluation reserve. The increase is recognised in profit or loss to the extent that it reverses a revaluation decrease of the same asset previously recognised in profit or loss. If an assets carrying amount is decreased as a result of a revaluation, the decrease is recognised in profit or loss, however, the decrease shall be recognised in other comprehensive income to the extent of any credit balance existing in the revaluation surplus in respect of that asset.

The revaluation surplus in respect of an item of property, plant and equipment is transferred to retained earnings when the asset is derecognised. This involves transferring the whole of the surplus when the asset is retired or disposed and some of the surplus are transfered to retained earnings as the asset is used by the entity. The amount of the surplus transfered is the difference between depreciation based on the revalued carrying amount of the asset and the depreciation based on the asset's original cost. Transfers from revaluation reserve to retained earnings are not made through profit or loss.

Translation reserve

The assets and liabilities of foreign operations are translated to Naira at spot exchange rates at the reporting date. The income and expenses of foreign operations are translated to Naira at spot exchange rates at the dates of the transactions or at average rates of exchange where these approximate to actual rates. Foreign currency differences on the translation of foreign operations are recognised in other comprehensive income and presented in the foreign currency translation reserve in equity. However, if the foreign operation is not wholly owned the relevant proportion of the translation difference is allocated to non-controlling interests. When a foreign operation is disposed of, such that control is lost, the cumulative amount in the foreign currency translation reserve related to that foreign operation is transferred to profit or loss as part of the gain or loss in disposal.

Fair value reserve

The fair value reserve comprises the net cumulative change in the fair value of available-for-sale investments until the investment is derecognised or impaired.

Merger reserve

Merger reserve warehouses the difference between the consideration paid and the capital of the acquiree under a common control transaction using the book value accounting method.

3.26 Retained Earnings

This account accumulates net profits or losses from operations.

Earnings per share

The Company presents basic earnings per share for its ordinary shares. Basic earnings per share are calculated by dividing the profit attributable to ordinary shareholders of the Company by the number of shares outstanding during the year.

Adjusted earnings per share is determined by dividing the profit or loss attributable to ordinary shareholders by the weighted average number of ordinary shares adjusted for the bonus shares issued. A diluted earnings per share is determined where appropriate.

3.27 Fees and commission income

Fees and commissions are recognized on ceding business to the re-insurer, and are credited to income statement.

3.28. Underwriting expenses

Underwriting expenses are made up of acquisition and maintenance expenses comprising commission and policy expenses, proportion of staff cost and insurance supervision levy.

Underwriting expenses for insurance contracts are recognized as expense when incurred, with the exception of acquisition costs which are recognized on a time apportionment basis in respect of risk.

3.29 Investment income

Investment income comprises interest income earned on short-term deposits, rental income and income earned on trading of securities including all realised and unrealised fair value changes, interest, dividends and foreign exchange differences. Investment income, other than interest income, is recognised at fair value and on an accrual basis.

Interest income is recognised in the income statement as it accrues and is calculated using the effective interest rate method. Fees and commissions that form part of an integral part of the effective yield of a financial instrument are recognised as an adjustment to the effective interest rate of the instrument.

3.30 Other operating income

Other operating income comprises of profit from sale of property and equipment, interest income earned on staff loans and net foreign exchange gain. Interest income is recognised in the income statement as it accrues and is calculated using the effective interest rate method.

3.31 Dividend income

Dividend is recognized when the Company's right to receive the dividend has been established. The right to receive dividend is established when the dividend has been duly declared.

3.32 Foreign currency transactions

The Nigerian Naira is the Company's functional and reporting currency. Foreign currency transactions are translated at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities

denominated in foreign currencies are translated using the exchange rate ruling at the reporting sheet date; the resulting foreign exchange gain or loss is recognized in the income statement.

Unrealized exchange differences on non-monetary financial assets (investments in equity instruments) are a component of the change in their entire fair value. For a non-monetary financial asset held for trading or designated at fair value through profit or loss, unrealized exchange differences are recognized in the income statement. For non-monetary financial investments available-for-sale, unrealized exchange differences are recorded directly in equity until the asset is sold or becomes impaired.

3.33. Employee benefits

Short-term benefits

Short-term employee benefit obligations include wages, salaries and other benefits which the Company has a present obligation to pay, as a result of employees' services provided up to the reporting sheet date. The accrual is calculated on an undiscounted basis, using current salary rates.

A provision is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Post employment benefits

The Company operates a defined contributory retirement scheme as stipulated in the Pension Reform Act 2004. Under the defined contribution scheme, the Company pays fixed contributions of 7.5% to a separate entity – Pension Fund Administrators; employees also pay the same fixed percentage to the same entity. Once the contributions have been paid, the Company retains no legal or constructive obligation to pay further contributions if the Fund does not hold enough assets to finance benefits accruing under the retirement benefit plan. The Company's obligations are recognized in the profit and loss.

Other long-term employee benefits

The Company recognizes obligation for defined benefit plans in respect of long term service award based on projected unit credit method.

Termination benefits

Termination benefits are payable whenever an employee's employment is terminated before the normal retirement date or whenever an employee accepts voluntary redundancy in exchange for these benefits.

The Company recognizes termination benefits when it is demonstrably committed either to terminate the employment of current employees according to a detailed formal plan without possibility of withdrawal, or to provide termination benefits as a result of an offer made to encourage voluntarily redundancy if it is probable that the offer will be accepted and the number of acceptances can be estimated. Benefits falling due more than 12 months after reporting sheet date are discounted to present value.

3.34. Management expenses

Management expenses are expenses other than claims and underwriting expenses. They include depreciation expenses and other operating expenses. They are accounted for on an accrual basis.

3.31. Operating segment

An operating segment is a component of the group engaged in business activities, whose operating results are reviewed regularly by management in order to make decisions about resources to be allocated to segments and assessing segment performance. The group's identification of segments and the measurement of segment results is based on the group's internal reporting to management. Transactions between segments are priced at market-related rates.

3.32. Business Combination

Business Combinations are accounted for using the acquisition method as at the acquisition date ie. when

control is transferred to the Company. The Consideration transferred in the acquisition is generally measured at fair value as are the identifiable net assets acquired . Any good will that arises is tested annually for impairment. Any gain on a bargain purchase is recognised in profit or loss immediately. Transaction costs are expensed as incurred except if they are related to the issue of debt or equity securities. The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss. Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in profit or loss.

3.33. Use of estimates and judgements

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates under different assumptions and conditions. The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

3.34. New standards and interpretations not yet adopted

The following new or revised standards and amendments which have a potential impact on the Company are not yet effective for the year ended 31 December 2013 and have not been applied in preparing these financial statements. The new standards and amendments are not expected to have significant impact on the Company.

Pronouncement	Title	Effective Date
IFRS 9 (Amended)	Financial Instruments IFRS 9 will replace the existing standard on the recognition and measurement of financial instruments and requires all financial assets to be classified and measured on the basis of the entity's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets. The accounting for financial assets differs in various other areas to existing requirements such as embedded derivatives and the recognition of fair value adjustments in other comprehensive income. All changes in the fair value of financial liabilities that are designated at fair value through profit or loss due to changes in own credit risk will be required to be recognised within other comprehensive income.	Annual periods beginning on or after 1 January 2015
IAS 32 (Amendments)	Offsetting Financial Assets and Financial Liabilities. The ammendments to IAS 32 to clarify the requirements for offsetting of financial assets and liabilities.	Annual periods beginning on or after 1 January 2014
Amendments to IFRS 10, IFRS 12 and IAS 27 – Investment entities	IFRS 10 Consolidated Financial Statements, IFRS 12 Disclosure of Interests in Other Entities, IAS 27 Separate Financial Statements	Annual periods beginning on or after 1 January 2014

Pronouncement	Title	Effective Date
Amendments to IFRS 10, IFRS 12 and IAS 27 – Investment entities	The amendments provide 'investment entities' (as defined) an exemption from the consolidation of particular subsidiaries and instead require that an investment entity measure the investment in each eligible subsidiary at fair value through profit or loss in accordance with IFRS 9 Financial Instruments or IAS 39 Financial Instruments: Recognition and Measurement. The amendments also require additional disclosure about why the entity is considered an investment entity,details of the entity's unconsolidated subsidiaries,and the nature of relationship and certain transactions between the investment entity and its subsidiaries. Further, an investment entity will be required to account for its investment in a relevant subsidiary in the same way in its consolidated and separate financial statements(or to only provide separate financial statements if all subsidiaries are unconsolidated)	Annual periods beginning on or after 1 January 2014
IAS 36 (Amendments)	Impairment of Assets Amendments reduce the circumstances in which the recoverable amount of assets or cash-generating units is required to be disclosed, clarify the disclosures required, and introduce an explicit requirement to disclose the discount rate used in determining impairment (or reversals) where recoverable amount (based on fair value less costs of disposal) is determined using a present value technique.	Annual periods beginning on or after 1 January 2014
IAS 39 (Amendments)	Financial Instruments: Recognition and Measurement These amendments make it clear that there is no need to discontinue hedge accounting if a hedging derivative is novated, provided certain criteria are met. A novation indicates an event where the original parties to a derivative agree that one or more clearing counterparties replace their original counterparty to be come the new counter party to each of the parties.Inorder to apply the amendments and continue hedge accounting, novation to a central counter party (CCP) must happen as a consequence of flaws or regulations or the introduction of laws or regulations.	Annual periods beginning on or after 1 January 2014
IFRIC 21	Levies IFRIC 21 provides guidance on when to recognise a liability for a levy imposed by a government, both for levies that are accounted for in accordance with IAS 37 Provisions, Contingent Liabilities and Contingent Assets and those where the timing and amount of the levy is certain. The interpretation identifies the obligating event for the recognition of a liability as the activity that triggers the payment of the levy in accordance with the relevant legislation. It provides the following guidance on recognition of a liability to pay levies: •The liability is recognised progressively if the obligating event occurs over a period of time • If an obligation is triggered on reaching a minimum threshold,the liability is recognised when that minimum threshold is reached."	Annual periods beginning on or after1 January2014

4. Critical accounting estimates and judgments

The Company makes estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgments are continually evaluated and based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

(a) Fair value of financial assets

(i) Fair value of unquoted equity financial instruments

The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using latest transaction prices where available. Where applicable, fair values are estimated from observable data using valuation models. The models used to determine fair values are validated and periodically reviewed by qualified personnel independent of those that sourced them. All models are certified before they are used, and models are calibrated to ensure that outputs reflect actual data and comparative market prices. Changes in assumptions about these factors could affect the reported fair value of the relevant securities.

(ii) Fair value of HTM investment securities

Financial instruments designated as held-to-maturity are carried by the group at amortised cost. The quoted prices for the determination of the fair value of such instruments are readily available for quoted instruments. Valuation techniques are used for unquoted instruments by using discount cashflow valuation techniques. In the latter cases, the fair values are estimated from observable data in respect of similar financial instruments.

(b) Liabilities arising from insurance contracts

(i) Claims arising from non-life insurance contracts

Liabilities for unpaid claims are estimated on case by case basis. The liabilities recognised for claims fluctuate based on the nature and severity of the claim reported. Claims incurred but not reported are determined using statistical analyses and the Company deems liabilities reported as adequate.

(ii) Liabilities arising from life insurance contracts

The liabilities for life insurance contracts are estimated using appropriate and acceptable base tables of standard mortality according to the type of contract being written. Management make various assumptions such as expenses inflation, valuation interest rate, mortality and further mortality improved in estimating the required liabilities for life contracts.

(c) Depreciation and carrying value of property & equipment

The estimation of the useful lives of assets is based on management's judgement. Any material adjustment to the estimated useful lives of items of property and equipment will have an impact on the carrying value of these items.

(d) Determination of impairment of property and equipment, and intangible assets excluding goodwill

Management is required to make judgements concerning the cause, timing and amount of impairment. In the identification of impairment indicators, management considers the impact of changes in current competitive conditions, cost of capital, availability of funding, technological obsolescence, discontinuance of services and other circumstances that could indicate that impairment exists. The Company applies the impairment assessment to its separate cash generating units. This requires management to make significant judgements and estimates concerning the existence of impairment indicators, separate cash generating units, remaining useful lives of assets, projected cash flows and net realisable values. Management's judgement is also required when assessing whether a previously recognised impairment loss should be reversed.

5. Refer to section on risk management report on page 29

Claims Paid Triangulations
as at December 2013

Engineering

	Development Year							
Accident Year	0	1	2	3	4	5	6	7
2006	612,979	793,521	31,361,731	35,413,830	35,413,830	35,413,830	35,413,830	35,413,830
2007	3,061,915	18,730,090	20,837,895	20,837,895	20,837,895	20,837,895	20,837,895	
2008	1,183,499	9,781,557	20,000,023	20,000,023	20,000,023	20,000,023		
2009	2,360,909	43,629,952	43,836,452	43,836,452	43,836,452			
2010	7,608,992	37,059,857	63,710,125	64,698,811				
2011	16,696,398	24,873,634	40,152,598					
2012	46,746,703	149,511,653						
2013	19,127,818							

Fire

	Development							
Accident Period	0	1	2	3	4	5	6	7
2006	39,475,555	46,368,939	490,581,056	496,519,505	496,519,505	496,519,505	496,519,505	496,519,505
2007	23,303,768	44,330,380	53,656,663	54,050,853	54,756,866	55,992,051	55,992,051	
2008	90,087,550	179,631,370	190,952,400	190,952,400	190,952,400	190,952,400		
2009	40,937,273	114,548,121	119,212,960	119,212,960	119,221,760			
2010	14,058,843	25,577,128	27,677,117	28,222,647				
2011	8,850,612	112,767,765	113,172,769					
2012	6,956,337	46,860,967						
2013	5,541,845							

General Accident

	Development							
Accident Period	0	1	2	3	4	5	6	7
2006	37,926,968	106,127,791	118,802,257	175,142,275	178,057,017	178,057,017	178,057,017	178,057,017
2007	106,387,115	179,904,803	233,656,011	236,130,244	238,461,729	242,705,888	242,821,312	
2008	95,246,249	231,689,063	287,336,184	294,342,361	404,812,791	406,089,574		
2009	48,806,069	212,396,320	245,761,687	268,392,329	273,225,211			
2010	72,051,700	243,040,104	267,087,136	289,460,687				
2011	58,395,892	208,905,420	265,524,431					
2012	37,324,821	299,668,709						
2013	82,796,310							

Motor

	Development							
Accident Period	0	1	2	3	4	5	6	7
2006	89,912,528	126,790,627	129,962,891	131,946,802	132,128,490	132,128,490	132,128,490	132,128,490
2007	214,681,643	350,932,235	394,865,504	397,286,592	397,286,592	397,286,592	397,286,592	
2008	442,931,617	656,874,254	672,336,910	673,417,360	674,312,064	674,312,064		
2009	503,986,139	670,707,884	678,754,140	678,754,140	679,442,140			
2010	256,770,668	387,863,521	396,260,808	397,537,546				
2011	227,594,911	295,665,676	299,592,255					
2012	120,160,436	172,810,134						
2013	113,637,984							

Claims Paid Triangulations

as at December 2012

Engineering

	Development Year							
Accident Year	0	1	2	3	4	5	6	7
2005	5,101,029	7,078,191	7,707,065	7,846,989	7,846,989	7,846,989	7,846,989	7,846,989
2006	612,979	793,521	31,361,731	35,413,830	35,413,830	35,413,830	35,413,830	
2007	3,061,915	18,730,090	20,837,895	20,837,895	20,837,895	20,837,895		
2008	1,183,499	9,781,557	20,000,023	20,000,023	20,000,023			
2009	2,360,909	43,629,952	43,836,452	43,836,452				
2010	7,608,992	37,059,857	63,710,125					
2011	16,696,398	24,873,634						
2012	46,746,703							

Fire

	Development							
Accident Period	0	1	2	3	4	5	6	7
2005	24,626,496	52,968,925	54,936,028	56,360,134	56,769,218	56,769,218	56,769,218	56,769,218
2006	39,475,555	46,368,939	490,581,056	496,519,505	496,519,505	496,519,505	496,519,505	
2007	23,303,768	44,330,380	53,656,663	54,050,853	54,756,866	55,992,051		
2008	90,087,550	179,631,370	190,952,400	190,952,400	190,952,400			
2009	40,937,273	114,548,121	119,212,960	119,212,960				
2010	14,058,843	25,577,128	27,677,117					
2011	8,850,612	112,767,765						
2012	6,956,337							

General Accident

	Development							
Accident Period	0	1	2	3	4	5	6	7
2005	46,782,936	58,251,674	60,284,732	62,317,212	62,317,212	62,476,631	62,476,631	62,476,631
2006	91,595,818	113,269,872	120,799,413	177,981,826	178,057,017	178,057,017	178,057,017	
2007	149,431,329	228,225,954	234,903,824	237,776,859	238,961,729	242,705,888		
2008	139,156,977	266,979,687	293,081,769	298,934,647	404,812,791			
2009	139,842,401	235,880,317	246,513,512	268,392,329				
2010	182,585,303	260,366,932	267,087,136					
2011	178,418,286	208,905,420						
2012	37,324,821							

Motor

	Development							
Accident Period	0	1	2	3	4	5	6	7
2005	116,611,166	135,681,945	139,481,283	143,297,619	143,297,619	143,297,619	143,297,619	143,297,619
2006	120,697,054	129,060,814	131,620,795	131,946,802	132,128,490	132,128,490	132,128,490	
2007	313,014,716	373,033,672	397,157,542	397,286,592	397,286,592	397,286,592		
2008	593,900,220	662,284,146	673,127,360	674,312,064	674,312,064			
2009	642,950,796	677,636,624	678,754,140	678,754,140				
2010	380,486,527	395,997,091	396,260,808					
2011	288,435,665	295,665,676						
2012	120,160,436							

Fair Value Hierarchy

The Group's accounting policy and basis of fair value measurements are disclosed under notes 3.2(d) and 4.

Level 1: Quoted market price in an active market for an identical instrument.

Level 2: Valuation techniques based on observable inputs. This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for similar instruments in markets that are considered less than active; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level 3: This includes financial instruments, the valuation of which incorporate significant inputs for the asset or liability that is not based on observable market data (unobservable inputs). Unobservable inputs are those not readily available in an active market due to market illiquidity or complexity of the product. These inputs are generally determined based on inputs of a similar nature, historic observations on the level of the input or analytical techniques.

The table below analyses financial instruments measured at fair value at the end of the year, by the level in the fair value hierarchy into which the fair value measurement is categorised:

		31 December 2013			
		Level 1	Level 2	Level 3	Total balance
Group	**Notes**				
In thousands of Naira					
Assets					
Equity securities - Available for sale	9(a)	-	852,985	16,736	869,721
Equity securities - Held for trading	9(b)	12,563	-	-	12,563
Total financial assets measured at fair value		**12,563**	**852,985**	**16,736**	**882,284**

		31 December 2012			
		Level 1	Level 2	Level 3	Total balance
Group	**Notes**				
In thousands of Naira					
Assets					
Equity securities - Available for sale	9(a)	-	-	16,736	16,736
Equity securities - Held for trading	9(b)	158,942	-	-	158,942
Total financial assets measured at fair value		**158,942**	**-**	**16,736**	**175,678**

		31 December 2013			
		Level 1	Level 2	Level 3	Total balance
Company	**Notes**				
In thousands of Naira					
Assets					
Equity securities - Available for sale	9(a)	-	852,985	16,736	869,721
Equity securities - Held for trading	9(b)	11,375	-	-	11,375
Total financial assets measured at fair value		**11,375**	**852,985**	**16,736**	**881,096**

		31 December 2012			
		Level 1	Level 2	Level 3	Total balance
Company	**Notes**				
In thousands of Naira					
Assets					
Equity securities - Available for sale	9(a)	-	-	16,736	16,736
Equity securities - Held for trading	9(b)	126,351	-	-	126,351
Total financial assets measured at fair value		**126,351**	**-**	**16,736**	**143,087**

The following tables set out the fair values of financial instruments not measured at fair value and analyses them by the level in the fair value hierarchy into which each fair value measurement is categorised:

	31 December 2013			
	Level 1	Level 2	Level 3	Total balance
Group				
In thousands of Naira				
Assets				
Cash and cash equivalents	-	-	5,853,022	5,853,022
Financial assets	6,709,357	-	-	6,709,357
Trade receivables	-	-	186,223	186,223
Reinsurance assets	-	-	727,612	727,612
Deferred acquisition cost	-	-	194,916	194,916
Other receivables	-	-	1,350,440	1,350,440
Total financial assets not measured at fair value	**6,709,357**	**-**	**8,312,213**	**15,021,570**
Liabilities				
Investment contract liabilities			1,455,087	1,455,087
Trade payables			462,248	462,248
Other payables			2,904,378	2,904,378
Total financial liabilities not measured at fair value	**-**	**-**	**4,821,713**	**4,821,713**

	31 December 2013			
	Level 1	Level 2	Level 3	Total balance
Company				
In thousands of Naira				
Assets				
Cash and cash equivalents	-	-	3,651,476	3,651,476
Financial assets	4,909,221	-	-	4,909,221
Trade receivables	-	-	34,430	34,430
Reinsurance assets	-	-	536,666	536,666
Deferred acquisition cost	-	-	148,165	148,165
Other receivables	-	-	1,246,567	1,246,567
Total financial assets not measured at fair value	**4,909,221**	**-**	**5,617,304**	**10,526,525**
Liabilities				
Investment contract liabilities	-	-	-	-
Trade payables	-	-	203,607	203,607
Other payables	-	-	2,764,257	2,764,257
Total financial liabilities not measured at fair value	**-**	**-**	**2,967,864**	**2,967,864**

Capital Management

The Company's objectives with respect to capital management are to maintain a capital base that is structured to exceed regulatory and to best utilize capital allocations.

Insurance industry regulator measures the financial strength of Non-life insurers using a solvency margin model, NAICOM generally expects non-life insurers to comply with this capital adequacy requirement. This test compares insurers' capital against the risk profile. Section 24 (1) of the Insurance Act, 2003 requires that an insurer shall in respect of its business other than its life insurance business, maintain at all times a margin of solvency being the excess of the value of its admissible assets in Nigeria over its liabilities in Nigeria. The solvency margin shall not be less than 15 per cent of the gross premium income less reinsurance premiums paid out during the year under review or the minimum paid-up capital which ever is greater. During the year, the Company has consistently exceeded this minimum. The regulator has the authority to request more extensive reporting and can place restrictions on the Company's operations if the Company falls below this requirement as deemed necessary.

The solvency margin for the Company as at 31 December 2013 was as follows;

	N'000	N'000
Excess of Assets (Admissible assets) over Liabilities -Solvency Margin		9,321,107
Higher of:		
Gross premium written	2,380,024	
Less: Reinsurance paid during the year	(920,799)	
Net Premium	1,459,225	
15% of Net premium	218,884	
Minimum capital base- Non life	3,000,000	
The higher thereof:		3,000,000
Surplus in Solvency Margin over minimum capital base		6,321,107
Solvency Ratio		**211%**

The solvency margin for the Company as at 31 December 2012 was as follows;

	N'000	N'000
Excess of Assets (Admissible assets) over Liabilities -Solvency Margin		6,791,636
Higher of:		
Gross premium written	2,232,122	
Less: Reinsurance paid during the year		(602,044)
Net Premium		1,630,078
15% of Net premium		244,512
Minimum capital base- Non life		3,000,000
The higher thereof:		
Surplus in Solvency Margin over minimum capital base		
Solvency Ratio		

The Company further developed an internal capital adequacy model that assesses the risk of assets, policy liabilities and other exposures by applying various factors. The model calculates the capital required for each class of the broad risks identified by the Company and aggregates through co-variance methodology that considers the relationship among these risk categories.

6 Financial assets and liabilities

Accounting classification measurement basis and fair values.

The table below sets out the Company's classification of each class of financial assets and liabilities, and their fair values.

Company	Notes	Held for trading	Held-to-Maturity	Loans and receiv-ables	Available-for-sale	Other financial liabilities at amortised cost	Total carrying amount	Fair value
In thousands of Naira								
31 December 2013								
Cash and cash equivalents	8	-	-	5,853,022	-	-	5,853,022	5,853,022
Financial assets	9	12,563	6,724,620	-	869,721	-	7,606,904	7,591,640
Trade receivables	10	-	-	186,223	-	-	186,223	186,223
Other receivables	13	-	-	1,320,360	-	-	1,320,360	1,320,360
		12,563	**6,724,620**	**7,359,605**	**869,721**	**-**	**14,966,509**	**14,951,245**
Trade and other payables	21	-	-	-	-	3,366,626	3,366,626	3,366,626
Investment contract liabilities	20	-	-	-	-	1,455,087	1,455,087	1,455,087
		-	**-**	**-**	**-**	**4,821,713**	**4,821,713**	**4,821,713**

Company	Notes	Held for trading	Held-to-Maturity	Loans and receiv-ables	Available-for-sale	Other financial liabilities at amortised cost	Total carrying amount	Fair value
In thousands of Naira								
31 December 2012								
Cash and cash equivalents	8	-	-	4,068,517	-	-	4,068,517	4,068,517
Financial assets	9	158,942	4,867,690	-	16,736	-	5,043,368	5,008,353
Trade receivables	10	-	-	667,365	-	-	667,365	667,365
Other receivables	13	-	-	488,681	-	-	488,681	488,681
		158,942	**4,867,690**	**5,224,563**	**16,736**	**-**	**10,267,931**	**10,232,916**
Insurance contract liabilities	19	-	-	-	-	3,545,872	3,545,872	3,545,872
Trade and other payables	21	-	-	-	-	853,219	853,219	853,219
Investment contract liabilities	20	-	-	-	-	65,591	65,591	65,591
		-	**-**	**-**	**-**	**4,464,682**	**4,464,682**	**4,464,682**

The expected cash flows for each contract are determined either directly by reference to actual cash flows implicit in observable market prices or through modelling cash flows using appropriate financial markets pricing models. Wherever possible, these models use as their basis observable market prices and rates including, for example, interest rate yield curves, equities and prices.

Financial assets and liabilities

Accounting classification, measurement basis and fair values

The table below sets out the Company's classification of each class of financial assets and liabilities, and their fair values.

Company	Notes	Held for trading	Held-to-Maturity	Loans and receiv-ables	Available-for-sale	Other financial liabilities at amortised cost	Total carrying amount	Fair value
In thousands of Naira								
31 December 2013								
Cash and cash equivalents	8	-	-	3,651,476	-	-	3,651,476	3,651,476
Financial assets	9	11,375	4,913,310	-	869,721	-	5,794,406	5,790,316
Trade receivables	10	-	-	34,430	-	-	34,430	34,430
Loans and advances to staff		-	-	19,126	-	-	19,126	19,126
Other receivables	13	-		1,227,441	-	-	1,227,441	1,227,441
		11,375	**4,913,310**	**4,932,473**	**869,721**	**-**	**10,726,879**	**10,722,789**
Trade and other payables	23 & 24	-	-	-	-	2,967,864	2,967,864	2,967,864
		-	**-**	**-**	**-**	**2,967,864**	**2,967,864**	**2,967,864**

Company	Notes	Held for trading	Held-to-Maturity	Loans and receiv-ables	Available-for-sale	Other financial liabilities at amortised cost	Total carrying amount	Fair value
In thousands of Naira								
31 December 2012								
Cash and cash equivalents	8	-	-	2,671,903	-	-	2,671,903	2,671,903
Financial assets	9	126,351	2,241,258	-	16,736	-	2,384,345	2,348,928
Trade receivables	10	-	-	231,422	-	-	231,422	231,422
Other receivables excluding prepayments	13	-		507,520	-	-	507,520	507,520
		126,351	**2,241,258**	**3,410,845**	**16,736**	**-**	**5,795,190**	**5,759,773**
Trade and other payables	23 & 24	-	-	-	-	488,003	488,003	488,003
		-	**-**	**-**	**-**	**488,003**	**488,003**	**488,003**

7 Operating segments

The Company is organized into two operating segments as described below, which are the Company's strategic business units. These segments distribute their products through various forms of brokers, agencies and direct marketing programs. Management identifies its reportable operating segments by product line consistent with the reports used by the management. These segments and their respective operations are as follows:

Non-Life: This segment covers the protection of customers' assets (particularly their properties, both for personal and commercial business) and indemnification of other parties that have suffered damage as a result of customers' accidents. All contracts in this segment are short-term in nature. Revenue in this segment is derived primarily from insurance premium, investment income, net realized gains on financial assets, and net fair value gains on financial assets at fair value through profit or loss.

Life: This segment covers the protection of the Company's customers against the risk of premature death, disability, critical illness and other accidents. Revenue from this segment is derived primarily from insurance premium, investment income and net fair value gains on financial assets at fair value through profit and loss.

Expenses for corporate units that render services for all business segments are initially paid by the general business segment and transfered to other business units at cost price. The expenses are allocated based on service man hours rendered by the corporate units to the various business segments.

The corporate expenses for the following centrally shared services are being apportioned to all business segments in the Company:

- Internal controls and audits
- Financial control
- Human resources
- Information technology

Business segments

The Company operates the following main business segments:

Non life	
Wapic Insurance Plc	Includes non-life insurance transactions with individual and corporate customers
Wapic Insurance Ghana Limited	Includes non-life insurance transactions with individual and corporate customers
Life	
Wapic Life Assurance Limited	Includes life insurance policies with individual and corporate customers.

The segment information is based on internal reporting to the Chief Operating Decision Maker in line with IFRS.

	General Business		Life Business		General Business					
	Wapic Insurance Plc		Wapic Life Assurance Ltd		Wapic Insurance Ghana Ltd		Elimination Adjust-ments	Elimination Adjust-ments	Company	
	31/12/13	31/12/12	31/12/13	31/12/12	31/12/13	31/12/12	31/12/13	31/12/12	31/12/13	31/12/12
Revenue:										
Derived from external customers:										
- Gross premium income	2,354,625	2,326,428	708,288	1,110,362	673,432	809,535	-	-	3,736,345	4,246,325
- Reinsurance expenses	(920,799)	(602,044)	(56,303)	(30,505)	(97,330)	(100,856)	-	-	(1,074,432)	(733,405)
Net insurance premium income	1,433,826	1,724,384	651,985	1,079,857	576,102	708,679	-	-	2,661,913	3,512,920
- Commission received	132,776	121,062	18,075	6,138	30,259	-	-	-	181,110	127,200
- Investment income	1,001,599	745,100	401,070	421,302	119,496	59,125	-	-	1,522,165	1,225,527
- Net realised gain/ (loss) on financial assets	308	41,535	(1,494)	18,010	-	-	-	-	(1,186)	59,545
- Net fair value loss on financial assets at fair value through profit or loss	724,169	(1,667)	(21,992)	(5,502)	-	-	-	-	702,177	(7,169)
- Other operating income	40,028	42,382	5,126	13,958	12,389	14,610	-	-	57,543	70,950
	3,332,706	**2,672,796**	**1,052,770**	**1,533,763**	**738,246**	**782,414**	**-**	**-**	**5,123,722**	**4,988,973**
Expenses:										
Underwriting expenses	(594,610)	(478,231)	(80,418)	(92,579)	(141,907)	(117,202)	-	-	(816,935)	(685,853)
Employee benefit expense	(603,797)	(396,160)	(150,828)	(88,917)	(111,222)	(84,128)	-	-	(865,847)	560,490
Other operating expense	(1,300,607)	(922,069)	(435,102)	(470,547)	(202,562)	(315,650)	-	-	(1,938,271)	(1,611,173)
Claims incurred	(1,043,540)	(492,876)	(764,560)	(800,860)	(323,698)	(225,336)	-	-	(2,131,798)	(1,519,072)
Total underwriting and operating expenses	**(3,542,554)**	**(2,289,336)**	**(1,430,908)**	**(1,452,903)**	**(779,389)**	**(742,316)**	**-**	**-**	**(5,752,851)**	**(3,255,608)**
(Loss)/profit before tax	**(209,850)**	**383,460**	**(378,138)**	**80,860**	**(41,143)**	**40,098**	**-**	**-**	**(629,129)**	**552,385**
Income tax credit / (charge)	241,326	(142,627)	188,824	(17,405)	(9,148)	16,034	-	-	421,002	(169,353)
Profit after tax	**31,476**	**240,833**	**(189,314)**	**63,455**	**(50,291)**	**56,132**	**-**	**-**	**(208,127)**	**383,032**
Assets and Liabilities:										
Total assets	**19,679,892**	**9,935,562**	**4,344,057**	**4,287,565**	**1,029,835**	**1,159,992**	**(2,749,738)**	**(2,704,364)**	**22,304,046**	**12,678,755**
Total liabilities	**5,132,280**	**2,205,779**	**2,157,944**	**2,170,543**	**878,721**	**950,374**	**(44,426)**	**(271,418)**	**8,124,519**	**5,055,278**
Net assets/(liabilities)	**14,547,612**	**7,729,783**	**2,186,113**	**2,117,022**	**151,114**	**209,618**	**(2,705,312)**	**(2,432,947)**	**14,179,527**	**7,623,477**

8 Cash and cash equivalents

Cash and cash equivalent includes cash in hand, balances at bank and short term instruments with less than 3 months maturity from the date of acquisition.

	Group 2013 N'000	Group 2012 N'000	Company 2013 N'000	Company 2012 N'000
Cash at bank and in hand	348,626	371,914	204,231	131,196
Money market placements	5,504,396	3,696,603	3,447,245	2,540,707
Balance, end of year	**5,853,022**	**4,068,517**	**3,651,476**	**2,671,903**

9 Financial assets

These financial assets represent the Group and the Company's holdings in investment securities and are summarised by measurement category below:

	Group 2013 N'000	Group 2012 N'000	Company 2013 N'000	Company 2012 N'000
Available-for-sale (see note 9(a) below)	869,721	16,736	869,721	16,736
Held for trading (see note 9(b) below)	12,563	158,942	11,375	126,351
Held-to-maturity (see note 9(c) below)	6,724,620	4,867,690	4,913,310	2,241,258
Balance, end of year	**7,606,904**	**5,043,368**	**5,794,406**	**2,384,345**

(a) Available-for-sale financial assets

These securities represent the Group and the Company's interest in unlisted entities:

	Group 2013 N'000	Group 2012 N'000	Company 2013 N'000	Company 2012 N'000
Equity securities:				
– Unlisted (see note (i) below)	869,721	16,736	869,721	16,736
Balance, end of year	**869,721**	**16,736**	**869,721**	**16,736**

(i) Unlisted equity securities are carried at cost/fair value

The breakdown of available-for-sale securities are shown below;

	Group 2013 N'000	Group 2012 N'000	Company 2013 N'000	Company 2012 N'000
African Reinsurance Corporation	6,495	6,495	6,495	6,495
Nigerian Liability Insurance Pool	10,241	10,241	10,241	10,241
Unlisted equities at cost (see note (iii) below)	16,736	16,736	16,736	16,736
Associated Discount House Limited at cost (see note (ii) below)	527,842	-	527,842	-
Fair value gain (see note 27 (c))	325,143	-	325,143	-
Unlisted equities at fair value	852,985	-	852,985	-
Carrying amount	**869,721**	**16,736**	**869,721**	**16,736**

(ii) During the year, the Company purchased 321,855,113 units of shares of Associated Discount House Limited at the cost of N527,842,385. Associated Discount House Limited (ADH) is involved in trading in, holding and provision of discount and rediscount facilities for Federal Government Securities, Commercial Bills and other eligible financial instruments, as prescribed by the CBN to corporate and individual customers. Associated Discount House Limited is planning to become a Merchant Bank.

(iii) The unlisted equities are carried at cost as the fair value could not be determined reliably. Investment in Associated Discount House Limited (ADH) was carried at fair value and this was determined using the latest transaction price for the shares issued around year end.

(b) Held for trading financial assets

	Group	Group	Company	Company
	2013	2012	2013	2012
	N'000	N'000	N'000	N'000
Equity securities:				
– Listed	7,830	203,366	6,642	138,746
Fair value gain/(loss)	4,733	(44,424)	4,733	(12,395)
Carrying amount at fair value	12,563	158,942	11,375	126,351

(c) Held-to-maturity financial assets

	Group	Group	Company	Company
	2013	2012	2013	2012
	N'000	N'000	N'000	N'000
Debt securities – fixed interest rate:				
– Government bonds	871,058	948,384	562,025	642,470
– Treasury bills	5,853,562	3,919,306	4,351,285	1,598,788
– Fixed deposits with banks	-	-	-	-
Carrying amount at amortised cost	6,724,620	4,867,690	4,913,310	2,241,258

10 Receivables and prepayments

(a) Trade receivables

	Group 2013 N'000	Group 2012 N'000	Company 2013 N'000	Company 2012 N'000
– Due from agents	555,224	1,496,288	176,462	261,085
– Due from policy holders/brokers	531,031	304,100	93,941	304,100
– Due from insurance companies	119,526	57,036	119,526	57,036
– Less: impairment allowance (see note (b) below)	(1,019,558)	(1,190,059)	(355,499)	(390,799)
Balance, end of year	**186,223**	**667,365**	**34,430**	**231,422**

(b) The movements in impairment allowance on trade receivables is analyzed below;

	Group 2013 N'000	Group 2012 N'000	Company 2013 N'000	Company 2012 N'000
Balance, beginning of year	1,190,059	1,443,090	390,799	1,139,857
Exchange difference	(281,459)	85,458	-	-
Allowance made/(recovery) during the year	110,958	612,195	(35,300)	201,626
Bad debt written off	-	-950,684	-	(950,684)
Balance, end of year	**1,019,558**	**1,190,059**	**355,499**	**390,799**

Subsequent to year end, the Company and its subsidiary, Wapic Life Assurance Limited have received N34.4 million and N24.3 million respectively from brokers.

11 Reinsurance assets

	Group 2013 31-Dec N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
Claim recoverables (see note (c))	633,121	474,394	442,175	286,791
Prepaid reinsurance	117,226	-	117,226	-
	750,347	**474,394**	**559,401**	**286,791**
Less impairment (see note (b) below)	(22,735)	-	(22,735)	-
Balance, end of year	**727,612**	**474,394**	**536,666**	**286,791**

(b) The movements in impairment allowance for reinsurance assets is analyzed below;

	Group 2013 31-Dec N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
Balance, beginning of year	-	-	-	-
Allowance made during the year for doubtful recoverables	22,735	-	22,735	-
Balance, end of year	**22,735**	**-**	**22,735**	**-**

(c) Claims recoverables are analysed as follows:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Recoverable on claims - UPR	40,588	3,906	-	-
Recoverable on claims - IBNR	133,212	16,637	60,059	-
Recoverable on outstanding claims	459,321	453,851	382,116	286,791
Balance, end of year	**633,121**	**474,394**	**442,175**	**286,791**

12 Deferred acquisition cost

This represents commission on unearned premium relating to the unexpired tenure of risk.

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Balance, beginning of year	175,788	192,239	110,639	130,255
Exchange difference	(3,927)	1,055	-	-
Addition during the year	548,965	413,666	496,166	411,556
Amortised during the year	(525,910)	(431,172)	(458,640)	(431,172)
Balance, end of year	**194,916**	**175,788**	**148,165**	**110,639**

13 Other receivables and prepayment

(a) (i)

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
– Staff loans	30,080	95,852	19,126	75,164
– Prepayment	73,103	153,346	73,103	139,652
– Due from related parties	1,253,007	1,470,740	1,240,142	1,145,623
– Deferred share issue cost	-	305,601	-	283,433
– Deposit for shares (see note (ii) below)	1,005,222	-	1,005,222	-
– Intercompany receivables	-	-	9,640	46,496
–Sundry receivables	397,517	-	6,712	-
	2,758,929	**2,025,539**	**2,353,945**	**1,690,368**
– Less: Impairment allowance (see note (b) below):				
- Due from related parties	(1,034,386)	(1,383,512)	(1,034,275)	(1,043,196)
- Sundry receivables	(301,000)	-	-	-
	1,423,543	**642,027**	**1,319,670**	**647,172**

(ii) During the year, the Company made a deposit for an additional purchase of 379,329,241 units of Associated Discount House Limited's shares at the unit cost of N2.65 kobo, amounting to N1,005,222,489. Associated Discount House Limited offered 3,035,255,124 ordina ry shares of N1 each at N2.65 per share through offer for subscription which closed on 24 December 2013. The Company's investments in Associated Discount House Limited is classified as deposit for shares until shares are allotted to the Company.

(b) The movements in impairment allowance for other receivables and prepayments is analyzed below;

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Balance, beginning of year	1,383,512	1,271,521	1,043,196	931,205
Exhange difference	(49,450)	-	-	-
Allowance made during the year	1,324	176,859	(8,921)	121,138
Recoveries during the year	-	(64,868)	-	(9,147)
Balance, end of year	**1,034,386**	**1,383,512**	**1,034,275**	**1,043,196**

14 Investment in subsidiaries

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Wapic Life Assurance Limited (see note (a) below)	-	-	2,500,000	2,500,000
Wapic Insurance Ghana Limited (see note (b) below)	-	-	205,576	205,576
Balance, end of year	**-**	**-**	**2,705,576**	**2,705,576**

(a) This represents 100% holding in the ordinary share capital of Wapic Life Assurance Limited, a wholly owned subsidiary incorporated and operating in Nigeria.

(b) This represents 100% holding in the ordinary share capital of Wapic Insurance Ghana Limited; a wholly owned subsidiary incorporated and conducting general insurance business in Ghana.

(c) The Group does not have significant restrictions on its ability to access or use its assets and settle its liabilities other than those resulting from the supervisory framework within which subsidiaries operate. The supervisory framework require the insurance subsidiaries to keep certain levels of regulatory capital and liquid assets.

(d) The movement in investment in subsidiaries during the year was as follows:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Balance, beginning of the year	-	-	2,705,576	2,455,576
Additions during the year	-	-	-	250,000
Balance, end of the year	**-**	**-**	**2,705,576**	**2,705,576**

15 Investment properties

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Investment properties (see note (a) below)	2,255,701	264,334	2,205,367	182,667
Investment property under construction (see note (i) below)	2,102,794	-	2,102,794	-
Balance, end of year	**4,358,495**	**264,334**	**4,308,161**	**182,667**

(a) Investment properties are analysed by location as follows:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Oil View Estate, PortHarcourt (see note (d) below)	31,907	-	31,907	-
Hexagon Court, Ikeja Lagos (see note (d) below)	100,000	133,334	66,666	66,667
County Estate, Agege, Lagos	17,000	15,000	-	-
Crown Estate, Lagos (see (b) below)	-	26,000	-	26,000
Ocean Garden, Lekki, Lagos (see note (d) below)	80,000	90,000	80,000	90,000
PalmView Estate, Magodo, Lagos (see note (d) below)	144,009	-	144,009	-
Meadow Estate, Lekki, Lagos (see note (d) below)	392,400	-	392,400	-
Ocean View Estate, Lekki, Lagos (see note (d) below)	310,000	-	310,000	-
Happy People Estate, Magboro, Ogun State (see note (d) below)	60,000	-	60,000	-
Shoreline Estate, Lekki, Lagos (see note (d) below)	51,885	-	51,885	-
Whitesand Estate, Lekki, Lagos (see note (d) below)	595,000	-	595,000	-
Investment properties located at Yaba, Lagos (see note (c) below)	420,000	-	420,000	-
Investment properties located at Plot 1329 Balanga street, Area II, Abuja (see note (c) below)	53,500	-	53,500	-
Balance, end of year	**2,255,701**	**264,334**	**2,205,367**	**182,667**

(b) During the year, the Company disposed its investment property located at Hexagon Court and Crown Estate, Lagos. A total proceeds of N63 million was realised from the disposal. In addition, the Company disposed investment properties amounting to N33 million from the properties acquired from the business integration with Intercontinental Properties Limited during the year. A total proceeds of N32 million was also realised from the disposal.

(c) During the year, the Company integrated its business operations with that of Intercontinental Properties Limited (IPL). The Company changed the use of land and buildings initially classified as part of property and equipment in IPL's books (before business integration) from property and equipment to investment property and the land and buildings are now held for the purposes of earning rental income and future capital appreciation. The fair value of the land and building on take-on was N382,000,000. At year end, the investment property was revalued with a fair value of N473,500,000.

(d) During the year, the Company integrated its business operations with that of Intercontinental Properties Limited (IPL). The Company changed the use of properties initially classified as trading properties in IPL's books (before business integration) to investment properties. These properties were carried at fair value as determined by independent professional estate surveyors and valuers as at 31 December 2013.

e) The Company's investment properties were valued by independent professional Estate Surveyors and Valuers as at 31 December 2013. The determination of fair value of the investment properties were supported by market evidence. The modalities and process of valuation utilised extensive analysis of market data and other sector specific perculiarities corroborated with available database derived from previous experiences. The Company used the following Estate Surveyors and Valuers who have recent experience in the location and category of the investment properties being valued:

Estate Surveyors and Valuers	FRC Registration Number
Jide Taiwo and Co Estate Surveyors and Valuers	FRC/2012/0000000000254
Tope Ojo and Tunde Olonisakin Estate Surveyors and Valuers	FRC/2012/0000000000421
Azuka Iheabunike and Partners Estate Surveyors and Valuers	FRC/2013/NIESV/00000002206
Bode Adedeji Partnership Estate Surveyors and Valuers	FRC/2013/NIESV/00000001517

(f) The Company applied fair value model in determining the carring value of its investment properties.

(g) The movement in investment properties during the year was as follows:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Balance, beginning of year	264,334	1,067,072	182,667	446,000
Acquisition through business integration- trading properties in IPL	1,636,672	-	1,636,672	-
Transfer from property, plant and equipment (see note 16)	382,000	-	382,000	-
Acquisition during the year	8,219	-	8,219	-
Disposal during the year	(125,999)	(832,084)	(92,666)	(261,666)
Transfer from investment property under construction	-	34,734	-	-
Fair value gain/(loss) recognised in income statements (see note (i) below)	90,475	(5,388)	88,475	(1,667)
At end of year	**2,255,701**	**264,334**	**2,205,367**	**182,667**

(i) The total fair value gain in income statements is as follows:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Fair value gain on developed investment properties (see note (g) above)	93,053	(5,388)	88,476	(1,667)
Fair value gain on investment properties under construction (see note h (i) below)	631,320	-	631,320	-
At end of year (see note 33)	**724,373**	**(5,388)**	**719,796**	**(1,667)**

(h) The Company earned total rental income N14,750,000 from its investment properties during the year.

(i) Investment properties under construction:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Balance, beginning of year	-	34,734	-	-
Acquisition through business integration	629,018		629,018	
Additions and capital improvements	842,456	-	842,456	-
Transfer out to investment properties	-	(34,734)	-	-
Fair value gain (see note g (i) above)	631,320	-	631,320	-
Balance, end of year	**2,102,794**	**-**	**2,102,794**	**-**

(j) Investment property under construction represents the costs incurred and fair value gain on 22 units of four bedroom semi detached houses with inbuilt boys quarters and five blocks of three bedroom flat with inbuilt boys quarters all located at Victoria Garden Estate, Plot 359, Cadastral Zone B06, Mabushi District, Abuja.

(k) Investment properties disposed during the year was as follows:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Sales proceeds	127,342	817,771	95,342	245,666
Transfer from investment property account	(125,999)	(832,084)	(92,666)	(261,666)
(Loss) /Gain on disposal of investment property	**1,343**	**(14,313)**	**2,676**	**(16,000)**

16 Intangible assets - Computer software

	Group	Company
	N'000	N'000
Cost:		
31 December 2013		
Balance at 1 January 2013	124,030	92,144
Additions	33,128	29,118
Disposal	-	-
Balance at 31 December 2013	**157,158**	**121,262**
31 December 2012		
Balance at 1 January 2012	94,346	62,460
Additions	29,684	29,684
Balance at 31 December 2012	**124,030**	**92,144**
Amortization:		
31 December 2013		
Balance at 1 January 2013	58,335	38,828
Charge for the year	29,026	22,307
Exchange difference	(415)	-
Balance at 31 December 2013	**86,946**	**61,135**
31 December 2012		
Balance at 1 January 2012	37,527	24,773
Charge for the year	20,808	14,055
Balance at 31 December 2012	**58,335**	**38,828**
Net book value:		
Balance at 31 December 2013	70,212	60,127
Balance at 31 December 2012	**65,695**	**53,316**

17 (a) Property, plant and equipment - Group

	As at 31 December 2013						
	Leasehold land	Building	Motor vehicles	Computer equipment	Office equipment	Work in progress	Total
Cost	N' 000	N' 000	N' 000	N' 000	N' 000	N' 000	N' 000
Balance, beginning of year	205,891	155,647	368,103	39,948	190,102	60,438	1,020,129
Acquisition through business integration	-	182,327	50,511	5,818	34,452	-	273,108
Revaluation surplus (see note (i) below)	64,817	191,086	-	-	-	-	255,903
Transfer to investment properties (see note 12)	-	(382,000)	-	-	-	-	(382,000)
Additions	6,765	-	348,511	28,610	53,068	28,976	465,930
Exchange difference	-	-	(9,574)	(3,067)	(2,662)	-	(15,303)
Disposals	-	-	(95,629)	(6,178)	(29,470)	-	(131,277)
Balance, end of year	**277,473**	**147,060**	**661,922**	**65,131**	**245,490**	**89,414**	**1,486,490**
Accumulated depreciation							
Balance, beginning of year	2,121	5,647	215,748	22,510	114,570	-	360,597
Acquisition through business integration			29,785	5,560	29,895	-	65,240
Exchange difference	-	-	(7,523)	632	(4,103)	-	(10,994)
Charge for the year	3,719	3,113	101,740	13,186	33,741	-	155,499
Disposals	-	-	(90,749)	(5,870)	(23,539)	-	(120,158)
Balance, end of year	**5,840**	**8,760**	**249,001**	**36,018**	**150,564**	**-**	**450,184**
Net book value							
Balance at 31 December 2013	**271,633**	**138,300**	**412,921**	**29,113**	**94,926**	**89,414**	**1,036,305**
Balance at 31 December 2012	203,770	150,000	152,355	17,438	75,532	60,438	659,532

i. Interest in leasehold land was independently valued by Jide Taiwo & Co, professional estate valuers, as at 31 December 2013 to ascertain the open market value of the leasehold land. The open market value of land as at 31 December 2013 was N271,633,000 (2012: N203,770,000) and a revaluation gain of N64,817,000 was recognised as the excess of the revalued amount over the carrying value of leasehold land.

The building was valued by Bode Adedeji Partnership, professional estate valuers as at 31 December 2013. The open market value of the building as at 31 December 2013 was N138,300,000 (2012: N150,000,000) and a revaluation loss of N8,587,000 was recognised. During the year, the Group acquired land and building of Intercontinental Properties Limited with the carrying amount of N182,327,000. This building was valued by Bode Adedeji Partnership at N382,000,000 and revaluation surplus of N199,673,000 was recognised. Subsequently, the Company changed its use of the land and building to investment property and the amount of N382,000,000 was transfered from property, plant and equipment to investment properties.

ii. There are no other leased assets included in the Group's property, plant and equipment apart from leasehold land (31 December 2012: Nil)

iii. The Group had no capital commitments as at the balance sheet date (31 December 2012: Nil)

17 (b) Property, plant and equipment - Company

	As at 31 December 2013						
	Leasehold land	Building	Motor vehicles	Computer equipment	Office equipment	Work in progress	Total
Cost	N' 000	N' 000	N' 000	N' 000	N' 000	N' 000	N' 000
Balance, beginning of year	144,538	-	261,979	23,021	121,736	60,438	611,712
Acquisition through business integration	-	182,327	50,511	5,818	34,452	-	273,108
Additions	-	-	289,876	17,651	39,333	28,976	375,836
Revaluation surplus (see note (i) below)	44,225	199,673	-	-	-	-	243,898
Transfer to investment property (see note 12)	-	(382,000)	-	-	-	-	(382,000)
Disposals	-	-	(72,683)	(6,178)	(29,470)	-	(108,331)
Balance, end of year	**188,763**	**-**	**529,683**	**40,312**	**166,051**	**89,414**	**1,014,223**
Accumulated depreciation							
Balance, beginning of year	768	-	152,147	16,907	80,159	-	249,981
Acquisition through business integration	-	-	29,785	5,560	29,895	-	65,240
Charge for the year	2,995	-	78,892	8,967	19,521	-	110,375
Disposals	-	-	(70,106)	(5,870)	(23,539)	-	(99,515)
Balance, end of year	**3,763**	**-**	**190,718**	**25,564**	**106,036**	**-**	**326,081**
Net book value							
Balance at 31 December 2013	**185,000**	**-**	**338,965**	**14,748**	**60,015**	**89,414**	**688,142**
Balance at 31 December 2012	**143,770**	**-**	**109,832**	**6,114**	**41,577**	**60,438**	**361,731**

i. Interest in leasehold land was independently valued by Jide Taiwo & Co, professional estate valuers, as at 31 December 2013 to ascertain the open market value of the leasehold land. The open market value of land as at 31 December 2013 was N185,000,000 (2012: N143,770,000) and a revaluation gain of N44,225,000 was recognised as the excess of the revalued amount over the carrying value of leasehold land. During the year, the Company acquired land and building of Intercontinental Properties Limited with the carrying amount of N182,327,000. This building was valued by Bode Adedeji Partnership at N382,000,000 and revaluation surplus of N199,673,000 was recognised. Subsequently, the Company changed its use of the land and building to investment property and the amount of N382,000,000 was transfered from property, plant and equipment to investment properties.

ii. There are no other leased assets included in the Company's property, plant and equipment apart from leasehold land (31 December 2012: Nil)

iii. The Company had no capital commitments as at the balance sheet date (31 December 2012: Nil)

17 (a) Property, plant and equipment - Company

	As at 31 December 2012						
	Leasehold land	Building	Motor vehicles	Computer equipment	Office equipment	Work in progress	Total
Cost	N' 000	N' 000	N' 000	N' 000	N' 000	N' 000	N' 000
Balance, beginning of year	70,751	320,327	392,211	11,428	271,041	-	1,065,758
Exchange difference	-	-	(11,172)	(2,262)	(3,655)	-	(17,088)
Revaluation surplus (see note (i) below)	135,140	29,431	-	-	-	-	164,571
Transfers	-	-	-	43,414	(43,414)	-	-
Additions	-	-	95,842	7,761	32,952	60,438	196,993
Disposals	-	-	(108,778)	(20,393)	(66,823)	-	(195,994)
Write off (see note (ii) below)	-	(194,111)	-	-	-	-	(194,111)
Balance, end of year	**205,891**	**155,647**	**368,103**	**39,948**	**190,102**	**60,438**	**1,020,129**
Accumulated depreciation							
Balance, beginning of year	1,190	33,092	268,261	4,124	161,519	-	468,185
Exchange difference	-	-	(6,520)	(917)	(5,718)	-	(13,155)
Charge for the year	931	3,897	59,719	12,672	45,690	-	122,909
Transfers	-	-	-	26,052	(26,052)	-	-
Disposals	-	-	(105,712)	(19,420)	(60,869)	-	(186,001)
Released on write off	-	(31,342)	-	-	-	-	(31,342)
Balance, end of year	**2,121**	**5,647**	**215,748**	**22,510**	**114,570**	**-**	**360,597**
Net book value							
Balance at 31 December 2012	**203,770**	**150,000**	**152,355**	**17,438**	**75,532**	**60,438**	**659,532**
Balance at 1 January 2012	**69,561**	**287,235**	**123,950**	**7,304**	**109,522**	**-**	**597,573**

17 (b) Property, plant and equipment - Company

	As at 31 December 2012						
	Leasehold Land	Building	Motor Vehicles	Computer Equipment	Office Equipment	Work in progress	Total
Cost	**N' 000**	**N' 000**	**N' 000**	**N' 000**	**N' 000**	**N' 000**	**N' 000**
Balance, beginning of year	19,198	194,111	281,659	-	204,302	-	699,270
Additions	-	-	64,350	-	27,671	60,438	152,459
Revaluation surplus	125,340	-	-	-	-	-	125,340
Transfers				43,414	(43,414)		-
Disposals	-	-	(84,030)	(20,393)	(66,823)	-	(171,246)
Write off	-	(194,111)	-	-	-	-	(194,111)
Balance, end of year	**144,538**	**-**	**261,979**	**23,021**	**121,736**	**60,438**	**611,712**
Accumulated depreciation							
Balance, beginning of year	384	29,971	196,687	-	138,638	-	365,680
Charge for the year	384	1,371	39,490	10,275	32,675	-	84,195
Transfers				26,052	(26,052)		-
Disposals	-	-	(84,030)	(19,420)	(65,102)	-	(168,552)
Released on write off	-	(31,342)	-	-	-	-	(31,342)
Balance, end of year	**768**	**-**	**152,147**	**16,907**	**80,159**	**-**	**249,981**
Net book value							
Balance at 31 December 2012	**143,770**	**-**	**109,832**	**6,114**	**41,577**	**60,438**	**361,731**
Balance at 1 January 2012	**18,814**	**164,140**	**84,972**	**-**	**65,664**	**-**	**333,590**

18 Statutory Deposit

This represents amounts deposited with the Central Bank of Nigeria (CBN) pursuant to Section 10(3) of the Insurance Act, 2003. The deposits are not available for use by the Company on a normal course of day to day business.

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Balance, beginning of year	517,619	605,107	300,000	300,000
Exchange difference	(3,216)	(20,801)	-	-
Additions	1,831	-	-	-
Refund	-	(66,687)	-	-
Balance, end of year	**516,234**	**517,619**	**300,000**	**300,000**

19 Insurance contract liabilities

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Outstanding claims (See note (a) below):				
– Claims reported and loss adjustment expenses	1,093,306	550,959	761,218	406,487
– Claims payable	128,501	542,941	128,501	171,334
– Claims incurred but not reported	530,187	236,709	342,212	129,340
Total outstanding claims	1,751,994	1,330,609	1,231,931	707,161
Unearned premiums (See note (b) below)	927,702	666,483	691,882	666,483
Life insurance contract liabilities (See note (c) below)	271,939	1,548,780	-	-
Total insurance contract liabilities	**2,951,635**	**3,545,872**	**1,923,813**	**1,373,644**

(a) Outstanding claims

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Life	221,075	-	-	-
Fire	191,486	109,716	155,432	103,908
General accident	407,985	773,111	405,787	356,504
Motor	314,295	90,111	61,127	35,111
Marine	22,766	22,355	22,766	12,355
Oil and Energy	462,820	120,856	462,820	52,876
Engineering	70,049	214,460	62,481	146,169
Bond	61,518	-	61,518	238
Total outstanding liabilties	**1,751,994**	**1,330,609**	**1,231,931**	**707,161**

(b) Unearned premium

	Group 2013 31-Dec N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
Life	-	67,294	-	-
Fire	79,279	108,416	48,904	67,294
General accident	108,590	200,511	90,910	108,416
Motor	292,750	49,129	118,323	200,511
Marine	41,445	19,759	40,779	49,129
Engineering	31,053	199,538	18,381	19,759
Oil and Energy	365,941	20,266	365,941	199,538
Aviation	8,491	1,570	8,491	20,266
Bond	153	-	153	1,570
Total unearned premium	**927,702**	**666,483**	**691,882**	**666,483**

(c) The movement in unexpired risk account during the year was as follows

	Group 2013 31-Dec N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
Balance, beginning of year	666,483	820,005	666,483	760,789
Exchange difference	184,630	(85,482)	-	-
Increase/(decrease) in expired risk	24,170	(68,040)	25,399	(94,306)
Balance, end of year	**875,283**	**666,483**	**691,882**	**666,483**

(d) Life insurance contract liabilities

	Group 2013 31-Dec N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
Balance, beginning of year	1,548,780	1,501,448	-	-
Addition during the year	(171,472)	47,332	-	-
Reclassification to individual deposit administration (see note 19 (b))	(1,105,369)	-	-	-
Balance, end of year	**271,939**	**1,548,780**	**-**	**-**

20 Investment contract liabilities:

(a) At amortised cost

	Group 2013 31-Dec N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
Group deposit administration -Interest linked	65,073	65,591	-	-
Individual deposit administration -Interest linked	1,390,014	-	-	-
	1,455,087	**65,591**	**-**	**-**

(b) The movement in deposit administration funds during the year was as follows:

	Group 2013 31-Dec N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
Balance, beginning of year	65,591	63,432	-	-
Additions	261,132	-	-	-
Withdrawals	(2,421)	-	-	-
Guaranteed interest on deposit administration	25,416	2,159	-	-
Reclassification from insurance contract liabilities (see note 18 (d))	1,105,369	-	-	-
Balance, end of year	**1,455,087**	**65,591**	**-**	**-**

21 Trade payables

	Group 2013 31-Dec N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
Reinsurance brokers	286,575	309,225	27,934	47,752
Other reinsurance companies	175,673	183,284	175,673	183,284
Balance, end of year	**462,248**	**492,509**	**203,607**	**231,036**

22 Other payables

	Group 2013 31-Dec N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
Accrued expenses	176,488	174,790	156,791	78,479
Other payables	720,122	177,122	648,792	178,488
Due to contractors	221,794	-	221,794	-
Borrowings	30,494	-	-	-
Other taxes	263,967	8,798	245,367	-
Customers deposits (see (a) below)	1,491,513	-	1,491,513	-
Balance, end of year	**2,904,378**	**360,710**	**2,764,257**	**256,967**

(a) Customer deposits represents part payment for the purchase of properties currently shown as Investment property (see note 12). The properties will be transferred upon full payment for the investment properties and the gain/loss will be recognised on completion of the transfer.

23 Deferred income tax

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income taxes assets and liabilities relate to income taxes levied by the same taxation authority on either the taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Deferred tax assets	(330,580)	(100,116)	(133,073)	-
	(330,580)	(100,116)	(133,073)	-
Deferred tax liabilities	-	175,787	-	124,175
	-	175,787	-	124,175
Net deferred tax	**(330,580)**	**75,671**	**(133,073)**	**124,175**

(a) Net deferred tax (asset)/liability is attributable to the following:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Property and equipment	156,408	177,577	111,454	124,175
Investment property	50,471	(101,906)	92,673	-
Tax losses	(537,458)	-	(337,199)	-
Total	**(330,580)**	**75,671**	**(133,073)**	**124,175**

(b) Deferred tax liabilities

The movement in deferred tax liabilities account during the year was as follows:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Balance, beginning of year	175,787	87,365	124,175	63,554
Addition through business integration	28,040	-	28,040	
Credit/(charge) for the year	(229,836)	39,051	(185,450)	23,019
Exchange difference	(10,827)	-	-	-
Revaluation of property and equipment	36,836	49,371	33,235	37,602
Balance, end of year	**-**	**175,787**	**-**	**124,175**

(c) Deferred tax assets

The movement in deferred tax asset account during the year was as follows:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Balance, beginning of year	59,331	24,371	-	-
Exchange difference	(74,833)	(7,657)	-	-
Debit/(Credit) for the year	346,082	83,402	133,073	-
Balance, end of year	**330,580**	**100,116**	**133,073**	**-**

24 Current income tax liabilities

(a) The movement in this account during the year was as follows:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Balance, beginning of year	414,809	387,069	219,957	230,931
Acquisition through business integration	164,915	-	164,915	-
Exchange difference	(46,692)	(19,776)	-	-
Charge for the year (see note (b) below):	110,530	213,704	77,197	119,608
Payments during the year	(292,391)	(166,188)	(221,466)	(130,582)
Balance, end of year	**351,171**	**414,809**	**240,603**	**219,957**

(b) The tax charge for the year comprises:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Corporate income tax charge	18,615	198,658	-	106,612
Education levy	-	10,499	-	9,186
Capital gains tax	-	-	-	-
Information technology development levy	-	4,547	-	3,810
National fiscal stabilisation levy	1,177	-	-	-
	19,792	**213,704**	**-**	**119,608**
Deferred tax asset charge/(credit)	(531,532)	(83,402)	(318,523)	-
Deferred tax liability charge/(credit)	-	39,051	-	23,019
Income tax (credit)/charge	(511,740)	157,153	(318,523)	142,627
Minimum tax	90,738	12,200	77,197	-
Total tax charge for the year	**(421,002)**	**169,353**	**(241,326)**	**142,627**

(c) Reconciliation of effective tax rate

	Group		Group		Company		Company	
	2013		2012		2013		2012	
	31-Dec		31-Dec		31-Dec		31-Dec	
	N'000		N'000		N'000		N'000	
	Tax rate		Tax rate		Tax rate		Tax rate	
(Loss)/ profit before Tax		(629,129)		552,385		(209,850)		383,460
Income tax using the domestic corporation tax rate	30%	(188,739)	30%	165,716	30%	(62,955)	30%	115,038
Effect of tax rate in foreign jurisdictions	-1%	3,195	-3%	(16,034)	0%	-	0%	-
Non deductible expense	-15%	91,256	30%	163,299	-34%	70,936	43%	163,299
Tax exempt income	67%	(418,727)	-32%	(178,746)	156%	(327,986)	-37%	(140,545)
Capital allowance utilised	-	-	-6%	(32,266)	-	-	-8%	(32,266)
Temporary difference	-	-	7%	39,051	-	-	6%	23,019
Balancing charge	0%	1,482	0%	1,087	-1%	1,482	0%	1,087
Information technology tax levy	-	-	1%	4,547	-	-	1%	3,810
Tertiary education tax	-	-	2%	10,499	-	-	2%	9,186
Minimum tax	-14%	90,738	2%	12,200	-37%	77,197	-	-
	67%	(420,795)	31%	169,353	115%	(241,326)	37%	142,627

25 Share capital

	Group 2013 31-Dec N'000	Group 2013 30-Jun N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
Authorized:					
17,000,000,000 units ordinary shares of 50k each	8,500,000	-	8,500,000	8,500,000	8,500,000
Issued and fully paid:					
13,382,738,248 units of ordinary shares of 50k each (2012: 5,061,803,999 ordinary shares of 50k each)	6,691,369	3,969,074	2,530,902	6,691,369	2,530,902

26 Share premium

Share premium comprises additional paid-in capital in excess of the par value. This reserve is not ordinarily available for distribution .

27 (a) Contingency reserves

In accordance with Section 21 (1) of Insurance Act 2003, the contingency reserve is credited with the greater of 3% of total premiums, or 20% of the profits. This shall accumulate until the reserve reaches the amount of greater of minimum paid-up capital or 50 percent of net premium.

(b) The movement in this account during the year is as follows:

	Group 2013 31-Dec N'000	Group 2013 30-Jun N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
Balance, beginning of year	1,189,719	1,189,986	1,076,848	1,040,912	964,220
Transfer from profit and loss	99,966	13,661	113,138	71,401	76,692
Balance, end of year	**1,289,685**	**1,203,647**	**1,189,986**	**1,112,313**	**1,040,912**

28 Other reserves

(a) Revaluation reserve

	Group 2013 31-Dec N'000	Group 2013 30-Jun N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
Balance, beginning of year	124,776	124,776	106,406	97,315	106,406
Revaluation surplus on property,plant and equipment	255,903	221,778	164,570	243,898	125,340
Transfer to retained earnings (See note 28)	(2,222)		-	(1,828)	-
Reversal of revaluation surplus on demolished property and equipment	-	(135,304)	(96,829)	-	(96,829)
Deferred tax on revaluation	(36,836)	(49,687)	(49,371)	(33,235)	(37,602)
Balance, end of year	**341,621**	**161,563**	**124,776**	**306,150**	**97,315**

(i) During the year, management resolved to change the use of some properties from property,plant and equipment to investment property in order to maximise the return on available resources.

(b) Translation reserve

Balance, beginning of year	(39,649)	(39,649)	14,399	-	-
Changes during the year	(30,579)	(22,709)	(54,048)	-	-
Balance, end of year	**(70,228)**	**(62,358)**	**(39,649)**	**-**	**-**

(c) Fair value reserve

Balance, beginning of year		-	-	-	-
Changes during the year (see note 9 (a)(i))		325,143	-	325,143	-
Balance, end of year		**325,143**	**-**	**325,143**	**-**

(d) Merger reserves

Balance, beginning of year	-		-	-	-
Changes during the year	(19,367)	-	-	(19,367)	-
Balance, end of year	(19,367)		-	(19,367)	-
Total	**577,169**	**99,205**	**85,127**	**611,926**	**97,315**

29 Retained earnings

The movement in this account during the year was as follows;

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
At beginning of year	(1,423,165)	(1,693,059)	(1,179,973)	(1,344,114)
Transfer from profit and loss account	(208,127)	383,032	31,476	240,833
Transfer to contingency reserve (see note 26(b) above)	(99,699)	(113,138)	(71,401)	(76,692)
Transfer from revaluation reserve (see note 27(a) above)	2,222	-	1,828	-
Acquired from business integration (see note 43 (a))	1,155,091	-	1,155,091	-
Balance, end of the year	**(573,679)**	**(1,423,165)**	**(62,979)**	**(1,179,973)**

30 Net premium income

	Group 2013 31-Dec N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
Short-term insurance contracts:				
– Gross premium	3,760,515	4,178,285	2,380,024	2,232,122
– Provision for unexpired risk	(24,170)	68,040	(25,399)	94,306
Premium revenue arising from insurance contracts issued	3,736,345	4,246,325	2,354,625	2,326,428
Short-term reinsurance contract:				
– Re-insurance cost	(1,074,432)	(733,405)	(920,799)	(602,044)
Reinsurance expenses	(1,074,432)	(733,405)	(920,799)	(602,044)
Net premium income	**2,661,913**	**3,512,920**	**1,433,826**	**1,724,384**

31 Fee and commission income

	Group 2013 31-Dec N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
Policy administration				
– Insurance contracts	181,110	127,200	132,776	121,062
Total	**181,110**	**127,200**	**132,776**	**121,062**

32 Claims expenses

	Group 2013 31-Dec N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
Insurance claims and loss adjustment expenses				
– Current year claims and loss adjustment expenses	2,429,341	2,332,657	1,194,267	1,357,332
– Outstanding claims	559,480	(347,208)	524,770	(472,601)
Total claims and loss adjustment expense	2,988,822	1,985,449	1,719,038	884,731
Recoverable from re-insurance	(857,024)	(466,377)	(675,498)	(391,855)
Net claims and loss adjustment expense	**2,131,798**	**1,519,072**	**1,043,540**	**492,876**

33 Underwriting expenses

	Group 2013 31-Dec N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
Commission expense	527,665	633,889	458,640	431,911
Business maintenance cost	289,270	51,964	135,970	46,320
Total	**816,935**	**685,853**	**594,610**	**478,231**

34 Investment income

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Dividend income on trading stock	10,378	41,498	10,265	24,454
Interest income on held-to-maturity financial assets	226,820	764,607	78,075	354,027
Cash and cash equivalents' interest income	1,061,519	332,035	856,934	331,159
Interest income on statutory deposits	60,023	45,953	37,700	45,953
Income/(loss) from sale of investment property	1,343	1,687	2,676	-
Interest income on treasury bills	147,332	-	1,199	-
Rental income - Oil view estate	14,750	55,747	14,750	5,507
Loss on sale of investment property - Oil view estate	-	(16,000)	-	(16,000)
Total	**1,522,165**	**1,225,527**	**1,001,599**	**745,100**

(a) Investment income is attributable to

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
- Policy holders funds	700,716	564,161	160,256	119,216
- Shareholders funds	821,449	661,366	841,343	625,884
Total	**1,522,165**	**1,225,527**	**1,001,599**	**745,100**

35 Net realised (loss)/gain on financial assets

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Realised gain on sale of financial assets – trading assets:				
– Equity securities	-	105,567	-	87,557
Realised loss on sale of financial assets – trading assets:				
– Equity securities	(1,186)	(46,022)	308	(46,022)
Total	**(1,186)**	**59,545**	**308**	**41,535**

36 Net fair value gain/(loss) on assets

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Fair value (loss)/gain on equity securities	(19,619)	(1,781)	4,373	-
Fair value gain/(loss) on investment property (see note 12(g)(ii))	721,796	(5,388)	719,796	(1,667)
Total	**702,177**	**(7,169)**	**724,169**	**(1,667)**

Net fair value gains on non-derivative financial assets at fair value through profit or loss relate entirely to assets designated to be in this category upon initial recognition.

37 Other operating income

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Profit/(loss) from sale of property and equipment	3,456	(1,601)	968	(2,694)
Interest income on staff loans	7,831	31,969	4,511	19,750
Other income received	42,347	29,881	30,640	18,286
Net foreign exchange gain	3,909	10,701	3,909	7,040
Total	**57,543**	**70,950**	**40,028**	**42,382**

38 Employee benefit expense

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Wages and salaries	846,360	526,911	588,135	365,408
Employee Benefit - Below market staff loans	-	17,166	-	15,502
Pension costs – defined contribution plans	19,487	16,413	15,662	15,250
Total	**865,847**	**560,490**	**603,797**	**396,160**

39 Other operating expenses

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Depreciation (see note 17)	155,499	122,909	110,375	84,195
Amortization of intangible assets (see note 16)	28,647	20,808	22,307	14,055
Directors emoluments	164,386	67,579	148,704	37,491
Auditors renumeration	41,582	38,180	29,000	26,000
Professional fees	134,125	38,404	107,354	38,404
Corporate strategy	97,744	15,996	97,744	15,996
Corporate branding	41,284	75,170	39,707	9,245
Enterprise risk management	-	10,289	-	10,289
Staff training	22,614	-	21,501	-
Office expense	224,376	93,693	214,244	93,693
Repairs and maintenance	22,348	-	19,630	-
Impairment of property and equipment	-	65,940	-	65,940
Merger and acquisition	-	138	-	138
Interest expense on deposit administration fund	21,903	1,903	-	-
Annual dues	19,957	-	17,464	-
Other expenses	828,789	395,978	494,063	213,006
Total	**1,803,254**	**946,987**	**1,322,093**	**608,452**

40 (Loss)/earning per share

Basic (loss)/earnings per share is calculated by dividing the (loss)/profit attributable to equity holders of the group by the weighted average number of ordinary shares in issue during the year, excluding own ordinary shares purchased by the Company. Diluted earnings per share is computed by dividing the (loss)/profit attributable to equity holders of the Company by the weighted average number of ordinary shares outstanding after adjusting the effects of all dilutive ordinary shares.

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
(Loss)/profit attributable to the Company's equity holders	(208,127)	383,032	31,476	240,833
Weighted average number of ordinary shares in issue (thousands)				
Issued ordinary shares at 1 January 2013	5,061,804	5,061,804	5,061,804	5,061,804
Effect of issue of shares during business integration	2,636,649	-	2,636,649	-
Effect of rights issue during the year	1,814,863	-	1,814,863	-
Weighted average number of ordinary shares in issue (thousands)	9,513,316	5,061,804	9,513,316	5,061,804
Basic and diluted (loss)/earnings per share (Kobo per share)	**(2)**	**8**	**0.33**	**5**

41 Staff information:

(a) Staff and directors' analysis:

i. Employees earning more than 600,000 per annum,other than the executive directors, whose duties were wholly or mainly discharged in Nigeria, received emoluments (excluding pension contribution and other allowances) in the following ranges:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
N600,001 – N700,000	-	2	-	1
N700,001 – N800,000	-	1	-	1
N800,001 – N900,000	-	3	-	1
N900,001 – N1,000,000	-	-	-	-
N1,000,001 – N2,000,000	52	60	34	45
N2,000,001 – N3,000,000	46	50	45	29
N3,000,000 – N4,000,000	-	17	-	8
N4,000,001 – N5,000,000	17	9	13	3
N5,000,001 – N10,000,000	25	24	22	14
Above N10,000,000	14	5	13	2
Total	**154**	**171**	**127**	**104**

ii. The average number of full time persons employed by the Company during the year was as follows:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
Management staff	12	38	11	19
Non management staff	142	133	116	85
Total	**154**	**171**	**127**	**104**

(b) Directors' remuneration:

i. Remuneration paid to the directors of the Company (excluding pension contribution and certain benefits) was as follows:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Directors fees	4,656	2,450	4,656	900
Other emoluments	92,155	87,139	86,363	56,251
Total	**96,811**	**89,589**	**91,019**	**57,151**

ii. The directors' remuneration shown above (excluding pension contributions and other allowances) includes:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Chairman	-	-	-	-
Highest paid director	53,990	19,000	53,990	19,000

iii. The emoluments of all other directors fell within the following range:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
N200,001 - N500,000	-	-	-	-
N500,001 - N5,000,000	7	3	7	-
N5,000,001- N10,000,000	1	2	1	3
N10,000,001 - N20,000,000	-	4	-	2
Total	**8**	**9**	**8**	**5**

42 Net cash flow from operating activities before changes in operating assets:

This comprises:

	Notes	Group 2013 31-Dec N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000
(Loss)/profit after taxation		(208,127)	383,032	31,476	240,833
Taxation		(421,002)	(169,353)	(241,326)	(142,627)
Profit before tax		(629,129)	552,385	(209,850)	383,460
Adjustment to reconcile profit before taxation to net cash flow from operations:					
Impairment on trade receivables	10	110,958	612,195	(35,300)	201,626
Impairment on other loans and receivables	10	1,324	111,991	(8,921)	111,991
Impairment on reinsurance assets		22,735	-	22,735	-
Fair value loss/(gain) on equity instruments		19,619	1,781	(4,373)	-
Impairment of property,plant and equipment		-	65,940	-	65,940
Depreciation of property, plant and equipment		155,500	122,909	110,375	84,195
Amortization of intangible assets		28,647	20,808	22,307	14,055
(Profit)/loss on disposal of property, plant and equipment		(3,456)	1,601	(968)	2,694
Recoveries during the year		1,324	-	(8,921)	-
Fair value (gain)/loss on investment property	36	(721,796)	5,388	(719,796)	1,667
(Profit)/loss on disposal of investments property	12 (k)	(1,343)	14,313	(2,676)	-
Net realized Loss/(gain) on financial assets	35	1,186	(59,545)	(308)	(41,535)
Rental income from investment property	34	(14,750)	(55,747)	(14,750)	(5,507)
Net cash flow from operating activities		(1,029,181)	1,394,019	(850,445)	818,586
		(1,009,963)	**1,394,019**	**(841,523)**	**818,586**

43 Cash and cash equivalents

For the purposes of the statement of cash flow, cash and cash equivalents is as follows:

	Group 2013 31-Dec N'000	Group 2012 31-Dec N'000	Company 2013 31-Dec N'000	Company 2012 31-Dec N'000

Cash at bank and in hand	348,626	371,914	204,231	131,196
Money market placements	5,504,396	3,696,603	3,447,245	2,540,707
Balance, end of year	**5,853,022**	**4,068,517**	**3,651,476**	**2,671,903**

44 Business Integration

Acquisition of Intercontinental Properties Limited

The Company held a Court Ordered Meeting on 30 December 2012, where the holders of ordinary shares of the Company voted in favour of special resolutions to merge the business of the Company with that of Intercontinental Properties Limited (IPL). The Company obtained Securities and Exchange Commission (SEC)'s approval on 22 January 2013, the Federal High Court's sanction of the merger on 30 January 2013 and approval of the National Insurance Commission (NAICOM) on 21 March 2013 which transferred all assets, liabilities and undertakings of the Intercontinental Properties Limited, including real property rights, to Wapic Insurance Plc without Intercontinental Properties Limited being wound up. In consideration for the transfer, Wapic Insurance Plc issued to the shareholders of Intercontinental Properties Limited, 2 shares in Wapic Insurance Plc for every 1 ordinary share held in Intercontinental Properties Limited. The merger of Wapic Insurance Plc and Intercontinental Properties Limited was part of the ongoing restructuring of the subsidiaries of Access Bank, in compliance with the CBN's regulation on the scope of Banking Activities & Ancilliary Matters, No. 3, 2010 which repealed universal banking guidelines. The merger combined the operations of IPL and Wapic Insurance Plc into a single entity during the year. The business integration was accounted for as a common control transaction, which represents a business combination in which all of the combining entities or businesses are ultimately controlled by the same party or parties both before and after the combination. The business integration was accounted for using the book value method.

The aggregate purchase price was N1,475,344,380 including N37,172,390.20 in cash and N1,438,171,990 as equity consideration.

(a) Identifiable assets acquired and liabilities assumed

The following table summarises the recognised amounts of assets acquired and liabilities assumed at the acquisition date.

	Book value on acquisition
In thousands of Naira	
Assets	
Cash and bank balances	3,146,326
Other recievables and prepayments	86,482
Investment property	2,265,690
Property, plant and equipment	273,108
Total assets	**5,771,606**
Liabilities	
Other payables	1,674,717
Deferred income tax liabilities	28,040
Current income tax liabilities	164,915
Total Liabilities	**1,867,672**
Total identifiable net assets	**3,903,934**
Equity	
Share capital	1,455,977
Share premium	1,292,866
Retained earnings	1,155,091
Total Equity	**3,903,934**

(b) Analysis of cash flows on acquisition :

In thousands of Naira	
Net cash acquired with the subsidiary	3,146,326
Net cash inflow	**3,146,326**

(c) Analysis of purchase consideration:

In thousands of Naira	
Equity consideration	1,438,172
Cash consideration	37,172
Total	**1,475,344**
Share capital acquired	1,455,977
Merger reserve	19,367
Purchase consideration	1,475,344
Share premium	1,292,866
Retained earnings	1,155,091
Merger reserve	(19,367)
Net assets acquired	**3,903,934**

45 Contravention of laws and regulations

The Company contravened certain laws and regulations during the year and paid a total penalty of N13.02 million (31 December 2012 : N500,850). This is analyzed below:

Penalties	Amount
Penalty for unauthorized publication	496,125
SEC penalty on regulation violation	10,220,000
Penalty on acceptance of co-insurance by the marketers above 5% of shareholders funds	500,000
Non compliance with submission of returns to NAICOM	1,800,000
NSE penalty for late filing of Audited Financials for 2013	700,000
	13,716,125

46 Litigations and claims

The Company, in its ordinary course of business, was involved in a number of litigation cases. The total amount claimed against the Company is estimated at N4.89 billion (31 December 2012: N2.33 billion)

Based on the advice of the solicitors, the Directors of the Company are of the opinion that none of the aforementioned cases is likely to have material adverse effect on the Company and they are not aware of any other pending and or threatened claims or litigation which may be material to the financial statements.

47 Events after the end of the reporting period

Subsequent to year end, the Company obtained National Insurance Commission's approval and invested N387 million ($2 million) in Wapic Insurance Ghana Limited, its wholly owned subsidiary. This was necessary to meet the required minimum capital requirements for Insurance companies operating in Ghana.

48 Related parties

a) Parent

Access Bank Plc ceased to be the parent compant of Wapic Insurance from 30 September 2013. The Company maintained some of its bank accounts with Access Bank Plc during the year.

b) Subsidiaries

The Company has two wholly owned subsidiaries as at 31 December 2013. These are Wapic Life Assurance Limited, domiciled in Nigerian and Wapic Insurance (Ghana) Limited. Transactions between Wapic Insurance Plc and the subsidiaries also meet the definition of related party transactions. Where these are eliminated on consolidation, they are not disclosed in the consolidated financial statements.

c) Transactions with key management personnel

The Company's key management personnel and persons connected with them, are also considered to be related parties for disclosure purposes. The definition of key management includes close members of family of key management personnel and any entity over which key management personnel exercise control. The key management personnel have been identified as the executive and non-executive directors of the Company. Close members of family are those family members who may be expected to influence, or be influenced by that individual in their dealings with Wapic Insurance Plc.

d) Key management personnel compensation

The compensation of key management personnel comprised the following:

	Group	Group	Company	Company
	2013	2012	2013	2012
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
Short term employees benefits	174,059	89,589	136,517	57,151
Post employment benefits	2,307	4,854	1,438	3,191
Total	**176,366**	**94,443**	**137,955**	**60,342**

e) Key management personnel and director transactions

During the year, the Company earned premium income from insurance services rendered to its directors. Claims amounting N23,000 was paid to one of the directors during the year.

		Transaction values for the year ended 31 December		Balance outstanding as at December	
Directors	**Transactions**	**2013**	**2012**	**2013**	**2012**
Mr. Segun Balogun	Insurance Premium Income	5	460	-	-
Mr. Barnabas Olise	Insurance Premium Income	5	23	-	-
Mr. Taukeme Koroye	Insurance Premium Income	663	1,806	-	-
Mr. Victor Etuokwu	Insurance Premium Income	470	55	-	-
Mr Richard Adewole	Insurance Premium Income	842	1,051	-	-
Mr Richard Adewole	Claims Expense	-	50	-	-
Alhaji (Dr.) Iayaku Umar	Insurance Premium Income	-	-	-	-
Mrs. Ojini Olaghere	Insurance Premium Income	-	87	-	-
Mr David Aluko	Insurance Premium Income	50	-	-	-
Total		**2,035**	**3,532**	**-**	**-**

f) Other related party transactions

During the year, the Company provided insurance services to entities related to key management personnel of the Company as follows:

			Transaction values for the year ended 31 December		Balance outstanding as at December	
Entities	**Relationship**	**Transactions**	**2013**	**2012**	**2013**	**2012**
Access Bank Plc	Parent company	Insurance premium income	290,080	108,860	78	-
Access Bank Plc	Parent company	Claims expense	40,065	161,811	-	-
Intercontinental Capital Markets Limited	Common control	Insurance premium income	-	711	-	-
Intercontinental Capital Markets Limited	Common control	Claims expense	-	495.00	-	-
Intercontinental Finance and Investment Limited	Common control	Insurance premium income	-	318	-	-
Intercontinental Finance and Investment Limited	Common control	Claims expense	-	228	-	-
Intercontinental Homes Savings and Loans Plc	Common control	Insurance premium income	-	4,276	-	-
Intercontinental Homes Savings and Loans Plc	Common control	Claims expense	-	186	-	-
Intercontinental Properties Limited	Common control	Insurance premium income	-	4,592	-	-
Intercontinental Properties Limited	Common control	Claims expense	-	321	-	-
Intercontinental Securities Limited	Common control	Insurance premium income	-	350	-	-
Intercontinental Securities Limited	Common control	Claims expense	-	147	-	-
Intercontinental Registrars Limited	Common control	Insurance premium income	-	-	-	-
Intercontinental Trustees Limited	Common control	Insurance premium income	-	-	-	-
Summit finance limited	Common director	Insurance premium income	-	1,059		
Tofa Textile Limited	Common director	Insurance premium income	-	853		
Marina Securities Limited	Common director	Insurance premium income	8,391	5,972	-	-
Total			**338,536**	**290,179**	**78**	**-**

During the year, Access Bank plc,ceased to be the parent compant of Wapic Insurance from 30 September 2013. Therefore transactions with related entities of Access Bank Plc as at 31 December 2013 ceased to be related party transactions.

49 Hypothecation

The Company is exposed to a range of financial risks through its financial assets, financial liabilities, reinsurance assets and insurance liabilities. In particular, the key financial risk is that in the long- term its investment proceeds will not be sufficient to fund the obligations arising from its insurance and investment contracts. In response to the risk, the Company's assets and liabilities are allocated as follows:

	Group- 31 December 2013						
	Insurance contract		Investment contract		Shareholders funds		Total
	Non life	Life	Non life	Life	Non life	Life	
In thousands of Naira							
ASSETS							
Cash and cash equivalents	2,487,897	506,395	-	1,500,634	1,195,532	162,564	5,853,022
Financial assets	-	-	-	-	6,348,365	1,258,539	7,606,904
Trade receivables	-	-	-	-	161,864	24,359	186,223
Other recievables and prepayments	-	-	-	-	1,292,887	130,656	1,423,543
Investment in subsidiaries	-	-	-	-	-		-
Reinsurance assets	-	-	-	-	649,408	78,204	727,612
Deferred acquisition cost	-	-	-	-	194,916	-	194,916
Investment properties	-	-	-	-	4,308,161	50,334	4,358,495
Deferred tax asset				-	178,971	151,609	330,580
Property, plant and equipment	-	-	-	-	747,752	288,553	1,036,305
Intangible assets	-	-	-	-	63,831	6,381	70,212
Statutory deposit				-	316,234	200,000	516,234
TOTAL ASSETS	**2,487,897**	**506,395**	**-**	**1,500,634**	**15,457,921**	**2,351,199**	**22,304,046**
LIABILITIES							
Life insurance contract liabilities	2,458,621	493,014	-	-	-	-	2,951,635
Investment contract liabilities	-	-	-	1,455,087	-	-	1,455,087
Trade payables	-	-	-	-	450,665	11,583	462,248
Provisions and other payables	-	-	-	-	2,782,589	121,789	2,904,378
Current income tax liabilities	-	-	-	-	274,700	76,471	351,171
Deferred tax income liabilities	-	-	-	-	-	-	-
Deposit for shares	-	-	-	-	-	-	-
TOTAL LIABILITIES	**2,458,621**	**493,014**	**-**	**1,455,087**	**3,507,954**	**209,843**	**8,124,519**
GAP	**29,276**	**13,381**	**-**	**45,547**	**11,949,966**	**2,141,356**	**14,179,527**

49 Hypothecation

The Company is exposed to a range of financial risks through its financial assets, financial liabilities, reinsurance assets and insurance liabilities. In particular, the key financial risk is that in the long- term its investment proceeds will not be sufficient to fund the obligations arising from its insurance and investment contracts. In response to the risk, the Company's assets and liabilities are allocated as follows:

	Group- 31 December 2012						
	Insurance contract		Investment contract		Shareholders funds		Total
	Non life	Life	Non life	Life	Non life	Life	
In thousands of Naira							
ASSETS							
Cash and cash equivalents	1,375,391	-	-	-	1,357,166	1,335,960	4,068,517
Financial assets	621,701	1,726,587	-	65,591	1,997,717	631,772	5,043,368
Trade receivables	-	-	-	-	418,594	248,771	667,365
Reinsurance assets	-	-	-	-	405,280	69,114	474,394
Deferred acquisition cost	-	-	-	-	175,788	-	175,788
Other receivables and prepayments	-	-	-	-	617,501	24,526	642,027
Investment in subsidiaries	-	-	-	-	-	-	-
Investment property	-	-	-	-	182,667	81,667	264,334
Deferred tax asset	-	-	-	-	100,116	-	100,116
Intangible assets	-	-	-	-	53,316	12,379	65,695
Property and equipment	-	-	-	-	402,278	257,254	659,532
Statutory deposit	-	-	-	-	317,619	200,000	517,619
TOTAL ASSETS	**1,997,092**	**1,726,587**	**-**	**65,591**	**6,028,042**	**2,861,443**	**12,678,755**
LIABILITIES							
Insurance contract liabilities	1,997,092	1,548,780	-	-	-	-	3,545,872
Investment contract liabilities	-	-	-	65,591	-	-	65,591
Trade payables	-	-	-	-	482,224	10,285	492,509
Provisions and other payables	-	-	-	-	259,461	101,249	360,710
Deferred income tax liabilities	-	-	-	-	124,175	51,612	175,787
Current income tax liabilities	-	-	-	-	325,197	89,612	414,809
TOTAL LIABILITIES	**1,997,092**	**1,548,780**	**-**	**65,591**	**1,191,057**	**252,758**	**5,055,278**
GAP	**-**	**177,807**	**-**	**-**	**4,836,985**	**2,608,685**	**7,623,477**

49 Hypothecation

The Company is exposed to a range of financial risks through its financial assets, financial liabilities, reinsurance assets and insurance liabilities. In particular, the key financial risk is that in the long- term its investment proceeds will not be sufficient to fund the obligations arising from its insurance and investment contracts. In response to the risk, the Company's assets and liabilities are allocated as follows:

	Company- 31 December 2013						
	Insurance contract		Investment contract		Shareholders funds		Total
	Non life	Life	Non life	Life	Non life	Life	
In thousands of Naira							
ASSETS							
Cash and cash equivalents	1,953,089	-	-	-	1,698,387	-	3,651,476
Financial assets	-	-	-	-	5,794,406	-	5,794,406
Trade receivables	-	-	-	-	34,430	-	34,430
Other recievables and prepayments	-	-	-	-	1,436,897	-	1,436,897
Investment in subsidiaries	-	-	-	-	2,705,576	-	2,705,576
Reinsurance assets	-	-	-	-	419,440	-	419,440
Deferred Acquisition cost	-	-	-	-	148,165	-	148,165
Investment properties	-	-	-	-	4,308,161	-	4,308,161
Deferred Tax Asset		-	-	-	133,073	-	133,073
Property, plant and equipment	-	-	-	-	688,142	-	688,142
Intangible assets	-	-	-	-	60,127	-	60,127
Statutory deposit	-	-	-	-	300,000	-	300,000
TOTAL ASSETS	**1,953,089**	**-**	**-**	**-**	**17,726,804**	**-**	**19,679,893**
LIABILITIES							
Life insurance contract liabilities	1,923,813	-	-	-	-	-	1,923,813
Investment contract liabilities	-	-	-	-	-	-	-
Trade payables	-	-	-	-	203,607	-	203,607
Provisions and other payables	-	-	-	-	2,764,257	-	2,764,257
Current income tax liabilities	-	-	-	-	240,603	-	240,603
Deferred tax income liabilities	-	-	-	-	-	-	-
TOTAL LIABILITIES	**1,923,813**	**-**	**-**	**-**	**3,208,467**	**-**	**5,132,280**
GAP	**29,276**	**-**	**-**	**-**	**14,518,336**	**-**	**14,547,613**

49 Hypothecation

The Company is exposed to a range of financial risks through its financial assets, financial liabilities, reinsurance assets and insurance liabilities. In particular, the key financial risk is that in the long- term its investment proceeds will not be sufficient to fund the obligations arising from its insurance and investment contracts. In response to the risk, the Company's assets and liabilities are allocated as follows:

	Company- 31 December 2012						
	Insurance contract		Investment contract		Shareholders funds		Total
	Non life	Life	Non life	Life	Non life	Life	
In thousands of Naira							
ASSETS							
Cash and cash equivalents	1,375,391	-	-	-	1,296,512	-	2,671,903
Financial assets	-	-	-	-	2,384,345	-	2,384,345
Trade receivables	-	-	-	-	231,422	-	231,422
Reinsurance assets	-	-	-	-	286,791	-	286,791
Deferred acquisition cost	-	-	-	-	110,639	-	110,639
Other receivables and prepayments	-	-	-	-	647,172	-	647,172
Investment in subsidiaries	-	-	-	-	2,705,576	-	2,705,576
Investment property	-	-	-	-	182,667	-	182,667
Deferred tax asset	-	-	-	-	-	-	-
Intangible assets	-	-	-	-	53,316	-	53,316
Property and equipment	-	-	-	-	361,731	-	361,731
Statutory deposit	-	-	-	-	300,000	-	300,000
TOTAL ASSETS	**1,375,391**	**-**	**-**	**-**	**8,560,171**	**-**	**9,935,562**
LIABILITIES							
Insurance contract liabilities	1,373,644	-	-	-	-	-	1,373,644
Investment contract liabilities	-	-	-	-	-	-	-
Trade payables	-	-	-	-	231,036	-	231,036
Provisions and other payables	-	-	-	-	256,967	-	256,967
Deferred income tax liabilities	-	-	-	-	124,175	-	124,175
Current income tax liabilities	-	-	-	-	219,957	-	219,957
TOTAL LIABILITIES	**1,373,644**	**-**	**-**	**-**	**832,135**	**-**	**2,205,779**
GAP	**1,747**	**-**	**-**	**-**	**7,728,036**	**-**	**7,729,783**

Value Added Statement

	Group		Group		Company		Company	
	2013		2012		2013		2012	
	31-Dec		31-Dec		31-Dec		31-Dec	
	N'000	%	N'000	%	N'000	%	N'000	%
Net premium income - Nigeria	1,802,692		2,804,241		1,433,826		1,724,384	
- Foreign	668,569		708,679		-		-	
Investment Income - Nigeria	1,402,509		1,166,402		1,728,653		745,100	
- Foreign	119,496		59,125		-		-	
Other income - Nigeria	772,406		108,716		40,028		82,250	
- Foreign	12,389		14,610		-		-	
Claims incurred, net commissions and operating expenses								
- Nigeria	(3,596,192)		(2,964,749)		(2,608,257)		(1,673,864)	
- Foreign	(632,233)		(640,432)		-		-	
Value added	549,636	100	1,256,592	100	594,250	100	877,870	-
Applied to pay								
Employee benefit expense	877,514	160	560,490	45	603,797	102	396,160	45
Government taxes	(268,491)	(49)	169,353	13	(291,180)	(49)	142,627	16
Retained in the business:		-				-		
Depreciation of property and equipment	155,499	28	122,909	10	110,375	19	84,195	10
Amortisation of intangible assets	29,026	5	20,808	2	22,307	4	14,055	2
To augment contingency reserve	99,969	18	113,138	9	71,401	12	76,692	9
(Depletion)/augment reserves	(343,881)	(63)	269,894	21	77,550	13	164,141	19
Value added	**549,636**	**100**	**1,256,592**	**100**	**594,250**	**100**	**877,870**	**100**

Financial Summary
Statement of Financial Position

	Group	Group	Group	Group	Company	Company	Company	Company
	2013	2012	2011	2011	2013	2012	2011	2011
	31-Dec	31-Dec	31-Dec	1-Jan	31-Dec	31-Dec	31-Dec	1-Jan
	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Assets								
Cash and cash equivalents	5,853,022	4,068,517	3,895,663	5,292,507	3,651,476	2,671,903	1,938,389	3,553,103
Financial assets	7,606,904	5,043,368	3,972,134	1,915,796	5,794,406	2,384,345	3,076,543	1,132,438
Trade receivables	186,223	667,365	630,000	778,438	34,430	231,422	276,724	566,645
Reinsurance assets	727,612	474,394	142,717	97,919	536,666	286,791	73,317	97,919
Deferred acquisition cost	194,916	175,788	192,239	177,679	148,165	110,639	130,255	136,252
Other receivables and prepayments	1,423,543	642,027	759,098	658,768	1,319,670	647,172	507,941	636,692
Investment in subsidiaries	-	-	-	-	2,705,576	2,705,576	2,455,576	2,405,576
Investment property	4,358,495	264,334	1,067,072	1,153,846	4,308,161	182,667	446,000	528,699
Deferred tax asset	330,580	100,116	26,101	10,592	133,073	-	-	-
Intangible assets	70,212	65,695	56,819	68,378	60,127	53,316	37,687	41,364
Property, plant and equipment	1,036,305	659,532	597,573	581,577	688,142	361,731	333,590	306,148
Statutory deposit	516,234	517,619	605,207	590,170	300,000	300,000	300,000	300,000
Total assets	**22,304,046**	**12,678,755**	**11,944,623**	**11,325,670**	**19,679,892**	**9,935,562**	**9,576,022**	**9,704,836**
Equity and Liabilities:								
Liabilities								
Insurance contract liabilities	2,951,635	3,545,872	3,439,325	3,138,664	1,923,813	1,373,644	1,403,456	1,558,656
Investment contract liabilities	1,455,087	65,591	63,432	79,136	-	-	-	-
Trade payables	462,248	492,509	164,014	325,693	203,607	231,036	117,770	320,851
Provisions and other payables	2,904,378	360,710	527,295	457,698	2,764,257	256,967	262,270	290,879
Deferred income tax liabilities	-	175,787	87,365	86,587	-	124,175	63,554	59,036
Current income tax liabilities	351,171	414,809	387,069	321,919	240,603	219,957	230,931	265,060
Total liabilities	**8,124,520**	**5,055,278**	**4,668,500**	**4,409,697**	**5,132,280**	**2,205,779**	**2,077,981**	**2,494,482**
Equity attibutable to parent company								
Share capital	6,691,369	2,530,902	2,530,902	2,530,902	6,691,369	2,530,902	2,530,902	2,530,902
Share premium	6,194,983	5,240,627	5,240,627	5,240,627	6,194,983	5,240,627	5,240,627	5,240,627
Contingency reserves	1,289,685	1,189,986	1,076,848	944,664	1,112,313	1,040,912	964,220	869,394
Other reserves	577,169	85,127	120,805	106,406	611,926	97,315	106,406	106,406
Retained earnings	(573,679)	(1,423,165)	(1,693,059)	(1,906,626)	(62,979)	(1,179,973)	(1,344,114)	(1,536,975)
Total Equity	**14,179,527**	**7,623,477**	**7,276,123**	**6,915,973**	**14,547,612**	**7,729,783**	**7,498,041**	**7,210,354**
Total Liabilities and Equity	22,304,047	12,678,755	11,944,623	11,325,670	19,679,892	9,935,562	9,576,022	9,704,836

Statement of Profit or Loss and other Comprehensive Income

	Group	Group	Group	Company	Company	Company
	2013	2012	2011	2013	2012	2011
	31-Dec	31-Dec	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000	N'000	N'000
Gross premium written	3,760,515	4,178,285	5,033,358	2,380,024	2,232,122	3,160,853
Net underwriting income	2,843,023	3,640,120	4,285,655	1,566,602	1,845,446	2,624,857
Total underwriting expenses	2,948,733	2,204,925	2,242,055	1,638,150	971,107	1,328,639
Underwriting profit	(105,710)	1,435,195	2,043,600	(71,548)	874,339	1,296,218
Total investment income	2,280,699	1,348,853	850,842	1,766,104	827,350	575,124
Net income	2,174,989	2,784,048	2,894,442	1,694,554	1,701,689	1,871,342
Expenses	2,804,118	2,231,663	2,193,120	1,904,404	1,318,229	1,456,217
Profit before tax	(629,129)	552,385	701,322	(209,850)	383,460	415,125
Income tax expense	(511,740)	157,153	235,893	(318,523)	142,627	127,438
Profit after tax	**(208,127)**	**383,032**	**465,429**	**31,476**	**240,833**	**287,687**
Other comprehensive income:						
Foreign currency translation difference of foreign operations	(30,579)	(54,048)	14,399	-	-	-
Net changes in fair value of AFS financial instruments	325,143	-	-	325,143	-	-
Deferred tax on revaluation gain on property and equipment	(36,836)	(49,371)	-	(33,235)	(37,602)	-
Revaluation gain on property and equipment, net of tax	255,903	87,338	-	243,898	87,738	-
Total comprehensive income for the year	**305,504**	**444,183**	**479,828**	**567,283**	**328,571**	**287,687**
Earnings per share (basic)	(2)	8	9	0	5	6
Earnings per share (adjusted)	(2)	8	9	0	5	6

Shareholders' Information

WAPIC INSURANCE PLC RC 1647

Notice of Annual General Meeting

NOTICE IS HEREBY GIVEN that the 55th Annual General Meeting of members of WAPIC INSURANCE PLC will hold at The Lagoon Restaurant, 1c, Ozumba Mbadiwe Street, Victoria Island, Lagos, on Thursday, July 24, 2014 at 11:00a.m. to consider and if thought fit pass the following as ordinary resolutions:

A. ORDINARY BUSINESS

1. To receive the Audited Financial Statements for the year ended December 31, 2013 and the Reports of the Directors, Auditors and Audit Committee thereon;
2. To re-elect Mr. Barnabas Olise as a Non-Executive Director;
3. To elect Ms. Chizoba Ufoeze, who was appointed a Non-Executive Director by the Board since the last Annual General Meeting;
4. To elect Mrs. Ifeyinwa Osime, who was appointed an Independent Non-Executive Director by the Board since the last Annual General Meeting;
5. To authorize the Directors to fix the remuneration of the Auditors;
6. To elect/re-elect members of the Audit Committee.

B. SPECIAL BUSINESS

To consider and if thought fit pass the following resolutions as Ordinary Resolutions:

7. That the Directors' Fees for the financial year ending December 31, 2014 be and is hereby fixed at N6,500,000.00 (Six Million Five Hundred Thousand Naira only)
8. That in compliance with Article 5.07 (iv) of the National Insurance Commission Code of Good Corporate Governance for the Insurance Industry in Nigeria, Accenture Limited be and is hereby appointed as an external consultant to conduct the Annual Board Performance Appraisal for the financial year ending December 31, 2014.
9. That the Directors be and are hereby authorized, to execute any documents and to do all that may be required for the establishment of an unsponsored Global Depositary Receipt (GDR) Programme pursuant to which International Investors holding ordinary shares of Wapic Insurance Plc would be issued Global Depositary Receipts in respect of those shares.

PROXY

A member entitled to attend and vote at the Annual General Meeting is entitled to appoint a proxy to attend and vote in his/her stead. A proxy form is attached to the Notice and it is valid for the purpose of the meeting. All instruments of proxy should be duly stamped at the Stamp Duties Office and deposited at the office of the Registrars, United Securities Limited, No. 10, Amodu Ojikutu Street, Victoria Island, Lagos, not later than 48 hours prior to the time of the meeting.

Dated this 1st day of July, 2014.

BY ORDER OF THE BOARD

MARY AGHA
Company Secretary
50, Awolowo Road
Ikoyi, Lagos

NOTES

Explanatory Statement on Global Depository Receipt Programme

a. Following the divestment of Access Bank Plc of Wapic Insurance Plc, certain International Investors have through the scheme of arrangement received ordinary shares of Wapic Insurance Plc.

b. The International Investors are desirous of holding the Shares in form of Global Depository Receipts (GDR) and for this purpose, have appointed Bank of New York Mellon as Depository Bank with a mandate to issue Global Depository Receipts backed by shares

c. By virtue of the provisions of the Securities and Exchange Commission (SEC) Rule 226, all levels of Global Depository Receipts are required to be approved by the shareholders in General Meeting

d. The Global Depository Receipts (GDRs) would be unlisted

e. Wapic Insurance Plc will not be required to issue any new shares to the Depository Bank for the purpose of the Global Depository Receipt issuance.

Closure of Register of Members

The Register of Members and Transfer Books of the Company will be closed on the 10th day of July 2014 to enable the Registrar prepare the register of shareholders eligible to attend and vote at the meeting.

Audit Committee

The Audit Committee consists of 3 shareholders and 3 Directors. In accordance with S.359(5) of the Companies and Allied Matters Act, 2004, any member may nominate a shareholder for election as a member of the Audit Committee by giving notice in writing of such nomination to the Company Secretary at least 21 days before the Annual General Meeting.

Unclaimed Dividend Warrants and Share Certificates

Some dividend warrants and share certificates have remained unclaimed or are yet to be presented for payment or returned to the Company for revalidation. Affected shareholders are advised to contact the Registrars, United Securities Limited, No. 10, Amodu Ojikutu Street, Victoria Island, Lagos.

Biographical Details of Directors for Election or Re-election

Biographical details of directors standing for election or re-election are provided in the Annual Report.

Website

A copy of this Notice and other information relating to the meeting can be found at www.wapic.com

Explanatory Notes to the Proposed Resolutions

The Notes below provide explanations to the proposed resolutions.

Resolutions 1- 9 are being proposed as ordinary resolutions. This means that for each of the resolutions to be passed, a simple majority of votes in favour of the resolution is required. Please note that if you abstain from voting you will not be counted in the calculation of the proportion of votes 'for' or 'against' a resolution.

Resolution 1: Annual Report and Accounts

The Directors are required under Section 345 (1) of the Companies and Allied Matters Act 1990 to lay before the Company in General Meeting for each financial year, copies of the financial statements of the Company made up to a date not exceeding nine months previous to the date of the meeting.

Resolutions 2 - 4: Election and Re-election of Directors

Your Company's Articles of Association require one-third of all Non-Executive Directors (rounded down) to stand for re-election every year (depending on their tenure on the Board) together with Directors appointed by the Board since the last Annual General Meeting (AGM). In keeping with this requirement, one-third of all the Non-Executive Directors as at the 14th day of April 2014, will retire at this AGM. Consequently, Mr. Barnabas Olise, will retire at this AGM, and being eligible, will submit himself for re-election. It is hereby confirmed that following a formal evaluation, his performance continues to be effective and he continues to demonstrate commitment to his role as Non-Executive Director.

The Board, pursuant to the powers vested in it by the Articles of Association, has appointed the following Non-Executive Directors subject to all regulatory and Shareholders' approvals:

i. Ms. Chizoba Ufoeze

ii. Mrs. Ifeyinwa Osime

Their appointments will be tabled before the Shareholders at the AGM for approval.

The Board considers all the Directors submitting themselves for election and re-election as highly experienced and having a good understanding of the financial services industry. Given their experience and background, the Board believes that they will continue to make valuable contributions to the Company.

The biographical details of each Director standing for election or re-election are set out below. The Board recommends that these Directors should be elected or re-elected to maintain the appropriate balance of skill, knowledge and experience on the Board.

Mr. Barnabas Olise – Non-Executive Director

Mr. Barnabas Olise is the Managing Partner/CEO Of Enterprise Value Matrix Consult (EVMC) Limited, a multidisciplinary consultancy firm established in 2010. Mr. Olise's rich pool of work experience spans nearly two decades and covers Auditing, Consulting and Banking. Mr. Olise began his career in Deloitte, an international firm of Chartered Accountants as an audit trainee. He spent nearly a decade with the firm and gained cognate experience in auditing companies operating in virtually every sector of the Nigerian economy. Following his stint at Deloitte, he joined former Intercontinental Bank (Now Access Bank Plc.) and facilitated the expansion of the Ghanaian subsidiary's branch expansion to 28 outlets. He served as the Bank's Group Head, Project Management and later Group Executive, Management Services and Franchise Expansion before resigning from the Bank to set up a consultancy.

Mr. Olise holds a BSc. in Mathematics from the University of Ibadan and is an Associate member of the Charted Institute of Accountants of Nigeria (ICAN).

He is aged 45 as at the date of this AGM.

Ms. Chizoba Ufoeze – Non-Executive Director

Ms. Chizoba Ufoeze is the Chairperson of the Board Investment Committee. She is currently the CEO of United Alliance Company of Nigeria Limited.

Ms. Chizoba Ufoeze is an Investment Analyst with over two decades of experience in the financial services industry. She began her career as a Research Assistant with African Development Consulting Group and an Investment Officer with African Development Bank. She also worked with BGL Limited as an Investment Analyst and then as the Head of Investments of the Wealth Management Group.

Ms. Ufoeze is a graduate of the University of Nigeria Nsukka and has an MSc in Investment Management from the City University Business School London, and an MBA from the Middlesex University Business School, London.

She is aged 44 as at the date of this AGM.

Mrs. Ifeyinwa Osime – Independent Non-Executive Director

Ifeyinwa Osime is a partner at McPherson Legal Practitioners, a firm of Barristers and Solicitors in Nigeria. Called to the Nigerian Bar in 1987, she has several years of professional experience in the practice of Law and Insurance.

She possesses substantial Board-level experience and had at different times served on the Boards of Bank PHB Plc. (now Keystone Bank Limited), Insurance PHB Limited (now KBL Insurance Ltd) and PHB Healthcare Limited (now KBL Healthcare Ltd) of which she was the Chairperson. She was the Company Secretary of African Development Insurance Company Limited from 1989 to 1997 where in addition to Company Secretarial duties; she had oversight for claims settlement.

Mrs. Osime holds a Law Degree (LL.B) and a Masters of Laws (LL.M) in Commercial & Corporate Law from the University of Benin and the London School of Economics respectively. She is a Barrister at Law (BL) of the Supreme Court of Nigeria and an Alumnus of the Executive Business Programs of the Harvard Business School and the Insead Graduate Business School.

She is aged 47 as at the date of this AGM.

The interests of Directors standing for election and re-election in the ordinary shares of the Company as at 31 December, 2012 are as shown below:

Director's Name	Direct Holding	Indirect Holding
Mr. Barnabas Olise	5,000,000	-
Ms. Chizoba Ufoeze	54,609,473	-
Mrs. Ifeyinwa Osime	654,520	-

Resolution 5: Approval of Auditors' Remuneration

In accordance with S.361 of the Companies and Allied Matters Act, 1990, you will be required to authorize the Board to fix the remuneration of the auditors of the company - Messrs KPMG Professional Services - that was appointed as External Auditors to the Company at the 52nd AGM.

Resolution 6: Election/Re-election of Members of Audit Committee

In accordance with S.359(5) of the Companies and Allied Matters Act, 1990, any member may nominate a Shareholder for election as a member of the Audit Committee by giving notice in writing of such nomination to the Company Secretary at least 21 days before the AGM. Members will be required to vote at the AGM to elect or re-elect members of the Company's Shareholders Audit Committee.

Resolution 7: Approval of Directors' Fees

Your Company is required by law to seek the approval for the annual fees payable to the Non-Executive Directors. Shareholders will therefore be required to approve annual fees of N6,500,000.00 (Six Million Five Hundred Thousand Naira Only) for the Non-Executive Directors for the 2014 financial year.

Resolution 8: Appointment of Accenture to carry out annual evaluation of the Board and Directors

The NAICOM Code of Good Corporate Governance for the Insurance Industry in Nigeria provides that there shall be annual Board performance appraisal to be carried out by an external consultant appointed by the Shareholders. Based on their expertise in this area, the Company is desirous of appointing Accenture to carry out a Board performance appraisal for the 2014 financial year. Accenture is a global management consulting, technology services and outsourcing company. It is the premier consulting firm in Nigeria with vast experience in the area of corporate governance, mergers and acquisitions, business and technology strategy/execution. Their clients amongst others include major banks and other financial service providers as well as their regulators.

Resolution 9: Establishment of an unsponsored Global Depository Receipt (GDR) Programme

Following the divestment of Access Bank Plc of Wapic Insurance Plc, certain International Investors have through the scheme of arrangement received ordinary shares of Wapic Insurance Plc. The International Investors are desirous of holding the Shares in form of Global Depository Receipts (GDR) and for this purpose, have appointed Bank of New York Mellon as Depository Bank with a mandate to issue Global Depository Receipts backed by shares. The Global Depository Receipts (GDRs) would be unlisted and Wapic Insurance Plc will not be required to issue any new shares to the Depository Bank for the purpose of the Global Depository Receipt issuance

By virtue of the provisions of the Securities and Exchange Commission (SEC) Rule 226, all levels of Global Depository Receipts are required to be approved by the shareholders in General Meeting.

Proxy Form

wapic

[illegible]th Annual General Meeting to be held at The Lagoon Restaurant, 1c, Columbia Mbadiwe Street, Victoria Island, Lagoon on July [illegible], 2014 at 11:00a.m.

I/We [illegible]

(Name of Shareholder in Block letters)

Being a member(s) of the above named Company hereby appoint Mr. Olajide Sigbenkhoede or failing him Mr. Ashish Desai as my/our proxy to vote for me/us and on my/our behalf at the [illegible]th Annual General Meeting of the Company to be held on the [illegible]th day of July [illegible] and at any adjournment thereof. Unless otherwise instructed, the Proxy will vote or abstain from voting as he/she thinks fit.

WATCHO/MM/YYYY

SIGNATURE

ORDINARY RESOLUTIONS			
1 To receive the Audited Financial Statements for the year ended December [illegible], 2013 and the Reports of the Directors, Auditors and Audit Committee thereon.			
2 To re-elect Mr. Ashish Desai who is Not Seeking a Re-election.			
3 To re-elect Mr. Olajide Sigbenkhoede, who was appointed a Non-Executive Director by the Board since the last Annual General Meeting.			
4 To elect Mrs. Folajoke Sobola, who was appointed an Independent Non-Executive Director by the Board since the last Annual General Meeting.			
5 To authorize the Directors to fix the remuneration of the Auditors.			
6 To elect the members of the Audit Committee.			
ORDINARY RESOLUTIONS			
7 That the Directors' Fees for the financial year ending December [illegible], 2014 be set at Twenty Fourth Million Five Hundred Thousand Naira only.			
8 That in compliance with Rule [illegible] of the National Insurance Commission Code of Good Corporate Governance for the Insurance Industry in Nigeria, notwithstanding limited tenure applicable to an external consultant be waived for Amedi Amedi Partnership appointed for the financial year ending December [illegible], 2014.			
9 That the Directors be and are hereby authorized, to consider and determine such a scheme as may be required for the establishment of any proposed Global Depositary Shares (GDS) Programme pursuant to Joint International Investment holding ordinary shares of Wapic Insurance Plc. would be issued (Share Depository Receipts) in respect of these shares.			

Please indicate by inserting 'X' in the appropriate spaces how you wish your votes to be cast on the resolutions set out above. Unless otherwise instructed, the proxy will vote or abstain from voting at his/her discretion.

NAME / SIGNATURE OF PERSON ATTENDING

IMPORTANT NOTES:

1. Before posting the above proxy, please tear off this part and retain it. A person attending the Annual General meeting of the Company should produce this card in order to facilitate his/her admitting.
2. A member of the Company is entitled to attend and vote at the Annual General Meeting of the Company. He is also entitled to appoint a proxy to attend and vote instead of him, and in this case, the above card may be used to appoint a proxy.
3. In line with best practice, the name of the Directors of the Company have been inserted on the proxy form to ensure that someone will be at the meeting to act as your proxy. But if you wish, you may insert in the blank space on the form provided(*) the name of any person, whether a member of the Company or not who will attend and vote on your behalf instead of one of the Directors named.
4. The above proxy, when completed must be deposited at the office of Liberal Securities Limited, 1c, Amodu Ojikutu Street, Victoria Island, Lagos, not less than 48 hours before the time fixed for the meeting.
5. It is a requirement of the law under the Stamp Duties Act, Cap 38, Laws of the Federation of Nigeria, 2004, that any instrument of proxy to be used for the purpose of voting by any person entitled to vote at any meeting of shareholders must bear a stamp duty.
6. If a proxy form is executed by a company, it should be sealed under its common seal or signed and duly stamped.

REMOVE PORTION ABOVE FORM PLEASE TEAR OFF THIS PART AND RETAIN IT FOR ADMISSION TO THE MEETING

Wapic Insurance Plc

[illegible]TH ANNUAL GENERAL MEETING TO BE HELD AT THE LAGOON RESTAURANT, 1C, COLUMBIA MBADIWE STREET, VICTORIA ISLAND, LAGOS ON JULY [illegible], 2014 AT 11:00A.M

Name and Address of Shareholder

Number of Shares Held

Shareholder Information Update Form

wapic

I/We wish to request that my/our details as (a) Shareholder(s) of Wapic Insurance Plc be amended to reflect the following information:

DATE: DD/MM/YYYY

ACCOUNT / NAME OF COMPANY

PHONE NUMBER

OTHER NAMES (FOR INDIVIDUAL SHAREHOLDERS)

PRESENT POSTAL ADDRESS

CITY

STATE

EMAIL ADDRESS 1

EMAIL ADDRESS 2

SHAREHOLDER'S SIGNATURE OR THUMBPRINT

SHAREHOLDER'S SIGNATURE OR THUMBPRINT

AUTHORISED SIGNATORY & MAKER'S STAMP

INCORPORATION NUMBER WITH COMPANY SEAL

This completed form should be returned by post, or hand delivered, to the office of the Registrar, United Securities Limited, 101 Ajose Adeogun Street, Victoria Island, PMB 12747, Lagos. T: +234 [illegible] or Supplier: +234 [illegible] info@unitedsecuritiesnigeria.com

or to the nearest Wapic Insurance Plc branch closest to the Shareholder, c/o Investor Relations Unit. Scanned copies of the form are not acceptable as only original will be processed.